IRCON International Ltd. (IRCON)

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Call: May 2023

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IRCON INTERNATIONAL LIMITED
(A Govt. of India Undertaking)
An integrated Engineeri ng and Construction Company
IRCON/SECY/STEX/124 31st May, 2023
BSE Limited
Listing Dept./ Dept. of Corporate Services
Phiroze Jeejeebhoy Towers Dalal Street Mumbai – 400001
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Scrip code / ID: 541956 / IRCON National Stock Exchange of India
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Scrip Cod e: IRCON

Sub: - Transcript of the Q4FY2023 Earnings Conference Call hel d on Thursday, 25th M a y ,
2023/ ■■■■■■ , 25 ■■ , 2023 ■■ ■■■■■■ Q4FY2023 ■■ ■■ ■■■ ■■■ ■■ ■■■■ ■■
Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disc losure Requirements) Regulation, 2015 and in continuation to our letter of even no. dated 23rd May, 2023, please find enclosed the transcript of the post result E arnings Conference Call held on Thursday, 25th May, 2023 to discuss the financial results of the Co mpany for the quarter and year e nded on 31st March, 2023.

In accordance with Regulation 46(2)(oa) of the SEBI (Listing Ob ligations and Disclosure Requirements) Regulation, 2015, the Transcript of the Analyst C onference Call is also available on the Company’s website at the link
https://www.ircon.org/ index.php?option=com_content&view=article &id=226&Itemid=643&lang=en
which can be accessed thr ough below mentioned path:

www.ircon.org >> Investor Relations>> Pres entation and Earning Calls>> Transcript of the Earnings Conference Call held on 25th May, 2023 for financial results for the quarter and year ended on 31st March, 2023.

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“Ircon International Limited

Q4 FY '23 Analyst Conference Call”
May 25, 2023

MANAGEMENT : Mrs. R AGINI ADVANI – DIRECTOR FINANCE – IRCON INTERNATIONAL LIMITED
MR. B. M UGUNTHAN – CHIEF FINANCIAL OFFICER AND EXECUTIVE DIRECTOR FINANCE – IRCON INTERNATIONAL LIMITED
MR. ALIN ROY CHOUDHURY – CGM F INANCE AND IN-CHARGE OF COMPILATION AND ACCOUNTS – IRCON INTERNATIONAL LIMITED

MODERATOR: MS. MAMTA SAMAT – PERFECT RELATIONS PRIVATE LIMITED

Moderator: Ladies Ladies and gentlemen, go od day, and welcom e to the Ircon International Limited Q4 FY '23 Analyst Conference Call, hosted by Perfect Relations Privat e Limited. As a reminder, all participant lines will be in the listen-only mode and there wil l be an opportunity for you to ask questions after the presentatio n concludes. Should you need ass istance during the conference call, please signal an operator by pressing star then zero on y our touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Mamta Samat from Perfect Relations Private Limited. Thank you, and over to you, ma'am.
Mamta Samat: Thank you, Dorwin. Good afternoon, everyone, and thank you for joining us on Ircon International Limited Q4 FY '23 analyst conference call. Today we have with us the senior management represented by Smt. R agini Advani, Director of Finan ce; Shri B. Mugunthan, Chief Financial Officer and Executive Director of Finance; Shri. Alin Roy Choudhury, CGM Finance.
Before we begin, I would like to say that some of the statement s that will be made in today's discussion may be forward-looking in nature. We will begin the call with the opening remarks from the management, after which we will have the forum open fo r the interactive Q&A session.
I would now request Smt. Ragini Advani for the opening remark s. Thank you, and over to you, ma'am.
Ragini Advani: Thank you. Thank you, Mamta. G ood afternoon, everyone. I am Rag ini Advani, Director Finance, Ircon International. On behalf of my team, I extend a warm welcome to you all, and thank you for your presence toda y at the Ircon's earning call f or the quarter and year ended 31st March 2023. I have with me my CFO and ED, Finance Shri. Mugunth an; and CGM, Finance, Shri. Alin Roy Choudhury.
I would like to express our gra titude to all our stakeholders for their continued support and trust in the organization. Our focus remains on a strong foundation f or sustainable growth and maintaining a robust balance be tween long-term val ue creation a nd short-term profitability. We are committed to leveraging our expertise, resources, partnersh ips to drive and enhance our operational efficiency as well as have better outcomes for our investors.
Our projects are progressing well. We have had a very good fin ancial year '22-'23, and we do hope to continue the momentum for '23-'24. As you are all aware , we have crossed the milestone mark of INR10,000 crores in terms of our earnings. The company maintains a healthy order book of INR35,000 crores as on 31st Ma rch 2023. Many of these orders are on a competitive bidding basis. We continue to focus on ra ilways as well as highways and execution will continue to be our focus for FY '23-'24.
In terms of our financial perfo rmance of Q4 FY '23, the compan y has reported a total INR10,750 c r o r e s i n F Y ' 2 3 . I t ' s 4 2 % u p f r o m F Y ' 2 2 . P A T h a s i n c r e a s e d t o INR765 crores as against INR592 crores in FY '22, almost an increase of close to 30%. Co re EBITDA increased by 15% to INR735 crores vis-a-vis INR640 crores in the previous year. Our earnings per share have gone up to INR8.14 per equity share in FY '23 as against INR6.30 per equity share in the last fiscal year. And this is considering our face value of our share at IN R2 per share.

In the last few years, FY '18 to FY '23, we have had a CAGR of almost 20% in our revenue and a CAGR of almost 13% in our PAT . BoD has also recommended final dividend of INR1.20 per equity share on a face value of INR2 per share, thereby giving an overall dividend of INR3 per share, and this will be, of course, subject to shareholder appr oval in the AGM. Currently, Ircon has 11 subsidiaries, including 10 wholly owned subsidiaries and this als

o includes nine roads
and highways SPVs. Apart from that , we have seven joint venture s, out of which one -- out of
which 5 are relating to coal projects.
Without taking much m ore time, now I open the floor for Q&A se ssion.
Moderator: The first question is from the lin e of Manish Ostwal from Nirma l Bang Securities Private
Limited. Please go ahead.
Manish Ostwal: And my question, first on the or der book position . So, sir -- m adam, this has declined on Y-o-Y
basis almost 19%. So one, what is the outlook for FY '24 in ter ms of order inflow? And secondly,
how is the pipeline of the orders -- order book, so that we can get some visibility about the
increase in order book in coming quarters?
Ragini Advani: So, yes, our order book was at a peak about a year back, almost close to about INR43,000,
INR44,000 crores. As I've been m aintaining on all our calls, we have had execution as our main
area of focus in FY '22-'23. And therefore, it has gone down by almost INR10,000 crores to
come into the range of about INR35,000 crores.
We are going to go focus now in terms of getting more orders fr om the market because we do
like to -- we would ideally like to get it back to levels of ab out INR45,000 crores to INR50,000
crores going forward and the efforts have started. But as I've been saying that up to March '24,
our bulk of the team and management efforts would continue on e xecution. And we would
continue now onwards to look at certain projects, where we see we have a niche or where we see
the margins would be pro tected going forward.
There is a lot of opportunity t hat is sitting in the market. That is not a problem. The issue is one
that we have to execute it well and two, we have to maintain ou r margins. So rest assured, yes,
we should be taking th at target forward.
Manish Ostwal: Secondly, on the operating margin side, we have seen the declin e of operating margins,
especially in quarter 4 and even full-year basis, there is a de cline in operating margin. So, in your
opinion, what is the sustainable margins in our business, where below that we don't want to
work? So where do -- how one shoul d think of operating core EBI TDA margin for the business
to sustain?
Ragini Advani: See, our core EBITDA margins, in fact, again, as we've been say ing our EBITDA margins, where
we like to sustain and we think we'll be able to maintain is 10 % to 11%, a percent here and there
can always happen. And right now a lso the overall decline in ou r margins on consolidated level
is about 0.7% to 0.8%, so whic h is within that 1% range.
Now that happens because of many factors. There are times when certain jobs are about to be
ending or there are certain jobs where certain provisions need to be created because these are

jobs spread over 3 to 4 years. But we will continue maintaining the margins of EBITDA in the
range of 10% to 11%.
Manish Ostwal: Madam, the core EBITDA margin h as declined by 158 basis point o n...
Ragini Advani: Actually that gives a wrong figur e because in our annuity model , in all our HAM projects are
part of our income comes in other income, but that is pretty mu ch an operational aspect of HAM.
So if you were to take that out , then our decline is about 0.7% to 0.8% only.
Manish Ostwal: Understood. And revenue growth guidance for the next year? We h ave achieved our guidance
for this year.
Ragini Advani: Revenue growth, I mean, we were expecting to close -- this time close to INR9,500 crores. We
surpassed that and we've got, obviously, more than INR10,000 cr ores. As the base has grown
bigger, our -- I mean , we will probably ha ve a jump of about 5% to 7% on this number.
Manish Ostwal: 5% to 7%.
Ragini Advani: Yes.
Moderator: The next question is from the line of Abhishek Maheshwari from SkyRidge Wealth
Management. Please go ahead.
Abhishek Maheshwari: Congratulations on crossi ng INR10,000 cr

ores mark.
Ragini Advani: Thank you.
Abhishek Maheshwari: Y e s . M a ' a m , a f o l l o w - u p o n t h e p revious participant's question. Ma'am as you said, you
are
focused more towards execution. Last year you were and even thi s year, you will be. Ma'am, but
this whole bidding thing, the str ategy we are not able to under stand because other players are
gaining a lot of market share. I mean, look other players like RVNL and Titagarh Wagons a lot
of companies are gaining a lot o f big huge ticket orders. So yo u -- are you -- whether it could
lead to losing market share to other companies? And what's the strategy because INR2.4 lakh
crores railways budget was announced. And how much are you plan ning to bid this year, ma'am?
Ragini Advani: Yes. So I've understood your ques tion, there are 2, 3 aspects t o it. First, it is not a limited market,

it is not a market of INR100, whe re already people have taken o rders of INR50. So I should be
worried. It is a huge market sitting there and there are enough opportunities for all of us. Second,
as I've always mentioned, we would like to maintain our margins and bid. It is very easy to get
orders and say that we've got many orders, but ultimately in a long-term basis, it has to be at
sustainable margins.
The third thing is that I also mentioned that while execution was our focus in FY '22-'23. In this
year, apart from execution, we will be going whole-hock on the order book front also or on the
business development side also. We have already started initiat ing lot of business proposals. And
we do hope to come back to the order book levels as we had prev iously. So we have a clear
strategy in mind, it is just that we were not in a hurry to pic k up jobs, which are being picked up
at the losses.

Abhishek Maheshwari: Got it, ma'am. And then, ma'am, i f you could give any guidance as to how much value of projects
are you planning to bid this en tire year or that's confidential ?
Ragini Advani: It's difficult to say that because we are, as I said we are goi ng hold off -- in the last 2 months
only, we have picked up -- I mean, we are bidding for jobs, whi ch are exceeding many crores.
But then the point is, ultimately, everything is a competitive market, and it will really depend on
the ratio in which we actually get up and then again, we'll rev isit our strategy and accordingly
take it forward. But overall, guiding factor should be that we should be able to come back to our
order book levels.
Abhishek Maheshwari: Ma'am majority of it is railways only or some HAM also and EPC also?
Ragini Advani: So it would be railways and highways.
Abhishek Maheshwari: Okay. Ma'am one last question. S o ma'am, this year -- because n ext year there are elections, has
the tendering process quickened it's pace or are you still wait ing to see that kind of activity from
government's end?
Ragini Advani: So our tendering process has its own guidelines in every minist ry, as well as company. So all
that will happen. What would be more important as I see it from a government point of view is,
if whatever are the existing orders and the existing capex that they've committed is what they
would like to finish earlier in the election time. In terms of orders going forward, they will take
that pace to come, but they will be coming. I mean, probably, i t will not be able to do an extra
fast forward on that side.
Abhishek Maheshwari: Okay. So, ideally, 3, 4 months b efore elections, they stop awar ding any projects, right? So they
have only 9 months of this year to finish the entire tendering, right?
Ragini Advani: No. It doesn't happen that way. They don't announce any major p olicies, but a normal tender,
which is going on a competitive bidding in a sector like railwa ys or highways, they don't stop.
Abhishek Maheshwari: Okay. Okay. So irrespective of elections, the tendering process continues f

rom the railways end?
Ragini Advani: That’s not a problem.
Moderator: The next question is from the line of Dixit Doshi from Whitesto ne Financial Advisors Private
Limited. Please go ahead.
Dixit Doshi: First question is how much order we win during the financial ye ar -- current financial year?
Ragini Advani: Current -- as on the first quarter of '23-'24 as of May.
Dixit Doshi: In FY '23 full year, how much orders we win?
Ragini Advani: In FY '23, we have won ar ound close to INR500 crores.
Dixit Doshi: Sorry, how much?
Ragini Advani: INR500 crores.

Dixit Doshi: Full FY '23, only INR500 crores.
Ragini Advani: Yes.
Dixit Doshi: Okay.
Ragini Advani: And as far as these 2 months are concerned, again, I think it i s close to about INR360-odd crores
for these 2 months.
Dixit Doshi: Okay. And now you did...
Ragini Advani: Project which is subject to certain placements of LoA.
Dixit Doshi: Okay. No, you did mention that we have also bidded for the proj ect and as we are awaiting the
final approval. If you can just broadly give a range that how m uch value of the projects we have
bidded right now and are awaiting the result?
Ragini Advani: It is -- actually it is difficult for me to say because lot of these projects, I mean, it would be a
sensitive data for me to declare it right now. But on the whole , I think the guidance factor for all
of you should be because ultimately it will also depend if I co me L1 in any of these or all of
these projects are not. So given all those probabilities and th e fact that it's a dynamic market. I
think the guiding factor for all our investors should be that w e will be focusing on our orders

now, and we should be getting ba ck to the order book levels.
Dixit Doshi: Okay. Because --
Ragini Advani: Typically, pinpoint it will be little difficult to me.
Dixit Doshi: Yes, because the concern was that our execution is quite large because we almost execute INR10,000 crores, INR11,000 crores a year. So our order book wi ll deplete very fast. So that was the reason...
Ragini Advani: Absolutely, I mean, we are also as concerned as you all are. An d that is the reason that we are picking up our bidding strate gy again in this year.
Dixit Doshi: And can you give your -- just qualitatively, how is the bidding happening? I mean, do you really feel that most of the projects are bidded at -- by the competit ors at such a low margin, and therefore we are staying away from those projects?
Ragini Advani: Actually, there are different types of projects like different bodies in India, and all pertaining to railways or highways. It could be many, many such clients. Cert ain projects maybe the values are lower, maybe the work is run of the mill, and therefore, yo u have many peopl e picking it up and some of them probably at a very low margin, if I would say so. But at the end of it, the universe is large and there are many projects, which are coming up where we feel that we should be able to get some part of it and we should be able to maintai n our margins as well. So we are basically continuing to focus on those kind of projects. There is good enough of value projects sitting there as well. So last year, the projects that you've s een, where we have probably not come forward, is because we felt that there was -- those were being picked up at very low margins or

at losses. But currently, we a re looking at a lot of opportunit ies, where we should be able to take it at a decent mark.
Dixit Doshi: Okay. And do we look at anything other than the railways and hi ghways also?
Ragini Advani: Related -- related work...
Dixit Doshi: Like building construc tion or institute...
Ragini Advani: Yes. So we look at building construction, we look at PMCs, we l ook at airports, again PMC at airports. And anything related, we are open to it. And we are l ooking a

t some of these aspects.
So tunnels, complex bridges, we are looking at all of these.
Dixit Doshi: Okay. Now my second question is regarding the other income that we receive. So for the full year, on a standalone basis, it was around INR340 crores and on console at around INR382 crores. So this has jumped significantly. So is there any one-o ff like income tax refund or any write-backs, which may not occur in the future?
Ragini Advani: So it's a small amount INR17 cror es we have bought as interest on income tax refund.
Dixit Doshi: Okay.
Ragini Advani: And the rest is all out of divide nd and interest income. Basica lly the reason why it's gone up is, as I mentioned, 2 of our project s have been declared commercial and HAM categories. And as a part of that HAM when we get a nnuity, a part of annuity comes a s normal turnover and a part of it goes as a part of other income.
Dixit Doshi: Okay.
Ragini Advani: So that jump is because of that basically, and I mean, we will continue, I mean, that because HAM projects will continue to gi ve me annuity in both these are as.
Dixit Doshi: Okay. And how much it would be annual HAM project?
Ragini Advani: See, HAM projects, we currently have 2 commercial. And we are s till to do another 4 to 5 projects. So it will keep growing. I mean, there is not a set n umber that I can t ell you right now. But in the current financial year...
Dixit Doshi: No. Let's say in this 340 -- yes , current financial year other income...
Ragini Advani: For current financial year, the interest in -- out of other inc ome, about INR127 crores pertains to interest relating to annuity model of HAM.
Dixit Doshi: Okay. Okay. So, most of the inc rease is due to that only.
Ragini Advani: Absolutely.
Dixit Doshi: So is it fair to assume that this kind of other income will be sustainable?

Ragini Advani: Yes, absolutely.
Dixit Doshi: Okay. And now, my last question is, if I see the annual number, on the -- the revenue has -- the difference between the revenue o f standalone and console is aro und INR400 crores. So we have done INR9,900 crores in standalone and INR10,400 crores in cons ol. And if I see the PBT before the share of profit from JV, it comes down like INR883 crores i n the standalone and INR860 crores in the consol. So obviously the subsidiaries are making losses. So how do you see them going ahead? Do you expect it to turn around in the near future ?
Ragini Advani: Yes. So I mean, it is -- if I can say, so it is almost like a o ne-off entry I had in one of my

subsidiaries called IISL, I had certain provisioning to do, whi ch is what I've done this time. And it was -- it was a one-time hit. So I don't see that number inc reasing going forward or coming again for that matter.
Dixit Doshi: How much it was?
Ragini Advani: It was about -- close to about I NR17 crores, INR18 crores.
Dixit Doshi: Okay. Okay.
Ragini Advani: And in joint venture, of course, we've had a further risk, whic h we mentioned last time also, there's been some policy changes as well as certain losses, whi ch have been incurred by one of my coal JVs, it's called Chhattis garh CERL and I have taken a h it to the extent of 26% sale.
Dixit Doshi: Okay. And other than the tax write-backs of any of the earlier year, our normal tax rate will be 25%, right?
Ragini Advani: That's right.
Moderator: We have the next quest ion from the line of Vishal Periwal from IDBI Capital. Please go ahead.
Vishal Periwal: Yes, ma'am. Tha nks a lot for the opportunity and congratulation s on good set of results.
Ragini Advani: Thank you, Visha l. Same to you.
Vishal Periwal: Yes. So the first thing, ma'am, even like in FY '23, we saw tha t initially we commented like the revenue growth will be in the range of 10-odd percent. And fina lly, we have done pretty good. Even now we are conservatively guiding or probably like you thi nk that could surprise on th

e
upside or maybe this is t he way one should see?
Ragini Advani: So, Vishal the point is, I think, even I didn't know that execu tion pressure from Government of India before the elections would give us this kind of revenue. So ideally speaking, if we would have moved that the kind of pac e that we were moving, the numbe rs that we gave you is what we had envisaged. But believe me, there is a lot of execution p ressure, and because of which, we've done phenomenally well this year.
And, I mean, I can't say because again the elections are comin g in March '24. So I don't know how much that much momentum will continue. But again, as of now realistically speaking, even

after considering this number of this FY '23, I feel that we sh ould be able to do another 5% to 7% on this number. I don't see that going very aggressive becau se right now we are peaking in terms of our execution capacity. D oes that answer your question ? Vishal?
Moderator: Excuse me ma'am, the current p articipant seems to have dropped from the queue.
Ragini Advani: Okay.
Moderator: We have the next participant, Shreyans Mehta with the next ques tion. Please go ahead.
Shreyans Mehta: Thanks for the opportunity and congratulations on a strong exec ution. A couple of questions from my side. One of the current order book, are there any slow -moving projects? Or is there any order book which is totally moving?
Ragini Advani: Pardon, I didn't get your question.
Shreyans Mehta: The current order book, which we have of around INR36,000-odd c rores, so are there any slow-moving orders in that order book?
Ragini Advani: Slow moving, no, no.
Shreyans Mehta: Sure. Okay.
Ragini Advani: Slow moving in the sense, could be a year or 2 year, here or th ere in terms of the delay, but most of the projects would con tinue the way they are.
Shreyans Mehta: Got it. If you can help me out with that num ber, which is rumou ring 1 to 2 years?
Ragini Advani: Sorry. See, our screening projec ts typically takes about 3 to 4 years to execute.
Shreyans Mehta: Right. Right.
Ragini Advani: So this particularly would have a project of bullet train, whic h will probably take a little time more than that.
Shreyans Mehta: Got it. Got it.
Ragini Advani: So that is what I'm meant to say. So there would be certain ord ers, which would be 2- to 3-years spread. There would be certain 3 to 4 years and there are certa in, which would be spread about 5 years timeframe.
Shreyans Mehta: Perfect. Got it. Got it. Got it. Secondly, in terms of our exec ution, has the high-speed rail and the solar power started contributi ng in terms of the revenues?
Ragini Advani: Which ones?
Shreyans Mehta: The high-speed rail corridor and the solar power.
Ragini Advani: Solar power, we are under construction right now. I mean, in fa ct we are under land aggregation

right now. It should start cont ributing from next year. Yes. Cu r r e n t y e a r i s p a r t l y o v e r , b u t basically next year.
Shreyans Mehta: Next year means FY '25?

Ragini Advani: Yes, '24-'25 -- FY '24-25.
Shreyans Mehta: Sure. And if you could help me out with the high-speed rail cor ridor contribution during the quarter, and likely contribution next year?
Ragini Advani: What is the IP rail corridor?
Shreyans Mehta: High speed rail corridor. The NHS...
Ragini Advani: Okay, okay.
Shreyans Mehta: Yes.
Ragini Advani: High-speed, of course, will take time -- but then it's an EPC p roject. So I am basically booking my revenue every year on it. It should get completed by '26-'27 , I think. Yeah.
Shreyans Mehta: Okay. So ma'am, can you just highlight in terms of contribution during say FY '23 and likely contribution in FY '24, particularly from this project?
Ragini Advani: So that I can tell you right now. I mean it is too much of a de tail we can give you later. But overa

ll, my numbers, as I menti oned in turnover will continue. There will be certain projects which will be declining, there will be certain, which will be p icking up.
Shreyans Mehta: Got it.
Ragini Advani: So, overall the numbe r would remain INR10, 000 crores plus, abou t 5% to 7%.
Shreyans Mehta: Sure. So ma'am continuing in that fund. So 5% to 7% growth, whi ch we are seeing is on console basis. Can you help me out with th e similar growth number for s tandalone?
Ragini Advani: In fact, I'm telling you from bot h perspective because we have a difference of about INR400 crores to INR500 crores in our s tandalone and console, so yes m ore or less similar levels.
Shreyans Mehta: Sure. And in terms of our investments. What are the current inv estments put together in all our JVs, road and the others?
Ragini Advani: Our current investments are abou t INR1,800 crores, INR2,000 cro res.
Shreyans Mehta: INR2,000 crores, including the loans and advances.
Ragini Advani: Including the interest free loan.
Shreyans Mehta: And likely contribution over next one year.

Ragini Advani: And if you were to include interest-bearing loan, then there would be close to 220 0.
Shreyans Mehta: 2200, sure, sure. And lik ely investment in next, say, 1 year or 2 years?
Ragini Advani: So next one year we expect our equity/ interest-free loan inves tment in the range of INR600 crores to INR700 crores. And bas ed on the existing HAM projects that we have as well as the coal JV projects that you have, another INR600 crores and the y ear after that. Total of about INR1,200 crores, INR1,300 crores.
Shreyans Mehta: Over next 2 to 3 years?
Ragini Advani: In this year and next year.
Shreyans Mehta: Got it. And in terms of our cash and bank balances -- our own c ash and bank balance number?
Ragini Advani: It's about INR850-odd crores.
Shreyans Mehta: INR850-odd crores. So, seque ntially that's declined?
Ragini Advani: Yes because we are investing equity in our projects.
Shreyans Mehta: Got it, got it, got it. So...
Ragini Advani: One of our profit into the new businesses.
Shreyans Mehta: Got it, ma'am. We would have als o, during the quarter, we've ma de profit as well which would have consolidated. So on a net b asis, we've invest ed more than that?
Ragini Advani: Sorry?
Shreyans Mehta: I'm saying, Q3, Q4, we have also done execution and that would have translated into some profitability, some cash flows.
Ragini Advani: Yes. So, my overall profitabil ity is about INR700 crores, INR80 0 crores on a standalone basis.
Shreyans Mehta: Right.
Ragini Advani: So, out of INR700 crores, I have -- in this particular year its elf, I think I've spent about -- I think roughly about INR500 crores, INR600 crores.
Shreyans Mehta: That could be during Q4 itself?
Ragini Advani: Partly in Q4, I'm talking about the full-year results Q4, if yo u so. I mean the overall, my profit number is INR700 crores. I have something like about INR700 cro res to INR800 crores is what I've already invested already. In fact, we had done more than t hat, with interest loans and all, how much was the figure? 1000 was coming. And then we've also p aid out dividend, interim dividend during the year.
Shreyans Mehta: Right, right.

Ragini Advani: On the basis of which you get an overall number of cash of abou t INR850 crores.
Shreyans Mehta: Perfect, perfect, perfect. And lastly, on the JV, which we have , we have been guiding that they'll start earnings profit probably by FY '24. And so, are we on tra ck on that front?

Ragini Advani: Sorry. Again, I didn't get your q uestion -- actually your quest ion tends to break.
Shreyans Mehta: So, basically what I want to understand, we've been guiding tha t JV profit will start accruing to us because some of our JVs are s till to come into that phase. S o are we on track that those forward JVs wi

ll start throwing profit in FY '24?
Ragini Advani: Yes, yes. So, again, in terms of my subsidiaries or SPVs, I've already had 2 commercial -- I mean 2 of my SPVs have been declared commercial in FY '23. So the fu ll-year benefit should be visible in FY '24. And in terms of joint ventures, again, 2 of my joint ventures phase 1 each or both of these joint ventures, who is already commissioned.
Shreyans Mehta: Got it, got it. And if I may, one last question, in terms of mo netization, do we need to go to deeper more, are we allowed to monetize the assets, which we ha ve?
Ragini Advani: So that is something we have right now going to, we are in the process of hiring a consultant through which we will be taking all these clarities. I mean, th ere is no such written guidelines. We've had some series of interac tions with DIPAM as well as DPE and our Ministry, on a very, very -- on a very informal basi s. So we understand it should be doable, but let us have a formal report from a consultant on it.
Moderator: We have the next quest ion from the line of Vishal Periwal from IDBI Capital. Please go ahead.
Vishal Periwal: Yes. Sorry ma'am, my line droppe d off. My second question was o n, I think you mentioned FY '23 order inflow is INR500 crores. But I think, if we do a work ing that's implied basis, that the start of the year order book, and then what exactly it is. So i t comes to around INR1,400-odd crores. So is it the project escalation that has lead to this.. .
Ragini Advani: There's been some variances on my existing projects as well.
Vishal Periwal: Okay. Fine, thanks. And in a standalone, I think we can see for a full-year basis tax rate works out to be around 11%- and 12%-odd. So is there any loss making -- I mean what exactly is leading to this? And how do you see this FY '24-'25 tax rate?
Ragini Advani: No, our tax rate is 25%. It is ju st that we've had a couple of refunds in income tax because of which some deferred taxation ef fects have also taken place.
Vishal Periwal: Okay. Okay. So is it fair to say that all these refund it has - - we have received it and probably for next year, we can have a normal 25% tax rate?
Ragini Advani: No, I think we should be having another good year of income tax refunds if all goes well. In terms of quantum, it may not be as high as INR80 crores or INR9 0 crores. But I am hopeful of getting another few crores again because we have -- this is one area where we stringently following up and getting all our funds.

Vishal Periwal: Okay. Okay. Sure, ma'am. And then I think you did mention to a previous -- one of the previous participant questions that equi ty investment in various subsidi aries and JVs, INR600 crores FY '24 and same number for FY '25. Yes. But for, I mean like the c onstruction work that we're doing, so any capex that is planned for that in standalone level?
Ragini Advani: Yes. At a standalone level, our capex number is limited to abou t INR100-odd crores. This would be more for equipments and plant and machinery, etc. But otherw ise, our main focus is on equity investment for interest -free loan investment.
Vishal Periwal: Okay. Okay. Got it ma'am. And then one last question, I think w e have done at a standalone level if you see that we have done pretty good PBT, but when it comes to cash flow, so probably things are like see -- yet to see an improvement. So as we are moving toward a competitive bid project, is the working capital requireme nt different from the nominatio n project came in...
Ragini Advani: Coming to do with working capital, in fact, we are pretty much poised on the working capital. As I mentioned, the cash flow improvement, probably, you wouldn 't have seen because I've already invested a lot of money into my JVs and subsidiaries, i n this year itself. So apart from the interim dividend, I've had some capex this time. And then I 've had my equity i

nvestments
and that is how my overall profit is getting utilized, but ther e is no working capital issue whatsoever in our standalone balance sheet.
Moderator: The next question is from the line of Manish Ostwal from Nirmal Bang Securities. Please go ahead.
Manish Ostwal: Yes, madam, I have follow-up question on your guidance. So you said 5% to 7% revenue growth for the year 2024. If I take that number and your comment about the -- we are again working towards to achieve the peak -- previous peak order book. Then t he order inflow for the year will be very, very large number. So, can you explain the both the -- your comments slightly...
Ragini Advani: So I'm saying that is -- the -- our idea is to get the target h igh and to achieve an order book -- closing order book of that number. One thing is that it doesn't come at the beginning of the year. And in our kind of industry, it will really depend on the numbe r of projects and the size of the projects. So, you may get an or der book, but it may not start y ielding revenue immediately.
Manish Ostwal: I got you, madam. Like for example, we -- starting point is INR 35,000 crores, and we are guiding

of INR11,000 crores of revenue. So if you knock off that number , the number is INR24,000 crores, and then you are talki ng about INR40,000 crores-plus...

Ragini Advani: So, when I meant INR45,000 crores , what I meant was that ultima tely that is our target. We may be initially going for another INR10,000 crores, INR12,000 cror es by this year end and may be another INR10,000 crores by the next year. It's very difficult to actually put a number to it till you start getting those kind of high-value orders. So it is not that I'm saying that we will have a INR45,000 crores after another INR10,000 crores of turnover by the year end. It could well be that we've got another INR10,000 crores of orders and we have a lso executed another INR10,000 crores and net-net, we are at a level of about INR35,000 crores to INR38,000 crores.

Manish Ostwal: So basically INR45,000 crores can be by FY '25, right?

Ragini Advani": It can be even FY '23, but it's too preliminary for me to say, because we are bidding for some big ticket jobs, but one reall y doesn't know how the competitio n will shape up.

Manish Ostwal: Sure, sure. Thanks a lot, madam. Thank you.

Ragini Advani: What I'm trying to say is that we will continue to focus on get ting more orders at sustained margins.

Moderator: The next question is from the line of CA Akash Dhanuka an Indiv idual Investor. Please go ahead. Akash Dhanuka the line for you has been unmuted, you may procee d with your question. As there is no response from the pa rticipant, we will proceed with the next question, which will be from the line of Karan Mehta from Nirzar Securities. Please go ahead.

Karan Mehta: I just have one question. So we h ave got very healthy margins i n our international business in Q4. So I just wanted to know what is the reason for these kind of margins? And are they sustainable? And what will be th e outlook for margins for inter national business in FY '24?

Ragini Advani: So our margins have increased in international business in Q4. There were couple of reasons. We've had certain increase in our value of projects in Algeria, as well as one other in, I think we've had it in Malaysia. But as far as -- there's also been so me particular provisions that we've written back because they had become time barred, and that is t he reason this kind of percentage of EBITDA, you're seeing agains t international business. Going forward, in terms of what would be our sustained margins in international business, it should b e in the range of 8% to 9% maybe, 11% is on a higher side because of certain one-off items.

Karan Mehta: Okay. Okay. Fine. Yes. So in Q4, we have been able to get aroun d 44% of margin. So you are saying that on a full year ba

sis that it will be only at 8% to 9%, is that so?

Ragini Advani: Yes, so for on a full-year basis, currently it is at about, I t hink 11% in case of EBITDA margins. But going forward, it will be 8% to 9%.

Moderator: We have the next question from the line of Deepen Shah, an Indi vidual Investor. Please go ahead.

Deepen Shah: Yes. Thank you for the opportunity and congratulations on a goo d set of numbers. I had one question about the company's cap abilities. In the past calls, w e have been saying that we are focused on building capabilities, after which we will start bid ding for relatively higher margin projects. So can you just throw some colour on what's the kind of capabilities we are developing and what stage we are in?

Ragini Advani: Sorry, could you repeat your question?

Deepen Shah: No in the past calls, we have been saying that the company is b uilding capabilities because of which it can take over higher margin projects. So could you jus t give us some colour on what's the kind of capabilities that companies are building and at wha t stage we are in?

Ragini Advani: Yes. Yes. So the first thing is we are talking of sustained mar gins, not higher margins. The second thing is that we are saying that vis-a-vis a standard ra il civil job or road civil job. What we've had is, we've had a via duct experience, we've had some c omplex tunnelling experience,

especially in the hills, different difficult geologies. Then we have also done certain complex bridges. So given all these factors wherever such kind of oppor tunities are there, we should definitely have a niche.

Deepen Shah: Okay. And other question is like, could you just give us some i nsight on how do we compete with RVNL, which is another government company probably in a si milar kind of business, and how do we differentiate with that company?

Ragini Advani: So we compete with many other pl ayers and RVNL happens to be on e of them.

Deepen Shah: Yes.

Ragini Advani: In terms of our experience and expertise, I think we can take p ride by saying that we've had a better mix of experience. We've done some very complex jobs, as I mentioned in your previous question. The second thing is tha t we are one of the initial on es who've taken the diversification initiatives. So if you see, we are well poised, even if the ent ire order book is not coming from railways, we've already got into highways. We are already into their commercial operations. We

know the nuances and we understand the industry.
And even in terms of our order book, I think we have almost cl ose to 55% of our order book on bidding basis. RVNL, typically had most of it on nomination bas is. And internationally, the kind of experience, Ircon's had I do th ink others have that kind of a parallel experience. So those are the factors that we have. But in terms of actually going ahead and winning a job, it depends a lot on your business strategy. And ye s, they are a competitor to us . And so, are we to them.
Deepen Shah: Sure. Understood. And lastly, on the core EBITDA margins, we cu rrent -- in the current year, if I'm not wrong, we did about 7.2% on a consolidated basis for th e full year. We probably were targeting 8% to 8.5%. So on a poor level on a consolidated basi s, what should we pencil in terms of margins next year?
Ragini Advani: So I was explaining that if out of other income, I was to take out the annuity-based interest income and club it with revenue from operations because in HAM apart of the annuity goes into other income.
Deepen Shah: Sure.
Ragini Advani: If I suppose to do that re-groupi ng, my core EBITDA currently i s also at 8.31%.
Deepen Shah: Okay. Okay. Okay. And we should...
Ragini Advani: And we should continue to maintain that, yes, in the range of 8 % to 8.5%. In fact, I mean, it could go down slightly going forward, but I think we've been al ways saying that our EBITDA woul

d be in the range of 10% to 11% and core EBITDA in the rang e of 7.5% to 9%. So that is where we do business.
Moderator: The next question is from the line of Abhishek Maheshwari from SkyRidge Wealth Management. Please go ahead.

Abhishek Maheshwari: Yes, thank you for my follow-up. So a follow-up on previous par ticipant's question only. He already asked about the core EBITDA margins. So, my question wa s more about at the PAT level, console PAT level. So as you said, core EBITDA, you plan to maintain, if not -- it will marginally decrease. So PAT also , it should be in a similar ran ge, right, 7% or so.
Ragini Advani: That is right. PAT, we, again, we will be in the range of 7% to 7.5%, I think, going forward.
Abhishek Maheshwari: Okay. And ma'am, now that the competitive share of order book h as increased compared to nomination basis. So we would ha ve thought maybe there might be a slight depreciation in margin, but the fact that you are giving a guidance of sustaini ng margins, we are very happy to hear that. Just wanted to comp liment you on that. Thank you.
Ragini Advani: Thank you so much, because I t hink that dip could be more becau se of the life cycle of the project and also on certain provisions t hat we have to create from an a ccounting angle. So, as I've been mentioning it could go hit 0.5% here or there, but otherwise we do tend to hopefully continue maintaining it.
Abhishek Maheshwari: So steady state at 7% maybe.
Ragini Advani: Yes, yes.
Moderator: We have the next question from the line of Jinesh Kothari from HDFC Securities. Please go ahead.
Jinesh Kothari: Yes. So, my question was on the -- almost all my questions got covered. But one last question that given the niche that we are having and given the central e lections coming up in the next year. So are we looking at some of the -- to get some nominatio n-based contracts from the government because we got some, a s you mentioned in your previo us calls, we got some Japanese technologies for the high-speed rail work and we are e xpertise in the tunnel work. So are we aiming at some of the nom ination-based contracts more co mpared to competitive bidding?
Ragini Advani: As far as I know, there are no nom ination-based jobs that have been given immediately. So, those are our experiences and our expertise, which will help us in competing, but per se I think the mood will continue to be competition.
However, in MEA kind of jobs where Exim Ba nk and MEA are involv ed in LOC or direct one-to-one jobs are involved like som ething like Myanmar, for that matter. There may be yes, one can hope here and therefore some point in nomination. But by an d large, it's going to be competitive tendering only going forward.
Jinesh Kothari: Fine, ma'am. And largely all our order wins that you mentioned that we'll be looking at in next 2 years that largely will be in the competitive bidding, I gues s?
Ragini Advani: Yes, yes.
Moderator: The next question is from the line of Shubham S hukla from Voyag er Capital. Please go ahead.

Shubham Shukla: Actually my answers are -- my questions are already answered, s o and -- just thank you.
Moderator: The next question is from the line of Hiten Boricha from Sequen t Investments. P lease go ahead.

Hiten Boricha: So, most of my questions have been already been answered, ma'am . Just the one question, so you mentioned last year, we have order wins up only INR500 cror es, and the reason for that is the competition. So, our orders were mostly into the lower marg ins. So just wanted to understand how is the competition looking r ight now? Are we going to see t he margin pressure in the order inflow side point of view? I just wanted to understand the comp etition, how is it going as of now?

Ragini Advani: As I have mentioned, there are different categories of orders o r

business opportunities that one sees in the market. In the past year, lot of those opportunitie s were, where pe ople were going cutthroat on the competition and going very low on the margins. There were certain players, who probably did not even understand the market per se but quoted v ery low, in fact below estimates also. So we did not want to get into that kind of a game. And w e wanted to all those things to ease out. So, one that ha s started easing out.

And two, there are certain jobs, which are large scale big tic ket or do require past experience and expertise, the kind that we have . So there, we are hopeful that we'll be able to protect our margins and yet get orders, because ultimately, see, there's so much tr ust on infrastructure in India right now that you have all kind of possibilities coming from differe nt doors, some of them may be taking time.

But we are waiting for those on es where we genuinely feel we can take the orders and deliver, as well as can have some margins their own. We don't want to ta ke orders just for the sake. So there is a spread out market and we are hopeful that we'll be a ble to get such kind of orders in this year.

Hiten Boricha: So ma'am, just want to understa nd, is the competition easing no w?

Ragini Advani: No, no, so what happens is that competition really it depends o n the complexity of the job and the size of the job. So the orders which came last year had lot of run-of-the-mill kind of people taking it also. Or certain people who are probably doing it as an increased strategy to diversify or to start showcasing that they have a competitive-based win i n their order book.

Hiten Boricha: So largely that is because of the smaller size of the orders, w hich is going to increase this year. Is my understanding correct ma'am?

Ragini Advani: Yes. So this year we will have a ll kinds of orders. Those order s are the kind of opportunities we need to focus on. We will serious ly work on those ones and try getting those out of competitive basis only, but competition am ongst the serious pattern.

Hiten Boricha: Okay. Understood. Understood. And second is just a clarificatio n, ma'am, you mentioned that 25% tax rate will be for console basis or on a standalone basis , because I understand the tax rate was low on standalone side?

Ragini Advani: So on standalone, our standard tax rate will be 25.168%, but ev ery time we get some tax refunds. I mean the tax refunds, it also has an impact on my deferred ta xation. Because the percentage may go haywire slightly. Otherw ise, we should be in the range o f -- I mean, the rate is 25.168%, so maybe a 2%, 3% here or there.

Moderator: The next question is from the line of CA Akash Dhanuka, an Indi vidual Investor. Please go ahead.

CA Akash Dhanuka: Yes. Congratulations on a great set of numbers. Ma'am, I just w anted to confirm, 2, 3 things on the HAM side. In the Q4, we had INR173 crores of other income. And out of that is INR127 crores the annuity interest or o n the total INR381 crores, INR1 27 crores is the annuity interest?

Ragini Advani: Out of INR381 crores, INR127 crores . I am actually talking on a n annual basis.

CA Akash Dhanuka: Okay. So, out of INR173 crores ma'am, what is the breakup?

Ragini Advani: Out of INR173 crores, I think ab out INR88 crores is on HAM basi s.

CA Akash Dhanuka: Okay. So on an annual basis ma'am, what ca n we expect in FY '24 ?

Ragini Advani: FY '24, you can say, it should be close to eight into four abou t INR320-odd crores.

CA Akash Dhanuka: Okay. So...

Ragini Advani: INR320-odd crores, out of the exis ting 2 projects that we have i n h a n d , w h i c h a r e a l r e a d y commercial.

CA Akash Dhanuka: This is only out of the 2?

Ragini Advani: Yes, the rest are under construc tion, anyways, and they'll take time.

CA Akash Dhanuka: Okay, okay.

Ragini Advani: So about INR300-odd cores. Yes. If

INR80 crores for quarter, th en it should be into 4, yes.

CA Akash Dhanuka: Okay. And another question ma'am, the 2 months have already pas sed ma'am in thi s quarter. So can we expect you to deliver the same kind of results that you have delivered in the Q4 one?

Ragini Advani: See, there is always a difference between Q4 and Q1 for any com pany. So I won't say that Q1 for this year will be pulled to Q4, but nevertheless, the overa ll execution pressure is there. We have a lot of work to be completed by, in fact, most by Decembe r and some by March '24. So while I will not be able to comment anything further. But yes, Q1 should give me good results as compared to previous Q1, but I don't know how much it can re ally match the Q4.

CA Akash Dhanuka: Okay. I mean, but the difference is huge between the Q1 and Q4. I mean Q1 last year was pretty dismal compared to Q4 this year.

Ragini Advani: Yes. So we can't wait for some time and wait for our results to come because again what happens is, many of our projects somewh ere in June, July, August, we ha ve the rainy months.

CA Akash Dhanuka: Sure, sure. I understand that ma'am. Yes, just a last question on the tax part ma'am.

Ragini Advani: I'm not be able to comme nt on that part, yes.

CA Akash Dhanuka: Okay. Okay, I understand that ma 'am. Just -- quick last questio n on the tax part. You had briefly mentioned about that the refund had tripled in and that had an effect on the deferred tax part and the normal taxation is around 25 .168%. And it will be hovering around 2%, 3% below that this year. So can we expect you will be paying 22% tax or approximat ely this year compared to 15% you have paid last year?

Ragini Advani: No, I can't say that because I am expecting some more refunds i n this year. So it could even go down further, but it is something, which I will only get to kno w when I have those refund orders in my hand.

CA Akash Dhanuka: Okay. So it will be below 20%. I'm just...

Ragini Advani: No, I cannot comment whether it will be below 20%, 22%, I canno t get into these numbers.

Moderator: The next question is from the line of Manoj Sah from Laxgov Inv estments. Please go ahead.

Manoj Sah: Yes. Thank you for the opportunity. ma'am. Just wanted to check in your orders, will be the raw material price increase? So there is an escalation clause pass on -- clause you can pass onto the customers or how does it goes, if you can comment on that?

Ragini Advani: Yes. So there is a price variation clause and that effectively -- we have it with the contractor, as well as with the clients. So typically I don't tend to take hit on that account.

Manoj Sah: So basically you don't take a h it in case of an increase in the commodity prices.

Ragini Advani: Yes. See, again, the formula is different from the actual procu rement size that you will do. But at the end of it, at times, it could go plus, at times, it coul d go minus. So till date, we will have not taken any major hit on this account.

Manoj Sah: But there is an escalation clause, you can pass on the hire int o your cost.

Ragini Advani: Yes. Yes. There is an escalation clause.

Manoj Sah: Okay. Okay. And like -- in case of like new and your company an d RVNL are more or less in a similar kind of a business. Is there any chances are heavier an ything around the merger or even in case the merger is announced? Do you see any kind of synergy between these two companies?

Ragini Advani: So one, we are not aware of any s uch process, which is going on in terms of merger. In terms of synergy, again, I mean that's an exercise, which we will have t o do. The case is similar, but there are lot of other points that one will need to see in detail. Sh ould this ever happen? And we will be examining it at the right time, if there is any such directi on from the government.

Manoj Sah: Okay. And one more thing, you said like you might get

order boo k, your order book which is currently at INR35,000 crores might shell to INR45,000 crores t o INR50,000 crores, out of

which you might execute INR10,000 crores, INR11,000 crores. So, by the year-end of March FY '24, you will end up order book of around INR35,000 crores. Is that the correct understanding?

Ragini Advani: What I was trying to correct the gentlemen to say that it is no t that we will -- I'm commenting that we will have a year-end order book of INR45,000 crores. So this is what should be the likely scenario. But again, I mean it is -- we are sitting in May. And as I mentioned, we are having a focused approach towards getting orders. One order here and the re could actually get you to jump quite a few thousand crores here or there. So I don't know where we'll end up, but that is where I'm saying tha t we should be there.

Manoj Sah: Okay. So what you're saying is this year order bids -- the pipe line bids are also very large ones from the size of the orders we'v e launched, it can mix in eithe r way kind of...

Ragini Advani: It is mixed. So some of them are large. So if they get it then it could immediately increase in our order book. If we don't, because it's a competitive bidding aft er all, and obviously you don't get those kind of orders. So it's v ery difficult to predict the out come, all we're saying is that we will continue to fight and hopefully, we should be able to get that kind of order book at the end of the year.

Manoj Sah: And regarding the execution capability. You are in a position t o execute orders in the range of INR10,000 to INR11,000 crores. Are you trying to put on more re sources towards increasing this execution capacity?

Ragini Advani: So, our execution capacity will never be a hindrance to getting a particular revenue, because we

have the required skill sets also, and we can augment the manpo wer for it. But typically speaking,
I mean based on the experience that we've had in this company, we are seeing that's the kind of
level we should reach next year as well. But it does not in any which way mean that my revenue
will come down because I didn't as k the people to execute. No, that will never be the way.

Manoj Sah: Okay. So execution won't be a hindrance to...

Ragini Advani: So, my manpower or machinery will not be a hindrance to executi on.

Manoj Sah: Okay. But for next 2, 3 years, we will continue to expect the e xecution in that INR10,000 crores,
INR11,000 crores range, or do you think you are over next 2, 3 years you may go much beyond
that?

Ragini Advani: Let us see, what our order book is going to be by the end of FY '24, and then we will know the
outcome, because see it also depe nds the kind of orders we do, there could be some orders, which
we may be doing over a period of 2 years or 18 months. There co uld be some, whi ch -- like, for
example, the bullet train is a v ery prestigious project, but it has a very different technology, very
different raw material, different kind of molds in this sector that we need to build.
So obviously it has a longer time duration and basically to ex ecute. So average revenue will also
depend upon the complexity of the project, the size of the proj ect, the geology of the location.
So many factors, very difficult to say.

Moderator: The next question is from the line of Prasad Dhonde from Arcade Investments. Please go ahead.

Prasad Dhonde: Yes. Madam, thank you for the opportunity, and congratulations for the great set of execution. I
have a little different question, madam, because I heard all th e participants so far on the order
book. I have a little longer horizon questions. So recently I h eard, our railway -- Honourable
Railway Minister in Express Adda, wherein he made a point that India needs to invest something
like INR3 lakh crores in railwa ys for the next de

cade or so.

Ragini Advani: Yes.

Prasad Dhonde: So that's the kind of an opportunity he is saying basically as an investor and he is saying in
railways and there is already a big capex happening in highways , the road sector. So I just wanted
to understand Ircon again being very mission delivery in the hi ghways, how is it gearing up to
grab this opportunity for maybe 5 years to 10 years in terms of building capabilities? I mean,
how would you build your company or build the capability for th is opportunity? How do you
look at these opportunities?

Ragini Advani: So I mean on our Honourable MR ha s mentioned a INR3 lakh crores kind of capex outlay. And
he does expect even all companie s to contribute to it, includin g the PSUs, which is our RNVL
RITES etc. And in terms of gearing up, see in our kind of an EP C -- the gearing up is 1, 2, 3
accounts. One is that we are doi ng as much complex work as we c an, which probably the
developed nations are doing and it is something new in India. S o those are areas which we
continuously monitor and we've tried to take a lead. That is th e reason we are doing the bullet
train project for example.
Or in fact, we were one of the earlier ones who did play an im portant role in Delhi Metro project.
So whenever we feel there is a particular kind of an opportunit y, which is going to hit India or
can come in India, we are trying to play the role. And so, it's a continuous learning process. So
we have our experience from the last few years, we have the req uisite team, the skill sets, even
the right kind of contractors with them -- with us with whom we have built over the relationship.
So all that is there. So on the input side, I don't think we f eel that we will ever lag behind should
we be moving ahead at a very fast speed. In terms of actually g etting the orders, it is the space
has been opened up to competitio n. And it's been opened up to a ll kinds of players. So there are
players who may have that kind of experience, there may be play ers who will try to get that
experience by picking on those j obs, which probably even a very low margin or at a loss.
Now that is, of course, for survival of the fittest kind of an approach, which will happen, but
considering our niche, as well as the fact that we have the rig ht skill sets and that we have been
always delivering on in terms of quality and efficiency, I thin k we are rated one of the highest.
So given all these factors, as a long-term player, we are there to survive and continue to grow.
But there could be small messes here and there, because you wil l have all kind of competitors
around these.

Prasad Dhonde: Yes. No. That's quite comforting and great -- I mean, that's a great response. Jus t one follow-up
question maybe I can ask. I have been hearing you for last many con calls and even today, you
made a point, last time you sa id 10% to 12% top line growth, th is time 5% to 7%. So given that

opportunity is so big, why can't we -- why can't Ircon target o r we target to grow at much higher
double-digit kind of growth on the top line since the opportuni ty is there. I mean, in the past,
there was no opportunity, but no w you have railways and highway s. So, are we really becoming

conservative in those terms?
Ragini Advani: No, no. So what happens is the opportunity -- it is like a top- down approach, you said that India's growing at this much kind of in GDP, and oil and gas industry s hould be growing at this pace and so should Indian Oil be growing at this pace. It doesn't ha ppen that way because there is a INR3 lakh crores budget in railways, a lot of that could be of redevelopment of stations, for example.
So those are activities, because we've been in this industry, w e may know the nuances of it. It's not easy doing an existing station redevelopment and continuing to maintain margins and you will keep having extra w

ork there on. And it will be a -- typic ally a very delayed project. I mean, I'm just giving an example.
Prasad Dhonde: Sure, sure. That's great.
Ragini Advani: So similarly, you have certain S&T projects, certain electrific ation projects. You -- there are -- these -- a lot of money is going towards supplies of Locos and Vande Bharat trains. That has not been a forte of Ircon. So Ircon has to go into such kind of ind ustries, if at all, then one has to do a proper research and see to go ahead or not. But whatever is o ur domain, there is enough opportunity there and we will be pursuing. But to say, we will be galloping. It practically doesn't happen that way. We are geared up for it. Should that come to u s that way, we will do. But it’s not happen that way, that's a mo re of a top-down way of looking at things.
Moderator: The next question is from the line of Dixit Doshi from Whitesto ne Financial Advisors. Please go ahead.
Dixit Doshi: Yes, thanks for the opportunity a gain. Just one clarification. You mentioned that out of the INR120 crores of revenue from the annuity other income, INR80 c rores came in the Q4 only. So is it that these projects started in -- late Q3, and therefore, there was no income in the earlier quarters?
Ragini Advani: It only happened somewhere in Q3, you are right.
Dixit Doshi: Okay. And...
Ragini Advani: Actually it is like, there is a 6-month after which you get ann uity. So some of it started in Q3 versus Q2, someone is in Q3 and finally, they started coming in Q4.
Dixit Doshi: Okay. In this -- out of this INR380 crores, if I remove this IN R120 crores and some interest on the income tax, still our other income, almost of INR200 crores to INR250 crores is a consistent other income tax predominantly an interest on advances or cash that we have?
Ragini Advani: Yeah, INR320 crores, what are ta lking about -- is it standalone .
Dixit Doshi: No. So INR380 crores of total other income of which, let's say INR120 crores was this annuity

income from HAM. And another INR20 crores is interest on income tax refund. So if I remove both of that, then INR250 crores is nor mal other income.
Ragini Advani: Yes, yes, that's right. S o out of INR250 crores...
Dixit Doshi: That is predominantly income from the cash that we have?
Ragini Advani: Yes, yes. So what happened is, s ee, we have interest on FDs or mutual funds as the case may be. But we -- and we also have certain other interest income. So by and large till the time I haven't utilized all of this fund into equity investments. I should be able to get that kind of money here, but this is assuming that, how muc h I am investing, that much I am generating cash going forward. Then that's the kind of level we should be able to mai ntain with the kind of interest rates, which are pre vailing right now.
Dixit Doshi: And in terms of the order book, so let's say, currently we have around INR35,000 crores order book and we are targeting 5%, 6% growth in next year. Now, what ever order either INR10,000 crores or INR15,000 crores, whatever new orders we received thi s financial year, it will take time to start. So considering the current order book and the ph ase of different projects must be at a different lifecycle. So, considering that, can we say that even in FY '25 will -- our growth rate could be around 8% to 10%?
Ragini Advani: I think that is something which we will like to say after maybe a quarter or so because I cannot give that kind of a commitment, we will ideally like to have th at any company or its management would like to target that, but whether it really come or not wi ll also depend upon the additions in order book that I have.
Dixit Doshi: Okay. And this INR35,000 crores a verage execution timeline woul d be 3 years?
Ragini Advani: Yes, that's right.
Moderator: The next question is from the line of Sajal Agarwal, an Individ ual In

vestor. Please go ahead.
Sajal Agarwal: Ma'am, I have a question. So th ere has been a recent announceme nt by the Karnataka government that they will be cancelling some state orders and they will be deferring through payment. So just wanted to understand, do we have any current orders, which we are executing for Karnataka state government?

Ragini Advani: No, we are not.
Sajal Agarwal: Okay. And is there any -- anything in our order book?
Ragini Advani: No.
Moderator: As there are no further questions , I would now like to hand the conference over...
Ragini Advani: Just a second. Just a second. I think I'll just like to clarify the issue on interest income international. I think a gentlemen had said that we've earned s omething about 40% to 44% this year and -- which was true, we have earned about 40-odd percent this year out of our international

business in terms of EBITDA margin.
But going forward depending upon the kind of jobs we pick up go ing ahead, I think that number can drop down. But those would be very difficult to say how muc h would that number be. So I just want to stay corrected that currently the margin had been in the range of 40% in international businesses. Yes, thank you.
Moderator: Ma'am, we have no further questions at the moment. So I would l ike to hand the conference over to you for closing comments. Over to you, ma'am.
Ragini Advani: Yes. Thank you. Thank you for m oderating the call. Thanks to Pe rfect Relations for organizing this call. And thanks to all our stakeholders, business partner s, analysts, investor friends, who have showed faith on us and suppor ted us. We do hope to continu e to have your support and we as management do continue to show our loyalty as well as our de sire to grow the way we have grown till now.
I understand the concerns most of you have around the order bo ok, and that is something, which even we are focused on. We would be happy to connect with any o r all of you on a one-to-one basis if required, for any further queries. I conclude today's con call. Thank you all for active participation. Thank you.
Moderator: Thank you. On behalf of Ircon Int ernational Limite d, that concl udes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

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(A Govt. of India Undertaking)
An integrated Engineeri ng and Construction Company
IRCON/SECY/STEX/124 14th August, 2023
BSE Limited
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Sub: - Transcript of the Q1FY2024 Analyst Conference Call held on Wednesday, 9th August, 2023 / [redacted] , 9 [redacted] , 2023 [redacted] Q1FY2024 [redacted]
Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disc losure Requirements) Regulation, 2015 and in continuation to our letter of even no. dated 3rd August, 2023, please find enclosed the transcript of the post result Analyst C onference Call held on Wednesday, 9th August, 2023 to discuss the financial results of the Company for the first quarter ended on 30th June, 2023.

In accordance with Regulation 46(2) (oa) of the SEBI (Listing Ob ligations and Disclosure Requirements) Regulation, 2015, the Transcript of the Analyst Conference Call is also available on the Company's website at the link
https://www.ircon.org/ index.php?option=com_content&view=article &id=226&Itemid=643&lang=en
which can also be accessed th rough below mentioned path:

www.ircon.org >> Investor Relations>> Pres entation and Earning Calls>> Transcript of the Analyst Conference Call held on 9th August, 2023 for financial results for the first quarter ended on 30th June, 2023.

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"Ircon International Limited
Q1 FY'24 Analyst Conference Call"

August 09, 2023

Management
Ircon international limited

Mrs. Ragini Advani – Director Finance
Mr. B. Mugunthan – Ch ief Financial Officer and ED Finance
Mr. Alin Roy Choudhury – CGM Finance

Moderator: Good afternoon, ladies and gentlemen. I am Neerav, the moderat or for this Conference Call. I thank each one of you for joining us today for the Irco n International Limited Q1 FY24 Analysts Conference call.
At this moment, all participants are in listen only mode. Later we will conduct a question-and-answer session. At that time, if you have a questi on, please press '*' and '1' on your telephone keypad.
Today we have with us from the Se nior Management represented by Smt. Ragini Advani – Director Finance; Shri B Mugunthan – Chief Financial O fficer and Executive Director (Finance) and Shri Alin Roy Choudhary – CGM (Finance).
I would like to remind you that some of the statements made in today's call or discussion may be forward-looking in nature. It is subject to s everal risks and uncertainties that the actual results could materially differ. Should you need assistance during this conference call, pl ease signal an operator by press ing '*' then '0' on your touchtone phone.
I would now like to hand the conference over to Smt. Ragini Adv ani for the opening remarks, after which we will have the forum open for interactiv e Q&A session. Thank you and over to you, Madam.
Ragini Advani: Thank you, Neerav. Good afternoon, everyone. I am Ragini Advani – Director Finance at Ircon International Limited. On behalf of my team, I extend a very warm welcome to all of you and thank you for your presence today at IRCON's Earning Call for 1st Quarter ended 30th June 2023. I have with me Shri B Mugunthan – my Chief Financial Officer and ED Finance and Shri Alin Roy Choudhary – CGM (Finan ce). We extend our heartfelt gratitude to all our esteem stakeholders whose un wavering support and trust have been instrumental in driving this organization forwa rd.
Our focus remains on creating a strong foundation, sustainable and profitable growth, while maintaining a robust balan ce between short term profitabi lity as well as long term value creation. Our commitment lies in extensive expertise , abundant resources, strategic partnerships to fuel culture of innovation, increase operational efficiency and secure superior outcomes on behalf of all our investors and sta keholders. I am pleased to report that our ongoing projects are progressing well. Miles tones are being achieved within the scheduled timelines. Our technical teams have demons trated exceptional dedication, expertise and a commi tment to overall corporate gov ernance and safety matters, and it has allowed us to overcome all the challenges t hat we had and deliver excellent outstanding execution r esults. I am sure you have all gone through the

financial results of the Company as well as the investor presen tation that was uploaded.
We are delighted to inform that IRCON has achieved the highest ever 1st Quarter turnover.
Let me now take you through a snapshot of our financial perform ance for Q1 FY24:
The Company has reported a total revenue of Rs.2828 crore in Q1 FY24. This is as high as 37% increase over the corresponding period of the previ ous last year. PAT has

increased by 30% to Rs.187 crore as compared to Rs.145 crore in Q1 at FY23. Core EBITDA has increased to Rs 204 crore vis-a-vis Rs.172 crore for the corresponding previous year quarter. Earnings p er share have also gone up to Rs. 1.99 per equity share in Q1 FY24 as against Rs.1.54 in last fiscal Q1 FY23 and this i s on a face value of Rs. 2 per share.

The order book of the company as on 30th June 2023 stood at Rs. 32,486 crores, which comprised about 45% orders on nomination and 55% on competitive b a s i s . T h e domestic international split of our order book is in the range of 91:9 and currently IRCON as you all are aware, has 1 1 subsidiaries and 7 joint ven tures. All of this subsidiaries and joint ventures alo

ng with IRCON, we are essent ially into roads, railways, highway s, renewable power projects.

Now, without taking much time, I would now like to open the flo o r f o r t h e Q & A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question que ue assembles. First question is from the line of Man ish Oswal from Nirmal Bang. Ple ase go ahead.

Manish Oswal: Yes, thank you for the opportunity, Madam. My question on the order book trend which we are seeing in the last four five quarters, it is not g rowing even if you look at y-o-y and quarter to quarter basis. So, how do you see the grow th in the order book and order in flow for the rest o f the current financial year? T here is the question number first one and the second question on the margin side, we have s een some improvement on margin of quarter-to-quarter basis. So, where the operating margin to settle down given our current order book position?

Ragini Advani: So, answering your first question, as far as the order book is concerned, we have been maintaining that previous year we were focusing on execution an d now we have picked up our marketing and business development activities again. We do hope to get orders in the range of 10,000 crores to 12,000 crores in the current y ear. So, our order book remains in the levels of about 35,000 crore at the yearend as w ell. As regards the orders

that we have secured in Q1, there have been some orders that we have secured of a smaller value, but going forward we are hopeful as we mentioned that we will be able to get overall in the entire financial year orders equivalent t o the range of 10,000 crores to 12,000 crores. Because we are fairly at advanced levels of i n certain orders. As regards margins are concerned, this is an EPC business. We have been maintaining that the PAT margins will be in the range of 7% to 7.5% and our EBITDA margins will be in the range of 10% to 11% and we continue to maintain that stand. Quarter 1 has given us results slightly better than earlier thing but it is also the fact is that there are certain provisions which typ ically come at the year end. So , on a year-to-year basis, I think that is where we would like to continue maintaining our selves. Q1 has given us results much better than the market or our own expectations in terms of margins, but overall, it should come down to that level eventually.

Manish Oswal: And lastly in your press release, we mentioned that the Prime M inister recently announced railway station development. So, in that market oppor tunity, do we share the significant opportunity for our Company or how we participa te in that opportunity the station development opportunity.

Ragini Advani: So, this is a news item and as you rightly mentioned, our honor able Prime Minister has talked about 508 station developm ents. These projects are of a very small size. They are typically in the range of 20 crores to 30 crores and again, when we have been making our analyst calls, we have been explaining that the nich e for IRCON lies in slightly bigger size projects and also in complex projects whic h involves tracks, tunnel, bridges, that kind of a work. So, this is not our immediate pie of orders that one will look at. However, should there be certain station development p rojects of a bigger or a larger value, and where we see we can fit in, we will definit ely look at those opportunities, but the typical project size of 20 crores to 30 crores is not something that we will be looking at.

Manish Oswal: Thank you, Madam. Thank you very much for all the questions.

Moderator: Thank you. Next question is from Swechha from ANS Wealth. Plea se go ahead.

Swechha: Hi, ma'am. Thank you for giving me this opportunity. Ma'am, I have a few questions. So, my

first question is regarding order and order wins? So, if you could tell us how many orders that we won in or new orders that we added in Q1 FY 24 and also if you

could give me the value of the o rders that we have already subm itted our bids for, but
the decisions are still pending you know.

Ragini Advani: So, we have won orders to the extent of about 200 crores to 250 crore s in Q1. As regards the orders that we are pursuing obviously they are much higher in number and it also depends because it is competitive bidding. It will real ly depend on who becomes the L1. Some of them are QCBs where we have scored a high techn ical score, but I mean at the end of it you are quoting for a much bigger pie and then getting a share of it, so those numbers would be humongous, but I think we would l ike to announce as and when those orders come of the value at which they are but o verall, we are quite comfortable with our existing order book position and the fact that we will be able to recoup the order to about 35,000 crore level by the year end, t hat is something that we are looking at and we are very confident about it.
Swechha: Okay. So, any broad ballpark number also you would not be able to give.
Ragini Advani: No because it is very difficult. If I was to say that I am pitc hing in for 20,000 crore jobs, it has no meaning for you because it really depends on ho w many of them you would turn out to be L1 and it is the other way around also if I know some of them are very close, I would rather not announce till it is done because at the end of it is an L1 driven industry. So, I think that is where we would like to sta y put at this point and we will be happy to share as and when those or ders are reasonably certain.
Swechha: Okay. So, just one follow up on this. So, this is about the ord ers it has already submitted, but if you could give some sense of what kind of bid pipeline that we are looking at, are we bidding in th e export market, some color if you could give there?
Ragini Advani: So, see there are three main ar eas in which we are working righ t now. One is of course the rail project and when we say rail projects, it is not just the Ministry of Railways, but also the associated projects, which is your bullet train an d your Dedicated Freight Corridors and associated projects. So, if you were to look at a n opportunity sitting there, it's humungous. So, those projects as and when they come up provided they are of a reasonable size and have a good technical involvement, we will be bidding for all those kind of projects and depending upon our ability as well a s pricing because we have also maintained that we would like to do a sustained prici ng. We will not get into a case where we are taking the orders for the sake of making lo sses. So, given these two factors, that is something which we will continue to bid an d get reasonably sized orders from that industry because that is where our forte is ou r experience and second is that on roads and highways, again we will continue with cert ain PPP project bidding for HAM projects and as far as in ternational markets are concer ned the existing markets in which we are working, which is Bangladesh, Sri Lanka , Nepal, there of course we are already talking to those governments and trying t o get some more projects. They are also in pipeline, but in these kind of proje cts since these are specific

country outside of India driven p rojects and some of them may n ot be NEA or LOC driven projects. These projects may take a little time to estab lish and then come out, but all those exercises are happening. Beyond these countries t he rest of the countries again for example our CMD went with the delegation to Africa, t o Tanzania, and there are certain opportunities that we are looking at in t

hose areas , but those are the steps
that have just been initiated. It could happen in few months, i t could take certain years as well, but we are totally on that job as well and those are t he areas which we are continuing to do and we should be hopefully getting, if not imm ediately over a longest period of time, we should be getting international orders as we ll of a significant amount.
Swechha: Okay.
Ragini Advani: So, all these would be our focus areas.
Swechha: Understood. Okay. So, ma'am, we have an other income of 111 cro res so could you tell me how much of this is on account of HAM projects?
Ragini Advani: Yeah. So, HAM projects is r oughly about 47 crores.
Swechha: OK. So, ma'am, actually, in our last call, we had kind of said that 80 crores on a quarterly basis is what we will make on HAM projects going forw ard. So, this is significantly lower than that number. So, what kind of led to t his lower income from HAM projects in this quarter an d then how should we look at it going forward? Can

we do that 80 crores kind of a number from next quarter or this guidance changes?
Ragini Advani: No. So, what happens is that there are certain projects which a re currently operational. There are certain projects which will get operational in next f ew months and also there is a part which we call as scoping and descoping which happens. So, going forward we should be able to do more than this 47 crores and our guidance on this other income that we will be earning. So, when we were talking about 80 cror es that also included O&M number along with the interest income number so that O&M nu mber will probably figure in this interest on financial asset. So, when I 'm telling you 47, this is out of 111 crores.
Swechha: Right. So, last quarter out of 173, we had done 80 crores on HA M projects, right?
Ragini Advani: So, that 80 crores last time when we did included a cumulative catch up on one of the projects. It was not 87 was not a number which would happen eve ry quarter out of the two existing projects. So, we have two operational projects for Vadodara Kim and Davanagere Haveri as of now. So, in Vadodara Kim, there was a c atch up which

happened in the last quarter, which will obviously not happen g oing forward. So, interest income that will sit in other income. Currently will b e in the range of 45 to 50 crores on account of HAM projects, but on an overall basis, the annuity number should be in the range of about 80 crores every quarter.
Swechha: Okay and so just one last clarification, I think you mentioned in the previous answer to a participant that EBITDA 11% being maintained. This is not the core EBITDA, right?
Ragini Advani: No, it's not core EBITDA.
Swechha: OK. That's it. Thank you, ma'am. Thank you so much.
Moderator: Thank you. Next question is from the line of Pranay Khandelwal from Alpha Invesco. Please go ahead.
Pranay Khandelwal: Hello, thanks for the opportunity. I just wanted to understand this. Just this housekeeping question, I just wanted to understand how is the c ore EBITDA calculated?
Ragini Advani: Core EBITDA is basically by taking out your other income.
Pranay Khandelwal: Okay.
Ragini Advani: EBITDA excluding other income.
Pranay Khandelwal: Based on the presentation, I think our core EBITDA right now is 7.52 this quarter, while if we take out the other income and calculate it, it come s out to around 7.8% or so and some discrepancies also there in the quarters before thi s. I just want that's why I wanted to understand where it might be this difference coming from.
Ragini Advani: No, I think that is a calculation that you can check with my te am subsequently. But yeah, it is typically that and yo u can check it with my teams a fter this.
Pranay Khandelwal: Alright, Thank you.
Moderator: Thank you. Next question is from the line of Ashutosh from Amb it Portfolio M

anagement Service. Please go ahead.
Ashutosh: Hello. So, just a broad understanding, I am asking on the core EBITDA level. So, if I see your core EBITDA level for, I mean you have grown quite sig nificantly in last two or three years now, but your core EBITDA has actually come down from 11-10% to

almost seven 7-1/2% now. So, can you explain the reason for thi s and going forward on a core EBITDA level, what are your expectations? I mean, hav e you seen the last of the low margins from a core EBITDA aspect or and can we see them improving back to 10-11%?
Ragini Advani: O k a y , s o t h e r e a r e t w o t h i n g s . T h e f i r s t t h i n g i s t h a t a s f a r a s 11% margins were concerned couple of years back , they were exceptionally high fo r this industry. Once we have come into a competitive bid and also once we have lesse r share of international projects. The core EBITDA margins will remain in the range of a bout 7 1/2 to 8 1/2 or maximum 9%. Now when I say core EBITDA margins 7-1/2 to 8-1/2, this is excluding the total other income that we have shown quarter on quarter, b ut if you typically see that also has an amount, which is something that I am earning a s a part of my annuity in HAM proje cts. So, t hat ideally is out of m y operations only and it does not get depicted in an excel that way, but if I was to add that that nu mber, I think it should add to about 1%.

Ashutosh: Yeah.
Ragini Advani: So, yeah, that that will remain. See, we have always said that currently the profit m a r g i n s t h a t I a m g e t t i n g a t a P A T l e v e l a s w e l l a s a t E B I T D A l evels is what is sustainable. What I had couple of years back was not sustainabl e. It was an exception.
Ashutosh: So, just to understand, so do you mean to say before, let's say 3-4 years back, it was not on bidding basis or were there some checked.
Ragini Advani: So, there were two things. One, we had some significant interna tional projects where our margins were as high as 40 to 50%.
Ashutosh: Okay.
Ragini Advani: Okay. So, those projects, I mean we got it one off. We will be happy if we get on in future also. But you cannot be relying on those because interna tionally also now most of the EBITDA are done on a competitive basis and the second th ing is that yes, to some extent earlier entire business was practically on nominati on. Then over the years it became onto competitive basis. So, that is something which w ill over a period of time, you know, now that the competition is totally there. Ther e had been some cuts in margins which we have said that has happened and now it will co ntinue at normal levels at which we have been doing our FY23 etc.
Ashutosh: Yeah, that is helpful. So, this competition is basically from p rivate players also.

Ragini Advani: Yes, that's right. From every player in the industry, it is not just between the public sector.
Ashutosh: Thank you mam. I will come back in the queue if I have more que stions, thank you.
Ragini Advani: Sure, sure. Thank you.
Moderator: Thank you. Next question is from the line of Dipen Shah, indivi dual investor, please go ahead.
Dipen Shah: Yeah. Good evening and thank you for the opportunity, ma'am. Ye ah, I had a couple of questions. Firstly, in the 1st Quarter, we have done a signi ficant growth of more than 30%. How would you look at the full year. Last time you to ld you should be looking at maybe 8-10% kind of growth, but looking at the 1st Q uarter should we aspire to be or should we look at a higher number in that?
Ragini Advani: I would still say that we would say around 10% is what we will expect, but yeah, we will definitely aim to do much better.
Dipen Shah: Okay.
Ragini Advani: Because we do have the order bo ok and we do have the execution ski

ll sets, but you know, I mean, with the kind of industry in which we are working . It really depends on lot of factors which are beyond our control also as well. So, w e will be happy to take anything beyond that. But as of n ow, as a management, we would say that we expect growth in the range of 10% over the previous year.
Dipen Shah: Okay and in the high-speed rail project recently, there was a c ontract which was finalized and probably a private player has won it. So, any fur ther contracts or are we bidding for any further contracts in the high-speed rail projec t or any other area where we have got a higher technical expertise?
Ragini Advani: Yeah, absolutely as we have been maintaining, we are and we wil l be bidding for all projects where we feel our technical expertise will be utilized to the maximum because that' is where our niche lies and also like unlike many other c ompanies, we like to take up projects which we deliver with quality and time, so that wil l be continuing as our focus area. But I mean at the end of it is a competitive sector and we are fairly confident of our skill sets as well as pricing. So, when we get those ord ers. We will be happy to share it with you, but yeah, def initely that is our focus area not to worry about.
Dipen Shah: Okay. Thank you very much, ma'am and all the very best to you.

Moderator: Thank you. Next question is from the line of Shreyansh Mehta, f rom Equirus Securities. Please go ahead.
Shreyansh Mehta: Thanks for the opportunity and congratulations on a very good s et of numbers. Ma'am, I joined a bit late. So, my ques tion, so first on the revenue g uidance, if you would like to throw some numbers given that 1Q is you know much better tha n what we had expected.
Ragini Advani: Yeah so I think the previous sta keholder also asked the same qu estion and I just mentioned that by yes, we are very happy with our Q1 performanc e and we hope we

can take it forward in the other quarters but on an overall yea r basis, I would still like
to say that we should be about increasing our overall revenue i n the range of 10% over
the previous year. If we do better than that, we will have a cl earer picture probably in
Q2 or Q3 and we will be sharing it forward, but that would be t he overall factor right
now because there are many extraneous factors which at times ar e beyond us, and
therefore, we will not like to over commit to any of our invest ors.
Shreyansh Mehta: Got it, got it. Ma'am second question is pertaining to, the pre ss release which was
given that one of our JV Bastar Railway would be taken over by the railways. So, what
is the investment out there an d how much will we be getting fro m that?
Ragini Advani: So, you know it is just the in-principle decision which has hap pened right now and our
equity investment in that proj ect was 76.34 crore. We will be w orking out the pricing.
It should be on a mutually agreed price, but this is a project which had just started.
Land was taken and some basic ear thwork was started. So, I thin k it should eventually
materialize around the level at which we have invested only, bu t the Nitty-gritty and
the details we will do as and when we tie it up the railways, w e will share it with you
all.
Shreyansh Mehta: Got it and Ma'am this is just the equity portion, anything whic h we have given in the
form of loans and advances or any other advantage to this subsi diary?
Ragini Advani: There are no advances, no loans. In fact, that entire project t hat JV had also not taken
up any loans so far. So, it was at a very prelimin ary stage whe n it has been announced
to be taken over by railways. There is not a problem that way, yeah.
Shreyansh Mehta: Got it, got it. Sure, and certainly, ma'am, in terms of order i nflows, we were guiding
for that order in flows would be we will be targeting from seco nd half onwards. So,
how

much can we exp ect going forward?

Ragini Advani: So, I just mentioned that we wo uld like to keep our order book in the range of 35,000
crores by the year end and that is something which we are targe ting and going full
fledgedly only to look for orders securing orders in that range or even higher but as
and when we get those orders, we will be hap py to share that wi th you all.
Shreyansh Mehta: Sure, ma'am and lastly, on the cash on books, our own cash and the investments which
we have made and likely investment in next couple of years.
Ragini Advani: Our own cash is in the range of 800 to 900 crores and as far as the investments which
we are likely to make, these are in the range of about 1150 to 1200 odd crores
cumulatively out of which 500 to 600 crores should be in the cu rrent year.
Shreyansh Mehta: And how much have you done till date.
Ragini Advani: We have already made. I think it is in the range of about 2200 odd crores.
Shreyansh Mehta: 2200 and incremental 1000 odd crores?
Ragini Advani: Incremental another 1000-1100 crores, yes.
Shreyansh Mehta: Got it, ma'am. Got it. Thank you and all the best.
Ragini Advani: Alright, thank you so much.
Moderator: Thank you. Next question is from the line of Amit Kumar from De termined
Investments. Please go ahead.
Amit Kumar: Good evening, ma'am. Just one question with respect to what kin d of projects really
are you bidding for? We have seen a few of your peers like RVNL , you know, enter
into, very wide variety of you know segments, roads and gone ve ry, very aggressively
into international as well. We just wanted your thoughts on in terms of whether you
are also sort of looking at segm ents other than railways and in ternational markets to
India versus international and railways versus you know non rai lways in terms of
opportunities and risks if you can just.
Ragini Advani: So, you know the first thing is that apart from railways we are alr eady into roads.
RVNL has recently taken one order there, but we have been takin g orders on roads and
highways in PPP mode as well as otherwise for few years now and in fact four of our
assets, in fact, five of our road assets are already operationa l. So, that is something
which we are doing continuously and we will continue to do. Rai lways will remain our
core area of focus. Internationally again, as you all are aware , IRCON have had a

history of doing maximum number of projects outside India as a PSU. We have done
some 120 odd projects in 25 plus countries and currently also w e are executing in and
about 5 to 6 countries, some projects so international also wil l continue to be our focus

area. It is just that because of t he economies worldwide, there are certain decisions which many countries are right now delaying or are taking a lit tle time and that is what may impact in terms of us securi ng orders over a short-term per iod from international market, but they continue to be our strength as well as focus. The order that RVNL took internationally is something that even we bid in that and we were L2.
Amit Kumar: Okay, ma'am. In terms of your order book, if you can please hel p me with the mix for railways versus non railways and the international versus India .
Ragini Advani: So, our railways is about 70%-odd of our order book and our dom estic is about 90% of our order book. So, domestic International is 90/10 and rail ways versus others is 70/30 almost. And nomination versus competition is 45/55.
Moderator: Thank you. Next follow up is from the line of Swechha from ANS Wealth. Please go ahead.
Swechha: Hi ma'am. Sorry just a follow up here regarding again the order book edition. It is really encouraging to know that you are pretty confident that y ou know we will be able to add 10,000 to 12,000 crore of orders this year. You kn

ow, bu t I wanted to understand
that you know in Q1 you only added I think 200 to 250 crores of orders and even in the last couple of quarters if we see, Q3 we added Rs. 120 cror es last year, last year Q2 also we did 330 crores. So, I am so sure that confidence of add ing 10,000 crores to 12,000 crore of orders this year is definitely basis some comfo rt that you have in the orders that you have already submitted the bid. Right. So, beca use it's a big, big thing, right, because we have already done only 200 -250 crores this q uarter. So, if you could give some sense that what kind of orders that we have already b id for which decisions are pending and we are so sure that so there might be some big orders that we have bid for and you are confident.
Ragini Advani: All I would say is, you know as one of your colleagues also ask ed the same thing is that rest assured, whichever sect o r s w e a r e r i g h t n o w i n o p e r a t ional in as well as focusing on, which is railways, r oads and highways as well as i nternational business, we are definitely focusing in these areas only in terms of spec ific opportunities and how much are we expecting in pipeline and by when I think we wo uld only be in a position to share that as and when we are almost there or we ha ve got the award letters from them because you see it is a competitive business. It is a tough industry, we are fairly confident because we know that one our technical skill s ets and our experience

is great and two, in terms of sustainable pricing, that somethi ng where we are always good. So, if someone comes in quoting a low price with the obje ctive of entering and not earning profits out of it those are the players with whom p robably even IRCON would not compete and would not like to compete, but otherwise there is no reason for us to get certain projects that we are targeting and we will be sharing it in the due course as and when it comes. As of now, I think the very fact t hat we picked up and built an order book up to 44,000 crores last year should be a g ood enough through for a confidence that you all may have in the management of the com pany that we are capable of getting that. The reason why we went slow last year is because we were focusing on execution and 44000 cr ore order book is also a sign ificant number, which IRCON had and we want to be very comfortable that we are able t o actually deliver similar products on these fast and stringent timelines. So, it was a conscientious decision that we have taken and as I mentioned in my last call also, it is now that we are going back into order books because we knew we were comfort able with the range of 30 to 35,000 crores. So, and so we do not need to kind of ru sh into getting orders. If one is comparing 44,000 to 32,000 or 35,000 it is right what yo u are asking. But if one was to see in terms of the orde r size we have it for a 3 to. 3- 1/2 year period.
Swechha: Okay.
Ragini Advani: There is nothing t o worry per se.
Swechha: Okay. No that that gives a lot o f comfort that we are confident we will add in 10 to 12,000 crore of orders this year. So, thank you. Thank you so m uch, ma'am.
Moderator: Thank you. Next follow up is from the line of Ashutosh from Amb it PMS. Please go ahead.
Ashutosh: Yeah, I just understand the growth guidance of 10%. So, just wa nted to understand because we have grown significan tly for last many quarters rath er and even in this year's Q1, we have grown by almost 35-36% on the top line, but if we are thinking from a 10% kind of growth on an annual basis that actually leav es with us with almost no growth for the rest of the ni ne months, mathematically speak ing and if you already have the order book of 30 to 33,000 kind of order book right no w, then would not it be

a fair assumption from execution angle. You would be in a posit ion to contin

ue on this
kind of a run rate from a top line growth perspective and not e xpect like a very flattish top line in the rest of the quarters in this year.
Ragini Advani: See, there are many factors whic h are beyond us, whether it is geographical, economical, political, we have had a fairly good quarter one wh ich typically is not the

case, but we have had it because of course there was a lot of e xecution pressure and we have delivered it, but going forward one, geographically, th ere are monsoons in many areas where Q2 could be affected. And two, from an overall perspective that kind of because our projects go in tandem with the owners, they also have to do certain things to make sure that the execution is happening at the spee d at which it should be happening. So, those are things which what I am saying is if it happens it will be great and we will be happy to have a higher growth, but to say with c ertainty that that will happen is very difficult to say. So, if there is no execution p ressure on some of our clients and associated governments as well as other associated partners, then yes, it could come to that level of 10 to 12,000 crores only. So, this is something which we will be having a better idea in Q2 or Q3. As of now, we will li ke to go with the fact that overall minimum increase would be 10% over the previous ye ar.
Moderator: Thank you. Next question is from the line of Pranay from JNJ Ho ldings. Please go ahead.
Pranay: Hi, good afternoon, ma'am. Thank you for this opportunity. On t he same lines basically, if I heard you correctly, our order book is about 32 ,400 something crores and we plan to close this here by about 35,000 crores on the order book front and basically, we have executed about 2700 crore in the 1st Quarter and if you are expecting 10-12 thousand crores of new order book addition in the current year, the maths workout to be around 20, 25% of top line growth. So, I am just unable to b asically correlate because that number comes up to a bout 12-1/2 and a 13,000 crore s of top line vis-a-vis with your guidance of 10% of top line growth. So, if you ca n just help me understand.
Ragini Advani: 10% of top line growth is workin g out around 11-11-1/2 thousand crores, right?
Pranay: Yeah, but if I do the simple math of your.
Ragini Advani: It actually a matter of. I mean, it really depends on the execu tion skill set, right? So, which is what I have been maintaining that while we can go beyo nd 11-11-1/2 thousand crores, but there are elections c oming up, there are certain th ings which tend to go slow, which are extraneous of us. There is monsoon which will c ome up in Q2. So, if we do around 13 it will be great and we will target, but to say I will achieve that number is not something I am confident at this stage, so I am saying t hat we will actually grow at least to a level o f our 10% increase over the previous year.
Pranay: Okay and with the same 7- 7-1/2% PAT margin?
Ragini Advani: Yes.

Pranay: OK, ma'am. Thank you so much alright.
Moderator: Thank you. As there are no further questions, I would like to h and the conference over to the management for closing comments.
Ragini Advani: Thank you Neerav for moderating the call. I would also like to thank all our stakeholders, business partners, analyst, investor friends who from continued to show faith in our company and supported this journey. We assure you that we will continue to deliver. We would be happy to connect with you on a one-to-o ne basis if required for any further queries or clarifications and with this, I conc lude today's concall and thank you all for the active par ticipation. Thank you, please.
Moderator: Thank you very much. Thank you all for being a part of the conf erence call. If you need any further information or clarif

ication, please mail at s achin.garg@ircon.org. On
behalf of Ircon International Limited, that concludes this conf erence. Thank you for joining us. You may now disco nnect your lines. Thank you.

Call: Nov 2023

[redacted][[redacted]: [redacted] -4, [redacted]è[redacted]È[redacted], [redacted], [redacted]ã[redacted] - 110017 , [redacted]
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(A Govt. of India Undertaking)
An integrated Engineering and Construction Company
IRCON/SECY/STEX/124 14th November, 2023
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Scrip Code: IRCON

Sub: - Transcript of the Q2FY2024 Earning Call held on Friday, 10th November, 2023 / [redacted],
10 [redacted] , 2023 [redacted] Q2FY2024 [redacted]

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 and in continuation to our letter of even no. dated 2nd November, 2023, please find enclosed the transcript of the post result Earning Call held on Friday, 10th November, 2023 to discuss the financial results of the Company for the second quarter ended on 30th September, 2023.

In accordance with Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015, the Transcript of the Analyst Conference Call is also available on the Company's website at the link
https://www.ircon.org/index.php?option=com_content&view=article&id=226&Itemid=643&lang=en
which can also be accessed through below mentioned path:

www.ircon.org >> Investor Relations>> Presentation and Earning Calls>> Transcript of the Earning Call held on 10th November, 2023 for financial results for the second quarter ended on 30th September, 2023.

[redacted]

[redacted],
[redacted],

([redacted])/ (Ritu Arora)
[redacted]/ Company Secretary & Compliance Officer
[redacted]./ Membership No.: FCS 5270

November 10, 2023

Management
Ircon international limited

Mrs. Ragini Advani – Director Finance
Mr. B. Mugunthan – Chief Financial Officer and ED Finance
Mr. Alin Roy Choudhury – CGM Finance

Moderator: Good afternoon, ladies and gentlemen. I am Dorwin, the moderator for this conference call. I thank everyone for joining us today for the Ircon International Limited Q2 & H1 FY24 Analyst Conference Call. At this moment, all participants are in a listen only mode. Later, we will conduct a question and answer session. At that time, if you have a question, please press * and 1 on your telephone keypad.

Today, we have with us the senior management represented by Smt. Ragini Advani - Director Finance; Shri B Mugunthan - Chief Financial Officer and Executive Director of Finance, and Shri Alin Roy Choudhury - CGM Finance.

I would like to remind you that some of the statements that will be made in today's discussion may be forward-looking in nature. It is subject to several risks and uncertainties and the actual results could materially differ. I would now like to hand the conference over to Smt. Ragini Advani – Director (Finance) for the opening remarks, after which we will have the forum open for the interactive Q&A session. Thank you and over to you, ma'am.

Ragini Advani: Thank you, Dorwin. Good afternoon, everyone. I am Ragini Advani - Director Finance, Ircon. On behalf of my team, I extend a warm welcome to you and thank you for your presence today at the Ircon’s Earning Call for second quarter and six months ended 30th September 2023. I have with me Shri. B Mugunthan - CFO and ED Finance; Shri Alin Roy Choudhury – CGM Finance and Shri Sachin Garg - DGM Finance.

As you all are aware, we have recently been granted Navratna status from Government of India. With the grant of Navratna status, the company should be able to undertake larger size PPP projects and it will definitely enhance the market credibility of the company. We extend our heartfelt gratitude to all the stakeholders for their continuous and unwavering support, without which this would not have been possible. We shall continue to perform with greater zeal, zest and aspire to reach greater heights. I am pleased to report that your company has recorded highest ever turnover in the second quarter despite of seasonally weak quarter. Our teams have showcased remarkable dedication, profound technical expertise and an untiring commitment to conquer all challenges in this

period and deliver exceptional results. I am sure you have all had the opportunity to review the company's financial results and the presentation that we have submitted to the stock exchanges.

Let me now take you through the financial performance of Q2 FY24. The company has reported total revenue of Rs.3,136 crores in Q2 FY24. This

is up by 36% as compared to Rs.2,306 crores for the same period last year. PAT has increased by 44% to Rs.251 crore as compared to Rs.174 crore in Q2 FY23. Core EBITDA has also gone up by 16%. Earnings per share have gone up by Rs.2.67 per equity share in Q2 FY24 as against Rs.1.85 per equity share in the last fiscal Q2 FY23 on a face value of Rs. 2 per share. Order book of the company as at 30th September 2023 stood at Rs.32,152 crore, which comprises 53% orders on competitive basis and balance on nomination basis. 92% of our orders book pertains to domestic business and 8% international. Currently, Ircon has 11 subsidiaries comprising renewable power, roads and highways companies. Ircon also has 7 joint venture companies as you all are aware. Now, without taking much more time, I would like to open the floor for Q&A session. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rohit from Antique. Please go ahead.
Rohit: My first question is to do with order inflow. What segments are you really looking for

the new order inflows? What could be the targeted amount in this particular fiscal, what is the amount that we have won till date? If you could throw something more color on it will be really helpful?
Ragini Advani: As we stated as the 30th September, my order book stands at Rs.32,152 crore, which is pretty much where we were about 3 months back. So we have been able to get new order/change in scope in our order to continue maintaining the 30th June numbers. Going forward, we hope to continue this trend, but considering the fact that some of the business opportunities are at fairly advanced stage, but it is beyond us on when they may fructify. The order essentially will continue on railways and highways sector, but overall I see the company being in the range of about Rs.30,000 crore order book by FY24 31st March 2024. We will continue to focus on competitive jobs both in India as well as outside of India.

Rohit: Ma'am, if I have to look at the bigger picture that is if your order backlog remains static, this will technically impair your ability to grow your revenue as such, and on top of it, the core EBITDA margins are also in declining trend, so would it not bode well, if you are looking for figure of, say?
Ragini Advani: There are two things. One thing is that my EBITDA or core EBITDA is not on a declining trend. You have to understand that when I do HAM business, a lot of my income comes from interest. So, if you were to consider that interest, my core EBITDA margins are where we expected them to be. See, the point is that we had a very high order book of about Rs.44,000 crores at one point in time and therefore it has been a good number vis-a-vis the turnover, but if you see an industry average typically 2 to 2.5x is what the order book is for other companies. So, to that extent we are fairly stable now. We are not saying that we are not focusing on larger jobs or big ticket jobs, but at the end of it, there are a lot of extraneous factors including the political environment which determines when these jobs will come. So, we are fairly well positioned in many of these areas, but when these will come could be end of this fiscal year, could be beginning of next fiscal year and we see ourselves continuing to grow going forward as we have been maintaining in the past also and we shall be getting orders in due course.
Rohit: If you could help me explain the investment positions that you have in the SPVs both in terms of equity plus the loans and advances and how is the income that you are booking out from those investments?
Ragini Advani: If you see my investments, I have already invested about Rs.2,200 crores till now and these are spread into my road and highway projects as well as into coal connectivity and renewable projects. Now, the amount that I still need to invest is another Rs.1,100 crore which will be partially this year, partially next year and maybe a small amount a year after that. Out of all of my JVs and subsidiaries, you are aware that two of my road highway projects are toll projects in subsidiary and one in JV. So there what I get is the toll revenue, which gets directly added to my operating revenue. Then as far as my HAM projects are concerned, I get an annuity after every half yearly or every quarter and there again a part of that element goes into my core operating revenue and a part of it comes as a part of my other income, the interest that they give me as a part of my HAM and then the third are

assets which are under construction currently which obviously will continue to give me revenue after they are constructed and in the Coal JVs

my
revenue comes, obviously because they are JVs, so I basically add profit in my consolidated balance sheet, but per se their source of revenue is fair share.

Rohit: Just to reconcile, this equity of 22 billion and another 11 billion, this is inclusive of equity plus loans and advances or is there any?

Ragini Advani: So it is inclusive of equity and loans and advances, but mostly those loans are interest fee loans. There are in the nature of quasi equity only.

Moderato: Thank you. The next question is from the line of CA Akash Dhanuka, an Individual Investor. Please go ahead.

CA Akash Dhanuka: Now the questions, ma'am, in the last concall, ma'am, you gave us guidance of 10% over FY23 with respect to the sales, the revenue, so do you maintain that or do you increase that?

Ragini Advani: I increase that slightly, because now that the half year is passed and we have surpassed that guidance. So, I would say it would be close to about 15%.

CA Akash Dhanuka: 15% over FY23 right?

Ragini Advani: Yes.

CA Akash Dhanuka: And you said, ma'am that your core EBITDA is not declining, but if you go to the presentation, ma'am, the core EBITDA that you had mentioned in your presentation that mentions around somewhere around 1.25% decline on the core EBITDA part, which doesn't include the HAM annuity?

Ragini Advani: Yes, that is right. So what happens is that, ultimately all our projects as I keep maintaining that these are long-term projects. So if we were to see quarter-on-quarter or half year to half year, few decimals here and there it can be, but if I was to look at an overall number, it is what we have been maintaining till now that my EBITDA will be in the range of 10% to 11% and my core EBITDA will be about 8%. So, to that extent, I think we have been

fairly higher than what we have been telling you all that we will be maintaining. Our PAT levels have always maintained which will be overall 7% to 7.5%.

CA Akash Dhanuka: PAT?

Ragini Advani: Yes, PAT, because when you are doing this, there are certain assets which are under construction. There are certain interests which can flow in later. So, for a company like ours, that is the overall number on which you will have to go, rather than assuming that there is a quarter decline over a period in certain things that could also be because of certain provisions that may have come up, but holistically speaking, that is going to be my trend.

CA Akash Dhanuka: Ma'am, in this quarter, the other income was Rs.149.50 crores and can you just help us with the HAM annuity interest in this, the breakup of 149?

Ragini Advani: HAM annuity in fact it is around Rs.45 crores

CA Akash Dhanuka: In the Q4 last year conference call, you had mentioned that the other income inclusive this HAM annuity would be somewhere around Rs.550 crores, we have achieved Rs.260 in the first half so can we achieve the 550 is tough?

Ragini Advani: Yes, because we are already at 260 overall other income, so total number, so we should be in the range of 520 to 550 including HAM, it is the also other income that we are talking about.

CA Akash Dhanuka: Two questions, ma'am, on the new order inflow ma’am, in the G20 that the railway project in the Middle East was declared by many countries, which includes India, do we expect anything out of that because that is fairly a large order?

Ragini Advani: Right now when it was declared in G20, it is after that the various countries at the top most levels are right now conceptually envisaging and closing it. So, it may take time, but definitely Ircon will have a good role to play there. The reality will only be known to us once it is properly worked out and taken out, so Indian Railways is aware of this and it is also aware of the credibility

and the credentials that Ircon carries. So yes, from a long term point of view it should be something we should be participating in.
CA Akash Dhanuka: Can you quantify that good role?
Ragini Advani: No, because right now it is not even quantified at the country level.
CA Akash Dhanuka: The percentage wise, not the value wise?
Ragini Advani: Again, unless you know what the product is all about, unless you know what exactly are they thinking, how do I qualify or quantify it?
CA Akash Dhanuka: The second one is, ma'am, just before G20, a couple of weeks ahead of G20, the Railway Minister had announced the expansion of railway lines in certain areas which was congested, so because that is specific to India, do we get a good chunk of orders from that?
Ragini Advani: See all orders that railways will come out are on competitive basis and as of now we are well placed to get them, but again after announcements by the time they fructify into tenders and then we quote and we get, it takes time, but definitely, we are one of the strong contenders for it.
CA Akash Dhanuka: Just one last thing, ma'am with respect to this order, please correct me if I am wrong, there are only two companies in India who are into the railway lines, not the infrastructure, just the lines, just the setting up of the lines which is RVNL and Ircon, right? No other third company is present?
Ragini Advani: That is not true. These two are the public sector companies that are essentially into it. There are many private players as well.
CA Akash Dhanuka: And lastly, ma'am, I don't know whether I should be asking this, but I still I will try my luck out, though it was a non-investable stuff, but 15 big investors had a meeting with you, you in the sense the company, so are they really interested in getting a long-term investor as an investor within the company or it was just as a normal update with them, because they were fairly big?
Ragini Advani: It is a normal update. Nowadays, what DIPAM is doing is they are trying to get all public sector companies to have regular interaction with some good

large investors both in India as well as outside India. So that if they have any questions on us or if they require any one to one discussion, those can be facilitated. The idea is for them to know us in more depth and more frequently. So, it was one of those meetings, nothing more than that.
CA Akash Dhanuka: Just finally the last one ma'am, I am stretching it a little too much, but just the last one confirmed the last one, in the last conference call, you had said 3-4 times that please keep trust on us, we will achieve that order book guidance, I just wanted to confirm once again, despite the low order inflow as of now, we keep that guidance that should I go by your words that please keep trust on us, we will achieve it?
Ragini Advani: See, what I have just mentioned in fact just at the beginning of the call, I have stated that while we maintained the 30 to 32,000 in this quarter, but going forward some of the opportunities which we were expecting to have it in this year, they may get, the eventual award could come to us early next year and these are because of certain circumstances which are beyond us, because we are working in an industry where lot of factors create an extraneous limitation for us and therefore, I have in fact myself told you that we would revise our order book position for the year end at a level close to Rs.50,000 crores.
Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus. Please go ahead.
Shreyans Mehta: Ma'am, a couple of questions from my side, one, as we are

coming back
to order inflow, so we have done closer to Rs.2,800 odd crores and we were targeting say Rs.10,000 odd crores, so ma'am, is it fair to assume that you just mentioned that some orders which we are targeting would be coming to us next year, so is it fair to assume that is it primarily because of the delays which are happening in the system or it is also because a lot of our competitors or since the sector has been opened, there are other players who are taking these orders?
Ragini Advani: So, the ones that I am talking about and which we were very sure that we will be getting in this year previously, those are getting delayed and because they are getting delayed, therefore, I am saying that I am revising

my order book expectation, but in terms of competition, yes, the competition is there, but as we have been maintaining, there are certain areas or certain scales in which we are not even competing. So, it is a very small ticket job of limit of about Rs.50 crores, Rs.100, Rs.200 crores, we may not be competing there and we anyway don't expect ourselves getting a job there. So those are happening, but the ones that I am referring to, which we were fairly certain we will be getting this year that has been delayed.

Shreyans Mehta: Secondly, ma'am, in terms of revenue guidance, even if I do the higher end of what you indicated of 15%, we will be closer to Rs.11,000 odd crores, whereas in 1H already we are at half of it, so are we still under guiding or is it fair to assume that we can easily surpass this?

Ragini Advani: So, the point is that we are now coming into a period where a lot of execution pressure was also there because of the upcoming elections. We are an infra company so that is going to go down now. So, to that extent what we are maintaining right now is what we are comfortable with and we are certain about and that is the reason we have told a number of about close to 15%.

Shreyans Mehta: And ma'am, any number for FY25 in terms of ordering flows or revenue guidance?

Ragini Advani: We definitely are on a growth path, but in terms of saying that what could be our growth number, it will really depend on the order inflow and some of the big ticket orders that we are focusing on currently and which we are seeing, it may get delayed, a lot will depend also in which part of the year, they come next year because till May there would be certain slowdown in terms of giving orders as well. So, I think I will be in a better position to give 2025 number closer to the next investor call that we do.

Shreyans Mehta: Ma'am, in terms of our cash and bank balance, if you can share that number, our own cash and bank balance?

Ragini Advani: Our own cash and bank balance is close to Rs.750 crores and otherwise, of course, the overall number is Rs.5,000 crore plus.

Shreyans Mehta: So last quarter it was closer to 900, so the balance has gone towards the equity investments?

Ragini Advani: Yes, so from last quarter to this quarter, it has essentially been equity investments and also dividend.

Shreyans Mehta: And ma'am, just to understand that we have got this status, so how does it help, one as you rightly pointed out, probably in terms of taking larger orders, it might help you, but in terms of monetization of assets, does it give us any leeway?

Ragini Advani: So, monetization of assets, we have to take the government permissions at different levels and they are irrespective of whether we are a Miniratna or Navratna, that is true for any public sector company and Navratna basically helps us in bidding for higher big ticket PPP projects and also it gi

ves us a little bit more flexibility in terms of our financial and HR related matters, so for internal working it should ease out with Navratna status.

Shreyans Mehta: So, it is more pertaining to administrative rather than financial perspective?

Ragini Advani: Financial, it is from the perspective that I mentioned that we will have higher equity that we can invest into PPP projects. The kind of bids that we get, there are times when there are weightages for being a Navratna company also and all, so in QCB (inaudible) ___ so obviously it will play a positive role overall and it would be more in terms of these getting certain better technical qualifications, getting better rates from maybe lenders, getting more PPP driven jobs, so those are the aspects where financially we should benefit out of it.

Shreyans Mehta: And ma'am, one last question from my side, in terms of bid pipeline, what would be the current bid pipeline probably where we are targeting or where we have already placed the bids and probably the results are yet to come out?

Ragini Advani: So, we are targeting the bid in the range of 30,000 crore right and we are in the pipeline of having certain of these bids open close to about I think Rs. 5,000 crores, so that we should get to know in another month or two months.

Shreyans Mehta: So just to clarify, Rs.50,000 odd crores is where we have bid it, Rs. 5000 odd crores is where we have L1.

Ragini Advani: Rs. 30,000 crores is where we have bid it and Rs. 5,000 crores we should get to know our fate in another month or two months.

Shreyans Mehta: But we are not in L1 in any of these?

Ragini Advani: So these are yet to be opened.

Shreyans Mehta: Are we L1 in any of these projects where it is yet to put it in an order book?

Ragini Advani: We are already L1, have already been incorporated, we have had the new order win of about close to Rs. 500 crores. Out of that Rs. 500 crores, about Rs. 200 crores is where we are L1 and where the LOA is awaited. Those are the ones which we obviously right now we haven't reported to Stock Exchange because we are waiting for a formal letter from them.

Moderator: Thank you. The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.

Vishal Periwal: Quarter 2 is maintained, so can you clarify like what is the new order win in quarter 2 and what is the scope change in this?

Ragini Advani: We are doing one project in Sikkim, Sivok-Rangpo project. So, we have had an ordering freeze there of close to Rs.4,000 crores. Sivok, the increase is about Rs.3000 crores and there are certain other increases as well. So overall the increase in my order book because of change in scope is close to Rs.4,000 crores and the new order that has got, we have recently announced MSME job that we have got that is Rs.85 crores, but that is a consultancy job of Rs.85 crores. So, if I was to keep it at par with my EPC job, that Rs.85 crores would be equivalent to about Rs.1,500 to Rs. 1,800 crores on an EPC basis.

Vishal Periwal: So just to clarify, because we have done a top line of roughly Rs.2,900 odd crores, so when we are saying that new order win in terms of scope changes Rs.4,000, so is there any some sort of deduction in order book the previous order?

Ragini Advani: Yes, so we have just indicated also that MCRL phase 2 which is one of my joint ventures, Mahanadi Coalfields Railway Limited, there the phase 2 is being taken over by railways, so I have reduced that order book. Earlier we were supposed to do it.

Vishal Periwal: And in your presentation, if I can just, flip on the page #21, which has an annual financial statement, particularly P&L, so it has annual standalone numbers and the core EBITDA margin is roughly like 5.88% in this, so if one has to look at probably FY24, can you guide like where exactly could the number?

Ragini Advani: This is standalone core EBITDA.

Vishal Periwal: Yes.

Ragini Advani: So, standalone core EBITDA would be in the range of 5% to 6%, but on a consolidated level because we continue to get HAM, infra, etc. that is where we have been maintaining our numbers.

Vishal Periwal: So, in terms of numbers, this 5.88, it will be broadly in this range, though, there is a topline?

Ragini Advani: On a standalone, yes, because all my PPP products are beyond standalone.

Vishal Periwal: Since like when we are doing EPC work, topline is getting increased, so any benefit of like your fixed cost getting absorbed at a higher rate, higher revenue?

Ragini Advani: Our fixed cost is very low Vishal. So it will probably affect probably in my new test of decimals. That is where our leeway is. If you see, if I were to exclude project expenses, my employee cost and other fixed costs are nominal. There is a range of 1 to 2%.

Moderator: Thank you. The next question is from the line of Atharva Bhutada from Purnartha. Please go ahead.

Atharva Bhutada: I just had two questions. One was regarding IRSDC and the Ministry of Railways have asked for a slump sale by December 2024, so I wanted to understand what was the main role of this company and how are proceeding with the sale of the company?
Ragini Advani: So IRSDC, it was developing certain sations and then it was running and operating the station. Now, the Ministry of Railways is now consolidating all of that exercise and housing it with RLDA. So as a part of that consolidation, Railways decided that IRSDC needs to be shut and all its operations as well as assets need to get transferred to RLDA and stations which are already developed, they have gone to the respective zonal railways. That is where it is. Now in regarding the slump sale, of course because their assets have to get transferred and then subsequently this company has to shut down, therefore it is going to happen on a slump sale and at a value which is being finalized as of now.
Atharva Bhutada: And actually I was going through the annual report and I didn't understand like why we were doing this, so we are having a lease agreement with RLDA and we are using IRSDC to pay this lease and then I think you are getting the money back from RLDA?
Ragini Advani: That was the Bandra plot land and in fact, now that entire transaction is squared off completely.
Atharva Bhutada: So, we won't have this transaction?
Ragini Advani: From April 23. So, from now onwards you don't have any of such things in our balance sheet, that was the Bandra plot which was supposed to be developed by us and for which there was a loan from IRSDC and the land lease was through RLDA, but eventually there were some technical land political issues because of which there was a stalemate situation on that Bandra plot for some time and therefore railways decided to end this transaction and take it back into the books of RLDA.
Atharva Bhutada: So, have you lost any business opportunity due to that?
Ragini Advani: No, because even RLDA is sitting with that piece of land right now.

Moderator: Thank you. The next question is from the line of Abhishek Maheshwari from Skybridge Wealth Management. Please go ahead.
Abhishek Maheshwari: First question is, so the bids that we have in advanced stages, are there more towards tunneling or high-speed rail or just trac

k laying for normal trains, can you throw some light on that?
Ragini Advani: Some of them are on tunneling and some of them are the doubling and the expansion projects and some of them are international opportunities that we are targeting and some of them are road and hydro project .
Abhishek Maheshwari: So, it is not skewed towards anything, it is more or less something of everything, I guess?
Ragini Advani: Yes, spread out in all directions.
Abhishek Maheshwari: And secondly, ma'am, in layman terms, how is a high-speed rail track different from a normal train track? Is there some niche that you have or is it pretty much the same?
Ragini Advani: So, the bullet train project, this is based on the technology from Japan and their system of link tracks, as well as all associated paraphernalia right from the slab, the molds as well as the kind of train that you will have running on it, everything is entirely different.
Abhishek Maheshwari: So, having a niche shall help you, it gives you a competitive advantage?
Ragini Advani: Yes, because we will be the first one, we will be learning this in collaboration with the Japanese party and once we are able to develop it, we will have the experience to take on further opportunities in this area.
Abhishek Maheshwari: Ma'am, any projects apart from what is already, the work which is already going on, apart from that, is there any other big project in pipeline and high speed also or it is only after election that will come to know?
Ragini Advani: Not as of now, so some things are at the DPR stage so it will depend on that how and when do we get an opportunity to participate in it.

Abhishek Maheshwari: What level of return on investment, ROI do we operate at for a JV company?
Ragini Advani: Yes, so typically the IRR that we look at is about 12% to 14%, project IRR and equity IRR is in the range of 14% to 16%.
Abhishek Maheshwari: That is something we are looking to maintain it in the future also?
Ragini Advani: See, right now things are under construction and in case of coal JVs , what is important is that once the traffic flows through it, that is what is going to be your source of revenue, the freight sharing. So, while all of these JVs where we have a very coal intensive areas, be it Chhattisgarh, Jharkhand or Orissa for that matter, but once we have completed the construction, we will be in a better position, but having said that, because it is a coal rich belt, there could be a short-term issue where we may have some initial pitches, but on an overall perspective, we should be getting good returns.
Moderator: Thank you. The next question is from the line of Atharva Bhutada from Purnartha. Please go ahead.
Atharva Bhutada: I came on my last two questions, so what is the bid success ratio for us?
Ragini Advani: Actually, in our kind of company it is very difficult to say what is the bid success ratio because there are a lot of jobs that you are trying to yourself seed while you are trying to bid for them, especially outside of India and even within India for example when it comes to roads and highways, it is not about bid to success, but it is also about how much equity I want to invest and how much can I afford to go ahead in terms of PPP projects. Within railways also, it depends on the scale and the kind of job that it is. So, if it is station development or if it is a small time job, probably I will not even participate on those bids and for mid and standard track laying facilities my success rate may be lower, but if it wants to be something which has complex bridges, tunnels or it is something which has to do something with niche technology like we are doing the bullet train or the dedicated corridor, then my success rate goes up. Similarly, if it's a big ticket project, my success rate goes up. So, it would be difficult to put an overall number to it.

Atharva Bhutada: Actually, I wanted to understand what is the revenue contribution somewhat top 5 products for half year and what was the escalation percentage that we get? Is it like based on the inflation rate going on or the WPI is included?
Ragini Advani: So, we have a fixed formula for the escalation which are built into the projects which are more to do with how much would be the labor cost increase and how much would be the material increase and typically there is a formula where you will have a CPI wholesale. All of these there when if it is an imported, then there would be some linkages to international indices also. That is how it is determined and I didn't get your question, you wanted to know the top five projects in terms of our turnover?
Atharva Bhutada: Yes, so like last year, it was 60%?
Ragini Advani: So what is the cumulative turnover of top five projects is what you are asking?
Atharva Bhutada: Yes, ma'am.
Ragini Advani: So the turnover from top five projects for the half year I am talking is close to about Rs.2,600.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you, ma'am.
Ragini Advani: Thank you, Mr. Dorwin, moderating the call. I would also like to thank all our shareholders, business partners, analysts and investor friends who have continued to have faith in us and supported us throughout the journey. Happy festivities to all of you. Happy Diwali. We would be happy to connect with any and every one of you on a one-to-one basis if required for any further queries and take it forward. I conclude today's concall and thank you once again for all the active participation. Thank you.
Moderator: Thank you. On behalf of Ircon International Limited, that concludes the conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

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IRCON INTERNATIONAL LIMITED
(A Govt. of India Undertaking)
An integrated Engineering and Construction Company
IRCON/SECY/STEX/124 15th February, 2024
BSE Limited
Listing Dept./ Dept. of Corporate Services
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Sub: - Transcript of the Q3FY2024 Conference Call held on Friday, 9th February, 2024 / ■■■■■■, 9 ■■■■■, 2024 ■■ ■■■■■■ Q3FY2024 ■■■■ ■■ ■■■ ■■ ■■■■■■

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to our letter of even no. dated 1st February, 2024, please find enclosed the transcript of the post result Conference Call held on Friday, 9th February, 2024 to discuss the financial results of the Company for the quarter and nine months ended on 31st December, 2023.

In accordance with Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Transcript of the Conference Call is also available on the Company's website at the link
https://www.ircon.org/index.php?option=com_content&view=article&id=226&Itemid=643&lang=en
which can also be accessed through below mentioned path:

www.ircon.org >> Investor Relations>> Presentation and Earning Calls>> Transcript of the Conference Call held on 9th February, 2024 for financial results for the quarter and nine months ended on 31st December, 2023.

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■■■■■■■ ■■■■■■■/ Compliance Officer
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Q3 & 9M FY'24 Analyst Conference Call"
February 9, 2024

Management
Ircon international limited

Mrs. Ragini Advani – Director Finance
Mr. B. Mugunthan – Chief Financial Officer and ED Finance
Mr. Alin Roy Choudhury – CGM Finance

Moderator: Good afternoon, ladies and gentlemen. I am Dorwin the moderator for this conference call. I thank everyone for joining us today for the Ircon International Limited Q3 and 9 Month FY24 Analyst Conference Call.
At this moment, all participants are in listen-only mode later we will conduct a question-and-answer session. At that time, if you have a question please press "*" then "1" on your telephone keypad. Today we have with us the senior management represented by Smt. Ragini Advani – Director Finance, Shri. B. Mugunthan – Chief Financial Officer and Executive Director Finance, Shri. Alin Roy Choudhury – CGM Finance.
I would like to remind you that some of the statements that will be made in today's discussion maybe forward looking in nature. It is subject to several risks and uncertainties and the actual results could materially differ. I would now like to hand the conference over to Smt. Ragini Advani – Director Finance for the opening remarks.
After which we will have the forum open for the interactive Q&A session.
Thank you and over to you, Madam.
Ragini Advani: Thank you Dorwin. Good afternoon, everyone. I'm Ragini Advani – Director Finance Ircon. On behalf of my team, I extend a warm welcome to all of you and thank you for your presence today at the Ircon's earnings call for the third quarter and 9 Month period ended 31st December 2023.
Let me introduce you to my team today. I have with me Shri. B. Mugunthan – CFO and ED (Finance), Shri. Alin Roy Choudhury and Shri. Sachin Garg – DGM (Finance). As you are aware in this quarter DP Government of India has upgraded Ircon to Navratna status on 12th October.
With the grant of Navratna status the company will be able to undertake larger size PPP projects and there shall be market credibility enhancement as well. We extend our heartfelt gratitude to all the stakeholders for their continuous and unwavering support. I am pleased

to once again convey that we have been reaching greater heights quarter-on-quarter and recorded the highest ever third quarter turnover. We hope to continue this growth story of ours. Financial results as well as the presentation has already been uploaded on the stock exchanges and I'm sure that all of you had the opportunity to review the same. Let me take you through our financial performance of Q3 FY24. The company has reported total revenue of 3,012 crores up by 24% as compared to Rs.2,422 crore same period last year. PAT has increased by 29% from Rs.190 crore in Q3 FY23 to Rs.245 crore in FY24 Q3 FY24.

Core EBITDA has also increased to Rs.296 crore vis-a-vis Rs.169 crore. It has increased to 10.3% in Q3 FY24 an improvement of 304 bps over the last year. Earnings per share has gone up to Rs.2.60 per equity share as against Rs.2 per equity share for the corresponding period in Q3 FY24, this is on a face value of Rs.2 per share. The order book of the company as at 31st December 2023 stood at Rs.29,436 crores which includes 45% on nomination basis roughly and about 55% on competition basis. The split between domestic and international is 91% to 9%.

Ircon has 11 subsidiaries currently mainly into roads highways project and one in renewable, and it has 7 joint venture companies again mainly into coal connectivity products and roads and highways. Without taking much time, I would now like to open the floor for Q&A session. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Sujit Jain from Bajaj Allianz Life Insurance. Please go ahead.

Sujit Jain: I wanted to know what is our scope in terms of project winning etcetera and opportunity in the India Middle East Europe corridor

and is it taking shape it has been spoken about in GCC and even including in the recent budget, but is there a traction in terms of laying it out?

Ragini Advani: As far as this corridor is concerned we are also aware as much as you are based on the announcements that were made in GCC and recently some activity is happening at a government level or at a ministry level, but not something at which we would be aware at this stage. So, we will not be able to comment on it any further till we get more details.

Sujit Jain: Just to understand in this which Indian entity would be at the forefront? Would it be RVNL or would it be Ircon or would it be some other railway entity?

Ragini Advani: Nothing has been so far discussed in those lines. I think it's still at a preliminary stage. I don't think those discussions have right now been done or deliberated.

Sujit Jain: And ma'am just to understand the difference between us and RVNL, is it safe to understand that we engage in material sourcing and management of overall contracts as well and so therefore our staff is much higher than let's say an RVNL?

Ragini Advani: So, our model is that we actually work like an EPC company. Therefore, we will do certain works in house. We will have material procurement, design and many other works that we like to do ourselves and that is the reason we have that kind of strength of manpower available with us.

Sujit Jain: And do we also eventually intend to get into consulting business which is more like a DPR viability etcetera which is mainly done by RITES?

Ragini Advani: So, there are two things. One, we offer a concept to commissioning to all our clients. Two, we have a subsidiary called IISL which does PMC as well as some of the initial consultancy work, but typically where the consultancy work is aloan standalone. Either we will have our IISL the subsidiary to do to some extent.

But we may not like to do that directly in our company if it's pure consultancy because then a consultant versus an EPC there could be a conflict of interest going forward. So, that is where we tend to prefer

going into EPC role because that's where our strength is, but if it is a part of the overall opportunity then we are definitely also doing that.

Sujit Jain: And just to understand more about the 11 subsidiaries that you spoke about, are there any asset ownership businesses residing in those subsidiaries and what is our position there in terms of capital allocation? Will we undertake, will we not?

Ragini Advani: Other than subsidiaries other than IISL which is a perfect management consultancy company essentially rest all are asset owned companies they all have assets, but these are long term PPP assets that you have.

Sujit Jain: And in the field of railways or it is in the field of other infrastructure?

Ragini Advani: So, our joint ventures are in railway connectivity projects. Our subsidiaries are mainly into roads and highways. There is one which is in renewable, and the rest are roads and highways.

Sujit Jain: And in terms of more capital allocation to asset owned projects what is our thought process?

Ragini Advani: Yeah. So, we'll continue to do that as well and if you see that we started with some 2 or 3 projects then moved on to 5, then we took another 5. Currently we have something like total of about 9 road and highway projects, another 4 to 5 coal connectivity projects and we continue to doing that. As a part of our business, we will be doing both PPP as well as EPC.

Sujit Jain: And ma'am one last question so as I understand international is 9%, 10% not large. Right now the IMEC corrido

r is at a very conceptual stage. So, the main growth driver would be railway CAPEX and you have small portion in infrastructure. So, how do we view this company in terms of on a medium term let's say 3 to 4 year horizon from today from then, what kind of growth one can expect? Would this be a 13% to 15% kind of a growth company? Would it be lesser, how do we view this?

Ragini Advani: Yeah. So, I think we've mentioned earlier also that in the next 4 to 5 years we see our doubling our turnover.

Sujit Jain: And that is mainly riding on the CAPEX in budgeted CAPEX in the railway sector?

Ragini Advani: So, it would be a mix of railway roads and highways and some related infrastructure activities that we may foray into, but yeah it would be driven mainly by railways, roads and highways.

Sujit Jain: Because when you say doubling in 4 years, it's 18% CAGR?

Ragini Advani: Yeah.

Sujit Jain: I'm sure you would have worked it backwards?

Ragini Advani: So, 4 to 5 years if I may use that word.

Sujit Jain: Yeah, 5 years then that would be about 14%, 15%?

Ragini Advani: Yeah that is what we would like to target.

Sujit Jain: And one last question is 45% nominated and remaining is a competitive bidding if you can give us a flavor which contracts with some examples where those are nominated contract and which contracts were competitively bided just to understand that in terms of future pipeline what would be coming directly to us on nomination basis and what would be bided out?

Ragini Advani: Going forward nothing will come to us on nomination that practice has been stopped. So, whatever existing nomination business we have it should get completed in the next 2 to 3 years one of them being let's say, a Sivok project, USBRL we are in the process of completing, so it should get completed in this year and similarly we will have some other railway projects which were on nomination basis.

Usually we have one nomination project internationally. This is the Myanmar project which has been given to us by MEA, but that is again an exception which has come to us. But typically, the way ahead as a

rule would be competitive basis. Any new orders would be on a competitive basis.

Moderator: Thank you. The next question is from the line of Rohit Natarajan from Antique. Please go ahead.

Rohit Natarajan: My first question is more to do with what Ircon is doing as compared to competitors. For instance, I was on another call with RVNL they were saying they are looking at orders. In fact, they have bid for a $10 billion Trans-Kalahari in South Africa, $4 billion in Kyrgyzstan even a company like RITES they are in discussion with a country like Chile to export Vande Bharat whereas Ircon by design was supposed to be an international railway execution agency as well. We have had a rich history of doing projects in the past in international countries like Sri Lanka.

We were talking about Malaysia, Singapore, one MDB that particular high speed rail contract, somewhere this international picture is nowhere to be seen in the discussion stage where exactly is that disconnect?

Ragini Advani: While I may not like to comment on what RVNL, RITES are doing, but from Ircon perspective yes you are right. We were internationally very strong till about couple of years back so much so that we had most of our turnover coming from international projects and we continue to enjoy that credibility or that respect that we have in those countries.

In the past jobs that we got internationally were of two types. One which were mainly funded through some kind of government grants for MEA funding. So, the

projects which we negotiated on a one-to-one basis and managed to get good returns there on. There have been changing scenarios all over the world. It is not that your Ircon is not making efforts. We are making efforts right now we are doing it in our neighboring countries as well as in the Middle East.

But having said that the window which is right now currently drying up is where Government of India or MEA used to fund projects. Though

that kind of projects are not coming as of now. They may be coming in future, and we are very much in touch with MEA. As far as one to one projects are concerned typically most of these countries when they talk of such large size projects are also looking for project financing.

It is not that they're sitting with this kind of finance, and they just want you to come and execute. The project financing by itself is a difficult task if Government of India is not a part of it and therefore when we are looking at international projects we are essentially trying to look at the projects where either they have already tied up.

The financing from somewhere and we are doing the EPC or where we are confident we'll be able to manage some kind of a structuring in which those kind of financing would be possible. Having said that yes we still need to work a lot on our international business. Our business development and marketing teams are looking into it so is our CMD, but what is very important is to really understand that which are the projects which are tangible, and which are actually on paper and which are the projects where we are looking at some kind of an MoU and not knowing when they're actually going to come ahead. So, I think I'll leave at that point and I think it would be best if we speak with our results as and when they happen.

Rohit Natarajan: My second question is more to do with the domestic opportunities. There was a time when all this network debottlenecking, electrification, doubling, all those orders came to you nomination, but if you look at the National Rail Plan as such the scope of conventional works is very limited.

Going ahead, the CAPEX is largely confined to high-speed rail, rolling stocks and dedicated freight corridor where technically speaking Ircon hasn't proved its credential probably dedicated freight corridor could be an exception?

Ragini Advani: Both high speed and dedicated freight corridor, Ircon has the advantage. It's the only CPSE which has that credential.

Rohit Natarajan: Yes, there is one particular tender that you may be doing in Gujarat part, but when you look at the overall scheme of things, you will have to fight with the remaining players as such private player. You will have to the market share is dramatically reduced over there even within the overall scope of things?

Ragini Advani: So, okay yes, there are two things. As you rightly pointed out when we talk about National Rail Plan or any of the railway CAPEX it is split between what I may call as rolling stock and the areas which Ircon may not be into and the areas where Ircon is into which would include doubling, tripling, whatever of the lines having new lines, modernization S&T works, electrical works and then having semi high-speed, high-speed kind of networks as well as dedicated freight corridor.

So, on the latter part, I would say as of now whatever has been there the budget is easily between 30% to 50% of the total. It's not a low number. So, I mean it is not that the cost the rolling stock has come these numbers are low. In fact, these are quite significant. As far as competition is concerned yes there is a comp

etition amongst serious players, good players and that is what Government of India wants and we are happy to participate in the competition and get the jobs.

The advantage with Ircon has been that one we have the credentials. Two we do a lot of work in House and we have that kind of requisite experience and the quality. So, per say the market share is depleting as of now for Ircon in certain area, but that's a very temporary phenomena because a lot of players are coming in small ticket size jobs wherein some of them have been quoting numbers which are not even covering the cost. If one was to look at those project estimates, but we are fairly confident of our skills as well as the fact that we should be able to get some of these complex and reasonably sized jobs.

Rohit Natarajan: Then finally, when you come to the order inflow part, we last time we said you have placed bids for 50,000 crore projects as such and you were confident to win some 5,000-crore kind of number, but when you look at the execution you require…

Ragini Advani: We have never said that we bid for 50,000 crore.

Rohit Natarajan: My point here is the order inflow for this year this fiscal that is FY24. How what is that realistic number one should be looking at and second part of the question is are we really going into the road projects with BOT toll model is that in our cards?

Ragini Advani: So, there are two things again. One I did give a message in the last concall as well as that we have been going low on our order secured or input and that is something which has further come down from the estimate that we thought in Q2.

Till date, I think we've had order size that we've secured in this year of currently about in the range of 500 crores and since we're already sitting in mid-February and some of the big ticket jobs which we were anticipating should come this year are not likely to come because of various reasons.

There could be political scenario, there could be delay in decision making at some of these client ends. So, I don't see this number going very high in this financial year, but some of our efforts of this year should give us good results next year in terms of order, in terms of the BOT projects.

See we will continue to focus on road and highway projects. We will also be doing EPC as well as PPP projects. BOT specifically is something that we will be examining on a case-to-case basis. We have taken up 2 or 3 BOT projects in the past. So, based on how we see them we may be looking at them whether on a standalone or on a JV basis.

Moderator: Thank you. The next question is from the line of CA Akash Dhanuka an Individual Investor. Please go ahead.

Akash Dhanuka: Ma'am, in the last conference call you had upgraded your guidance with respect to the revenue part to 15% over the last year which means that we'll have to achieve around 11,900 crores and that could mean that in

Q4 you have to achieve over 3,300 crores. So, are we on track to achieve that, will we achieve that number?

Ragini Advani: Yes it could be a 200, 300 here or there, but we are there pretty much.

Akash Dhanuka: So, I mean 11,600 will touch for sure?

Ragini Advani: Yeah, 11,500 or is something that we should be touching, yeah.

Akash Dhanuka: The other income part, ma'am, you also said that we'll be touching 550 crore and till now we have touched 388 crores which means in the Q4 we'll be needing 162 crores and in this quarter we had only 127. So, will we achieve that 550-crore number?

Ragini Advani: In the other income part what is happening is at a consolidated level as we mentioned we started getting

income from our interest element in annuity of HAM projects which if you see is has been a significant contributor in these 9 months also. So, if we are at about a 550 level, yeah we should be in the level of about 800 in March. You're already in the number of 388 so we should be in the range of 500.

Akash Dhanuka: And now with respect to the guidance for FY25 ma'am, I mean, if we are touching 11,500 crore this year if you can help us with the guidance for the next year FY25?

Ragini Advani: Sorry FY25?

Akash Dhanuka: Yeah ma'am.

Ragini Advani: So, next year I think we should be seen given the current order book that I have, I would say we would be at similar levels. I will be revising my judgment as and when I get more order in flows if any.

Akash Dhanuka: With respect to the EBITDA part ma'am just give me a patient hearing on this ma'am, in public interest then there is a lot of confusion because of that HAM annuity part and why I'm saying this is because a section of media for the past few quarters is putting a figure of 7.4.

Whereas we have in our presentation quoted 12.6 and that is because of two different and which is because we are taking the media is showing the revenue from EBITDA from operational part only whereas we are taking into account the other income and also the profit from the joint venture part.

But this creates an anomaly and at the end affects the share prices does the investors interest. So, my request is if you can give the PAT percentage instead of EBITDA percentage it brings the clarity ma'am. I hope I have conveyed it correctly.

Ragini Advani: I think we would be conveying PAT percentage as well. If we are not we shall do that. So, we'll do PAT percentage as well.

Akash Dhanuka: So, if you can help me with that ma'am for this year and the next year I mean FY24?

Ragini Advani: I have been as far as in my con-calls I've always been stating that the PAT percentage will be in the range of 7 to 7.5.

Akash Dhanuka: And for the next year ma'am it remains the same?

Ragini Advani: PAT percentage I've been saying that we'll be maintaining at that level.

Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Ma'am just wanted to understand since we have a lot of JV's into rail connectivity and I believe we were probably expecting them to be up and operational by 24 end or 25. So, is that on cards and how much of that income will we see in the JV share of profit coming through?

Ragini Advani: So, in the cold connectivity projects two of my JV part one, I mean if I would call phasing of those projects are already commercial. So, in Chhattisgarh I have phase 1 which is already operational and MCRL though of course we have now mentioned that it may be taken over by Railways. Again, the phase 1 was operational or I can say still operational.

Now in the Chhattisgarh project where the phase 1 is operational there have been certain losses because the traffic has been little lesser than the overall expenses. This has been the first quarter where we've had some good marginal profit, but otherwise ever since operations there were certain losses.

The rest of the projects which are right now under construction they should be getting completed by some partly by the end of this year and some by the end of next year. So, the actual benefit of coal connectivity projects should come two years from now and it will take some time for them to stabilize because once you have these coal connectivity projects, the coal companies have to have that kind of the fact that some of

the traffic is already going by truck and they also need to have certain accessories and certain yards and linings and all in place so there could be some mismatches that's why I'm saying it should take 2 years for it all to stabilize.

Shreyans Mehta: Ma'am in terms of your order inflows as you mentioned that probably there were certain projects which we were targeting and are yet to be ordered. So, in terms of the projects which have been awarded, so is it fair to assume that it is primarily because of competition or something else which we need to introspect into?

Ragini Advani: So, couple of factors again the first thing is the big-ticket complex orders that we were looking at some of them are delayed and that is where our forte lies. Some of the projects where we bid again there were two categories. One where we were quite close to being L1, but did not get it. Some where you had something like 20 to 30 parties quoting and again it's gone at a very indecently low price.

So, that is what I'm talking about the domestic segment per say and internationally again certain projects that we are tying we're trying to get that is something which we are trying to, I mean, it takes time because as I told you this is not coming through an MEA or a government grant too. So, it's taking us some time to get to moving even on the international front. Certain projects which we updated the results are still awaited. Now, given the kind of scenario right now in India in terms

of political the elections coming up etcetera there could be further delays in certain tenders of bids that we were targeting or certain results which we were targeting that they will come in this year. So, it's a mix of everything. It's not just competition, but it's a mix of everything.

Shreyans Mehta: And ma'am in terms of clarification I mean when you mentioned that probably we expect to grow at some 15%, 20% CAGR for next and we need to double our revenues. So, if I just do a rough ballpark calculation probably we need order inflows to the tune of say around 15,000, 20,000 odd crores on a yearly run rate basis. So, how confident are we in achieving that?

Ragini Advani: So, there's been a year when we moved from 26,000 crore to 41,000 crores in terms of order books. So, the confidence is there, but it is such a dynamic market where we are working in and as I also mentioned earlier that there are lot of these fly by the night players which are times travelers or in fact some of the serious players.

So, given all these factors the confidence is there, the growth overall in infrastructure segments shall be there both internationally as well as domestic, but on the other hand, we want to be doing projects which are serious projects and where ultimately we are making profit.

We don't want to increase our top line or the order book by knowing at stage 0 itself that it will be into a loss. So, given all these factors as I mentioned, that is what we target. There could be some ups and downs, but overall from a 5 year scenario should be doable.

Shreyans Mehta: And in terms of investments what have we done till date if you could break up in road SPVs and the other segments and at the same time our cash on the books, our own cash?

Ragini Advani: Our own cash on the books is about 700 crores to 750 crores and in terms of the amount that we have already put in JVs and subsidiaries is about 2,300 crores. We have another 1,000 crores that we have to invest and I think in this year we've done about 200 crores, 150 crores to 200 crores.

Shreyans Mehta: So, this 2300 also include the road, right?
Ragini Ad

vani: Yeah, this is road and rail connectivity and renewable project that we have.
Shreyans Mehta: So, just to clarify 2300 odd cores is what we've invested, and 1000 odd is what we need to do over next 2 to 3 years?
Ragini Advani: Next 2 years in fact it is lesser than 2 years.
Shreyans Mehta: And my last question from my side in terms of the solar Power project which we are doing for the status of the health, the construction started and when will it be operation?
Ragini Advani: So, I will ask my CFO to address this question since he's directly looking into this.
B. Mugunthan: Currently we have acquired or done the lease dates for about 70% of the total land requirement. We have already started constructing four blocks and our other assets like pulling substation and transmission lines are under construction.
We were targeting to partially commission the project by 31st of March, but there are some impediments which are there which need to be sorted before it and in any case we are planning to complete the project by September, October of 24. So, that is the current status.
Shreyans Mehta: But in terms of raw material is the entire thing procured or we are yet to procure it?
B. Mugunthan: So, we have placed the orders for all the transmission equipments, transformers and all the modules also entire order is placed and we have already received the modules for about 50 megawatts also at the site and over the current month and the next month we do hope to install partially some of these modules also and our target is to kind of partially commission the project, but there are certain issues which are involving other agencies of government of Karnataka. We are trying to get those

permissions so that we can partially commission. So, that is the current status.
Shreyans Mehta: And just to follow up on the same so sir just trying to understand there's no raw material risk because largely this projects generally fail because of raw material then second these are back-to-back signed contracts as in the PPA are backed by the state governments 100% procurement bill will be there right?
B. Mugunthan: So, raw material I assume that you are referring to modules.
Shreyans Mehta: Right majorly modules.
B. Mugunthan: So, we have already placed the orders and the supplies have already started. So, we don't foresee any disruption on that account. As far as the power evacuation and PPA we have already signed the PPA with the Indian Railways. So, they will buy whatever power is being generated, so that has already been tied.
Moderator: Thank you. The next question is from the line of Abhishek Maheshwari from SkyRidge Wealth Management. Please go ahead.
Abhishek Maheshwari: My first question is regarding the budget that was announced to 2.55 lakh crore for this year. Can you give a dissection of this amount how much of it is going to infrastructure work that we do and or bulk of it is being used for conversion of old trains to Vande Bharat. So, how much of it will be helpful for us the kind of work that we do?
Ragini Advani: The budget split is still not known of 2.55 lakh crore, but mainly they mentioned two things. One, of course for the Vande Bharat coaches and the trains and the second thing they mentioned was more connectivity projects to port and many other infrastructures. So, the second part since it's been mentioned especially as a part of the budget.
I think it should have a significant share and that is where we are already there. We are already doing some of the coal connectivity projects also.
So, once we also get to know we'll be looking at all those aspects.

Abhishek Maheshwari: Ma'am second question so whenever just for understanding sales whenever a budget is announced do you have some clarity on hand before the announcement that okay these projects are in pipeline, these are going to happen in the coming year or is it completely secretive process?
Ragini Advani: We work like any other company does, so it is not that because we are a government company, we get to know anything before or just immediately after the budget. All of us will know it in due course as and when Ministry of Railway works it out.
Abhishek Maheshwari: OK, ma'am, lastly now you're working on one high speed rail project for Ahmadabad, Mumbai. So, are there any more such projects in discussion even in discussion or is it first you will finish this project and then government will see if it is feasible to proceed with others?
Ragini Advani: Parallelly the discussions have started on some more high-speed projects. I think at a DPR stage two projects are already being discussed. Overall, the government wants more of these projects, both semi high speed as well as high speed and in semi high speed like we have recently also done NCRTC electrification work. This is the Delhi Meerut corridor.
So, I think a mix of semi high speed and high speed from a long term perspective is what government could want our country to have. So, it is here to stay and grow in a big way. The details will be known to us as and when they are announced, but yeah it is a promising area going forward.
Abhishek Maheshwari: One last thing when if such projects are discussed generally, it's the conversion of existing lines into high-speed lines or you have to completely look for new line?
Ragini Advani: No. This is a completely new project, and it is based on Japanese technology.

Abhishek Maheshwari: No, I mean when you want to lay down the railway lines for such high-speed rails, are the existing lines, old lines converted to new lines or you have to look?
Ragini Advani: That's what I'm saying. It's completely new. It's a Greenfield setup of lines.
Abhishek Maheshwari: So, land acquisition must be a big challenge here.
Ragini Advani: So, that's where you have a company National High Speed Rail Corporation Limited, which is doing these projects on a dedicated basis.
So, we are doing the part of the EPC work, but there is a company.
There is a set up within Government of India which does all this. It's something similar to when you have metro setups.
Moderator: Thank you. Next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.
Vishal Periwal: In awards, ma'am can you clarify like in railway sector is there any data available that what was the total award for the sector as a whole in this year last year, anything that you can provide color?
Ragini Advani: I think you are talking about Ministry of Railways awarding?
Vishal Periwal: Yes ma'am.
Ragini Advani: No, I will not have that data with me because that data is I mean every zonal railway will have their own set of data then there will be certain centralized projects also different departments civil, mechanical, electrical will have their own set off. At company level I may not have that data.
Vishal Periwal: But the CAPEX number which generally it's shared in the public and everywhere. So, that is combined of all the zonal railways and everything, right?
Ragini Advani: Yes sir.

Vishal Periwal: And second you mentioned there were like 30 parties in one of the order that we bided. So, can you give some color like where exactly this competition is, is it in the station d

evelopment side or a traditional
railway work of laying lines if you can just give some color?
Ragini Advani: So, it's this particular one that you're talking about it is a railway project, it's not in station development, I think. Let me just look into this one.
Can you move ahead till I get back to you because this is a very specific question or we can take it off the conference call also because it's something I need to fetch out the data.
Vishal Periwal: In terms of to get more orders for us. So, is there any sector that we are building up a team for ourselves and then like we can get orders, anything that you can provide a color?
Ragini Advani: See as much as you all are anxious about it. As company management, we would be even more anxious about it and would be making all efforts towards the side because we understand that is something which is important for us. So, while we are doing well on many of the stratas or the pillars that company has, this is the area where we've fallen short in this year and we need to gear up.
So, a lot of internal deliberations activities some deliberations on how we are doing it and how should we be going ahead and what should be the identified team all that is happening, but again that's something which I mean I would rather have the results speak for it rather than get into that deliberation.
As regards your previous question, this was the construction of road bridge major and minor bridges, ROBs, RUBs etcetera in the state of Maharashtra for Central Railways. So, those kinds of projects you are getting bidders in the range of about 15 to about 28, 30 odd percent.
Vishal Periwal: So, is it like the norms are being relaxed or any changes which have happened?

Ragini Advani: As we mentioned these are typically projects which have been taken by zonal railways. The project size is of a smaller scale and it's and it's also has a lot of routine work for normal bridges, the normal ROBs etcetera.
So, the credentials and the EQC requirement are also not as stringent as they should be and typically the size could be anywhere between 300 to about 600 crores, 700 crores. So, more people do get to participating including some of the local parties.
Vishal Periwal: And ma'am in terms of awards only I think I'm asking that repetitive kind of question. So, can you give some color what could be the total bidded project that we have right now, what it could be like maybe 6 months before how it was, and any bid pipeline is it becoming more promising to you or still it's conclusive?
Ragini Advani: What I can tell you is that as of now there are 5,000 crore worth of projects for which we have bid, but the results are awaited and we are bidding for another 3,000 crores and in the past, we've already bid for about 15,000 to 18,000 crores in the cumulative 9-month period.
Vishal Periwal: So, incrementally this 9-month period that awards in terms of actual results are out incrementally what we have is 3,000 plus 5,000 that you mentioned?
Ragini Advani: So, 3,000 will be bidding and 15,000 the results are awaited.
Vishal Periwal: And last thing from my side if it is covered pardon me. In terms of revenue, we did mention like 11,500 crore that we are targeting for FY24 is it?
Ragini Advani: Yeah.
Vishal Periwal: So, that is on a standalone EPC work typically that the number that is being shared?
Ragini Advani: No, we talk everything on a console basis.

Vishal Periwal: I mean fourth quarter number if we just imply then is it like you're seeing things to be a little kind of subdued or because the implied number looks to be little?

Ragini Advani: So, what has happened is, I mean, the reason I'm giving this is again because I'm fairly confident that this is something I'll do, but if there is an upside I'll also be as happy as you are because they're sitting in mid of Feb and I've had some of my projects which have been affected geopolitically.
Like Myanmar project there have been some political disturbances, insurgencies because of my work has temporarily been stopped almost and similarly in Sivok we were all aware that there were certain issues in the month of October, November after which lot of our resources were pulled in and given to NHAI to get the roads etcetera back.
Our own work was told to be stopped because the national priority was to get the road back in place and even those roads right now are working on a very temporary basis only for the army, trucks, etcetera.
So, even our own stuff cannot go up and down from those roads. So, these are things because we are working in some tougher terrains.
So, these projects especially Sivok is an important project for me in this year for my revenue, so it did take a toll in my October to December quarter, and I see that happening till March because we're already in Feb and these activities are not picking up in this year.
Vishal Periwal: But if I look at your quarter 3 numbers I think double-digit growth that we have shown. So, maybe there are certain projects which are compensating for that. So, can we expect the same continuing in quarter 4 also?
Ragini Advani: Yeah that is the reason I'm saying the overall number would be in the range of about 11,500 plus, but yeah that is how it’s being doing and hopefully it will continue, but we should be there.

Moderator: Thank you. The next question is from the line of Ayush Agarwal an Individual Investor. Please go ahead.
Ayush Agarwal: So, I was looking at the numbers reported this year this quarter and when we look at the consolidated versus standalone for December 2023, I noticed that the standalone number for December 2023 has dropped compared to December 2022, while the consolidated number has increased. Can you share some more information on how that changed?
Ragini Advani: I just mentioned that on a standalone basis some of my projects were had a drop like I just give an example of Sivok and Myanmar more domestic as well as international. So, on standalone all those have taken a toll on my results. If you were to see it vis-a-vis the previous quarter, but on a consolidated basis I have two of my HAM projects which are fully operational, and I've started getting annuity incomes from them.
Also, there have been some dividend inflows because of my joint ventures and subsidiaries. So, given all this consolidated I'm making it up but on a standalone I've taken that it.
Ayush Agarwal: And when we talk about these auctions that you are being outfit by other players and you've mentioned a couple of times that these other players are getting ridiculous numbers which don't even cover the cost of the bid like project then can you give us some more information on why it couldn't be a case of less operational efficiency on your part?
Ragini Advani: Sorry.
Ayush Agarwal: I'm saying that if other companies are outbidding you in an auction and you're saying that the offers that we are making the numbers are very bad like it's not possible to even cover the cost of the project then could you give us a reason why or rather like some information on why this could be down to a more efficient operations from your compensation?

Ragini Advani: No, all the serious players are the ones who h

ave been in the industry
and who are of our kind of size and credibility they are also not getting those jobs. I also mentioned that these are players who you would not have heard of and are taking the bids.
Ayush Agarwal: So, please correct me if I'm wrong on this, but I have read that many

times the government puts certain criteria on who can be qualified bidders for these projects. So, on that basis I would assume that these players whom no one has even heard of, wouldn't actually qualify for the bid?

Ragini Advani: Again, as I mentioned there are couple of reasons. So, in certain projects where the project size is low or the EQC criteria such that some of these are very relaxed criteria where you have such kind of players who are coming and quoting ridiculously low and probably they would not be the players you would have heard of earlier as your serious long-time competitors.

So, that is one part which I mentioned, and I said that is where if there are 15, 16 players we would not even be L1, L2, L3. So, there is that class of orders which are happening right now in which we don't see ourselves standing a chance because of the kind of players who are coming, probably either they don't understand the business or they are trying to enter into the market by quoting low so that's something which I will not be able to comment upon, but long term serious players are not the ones who are winning this bids.

But on the other hand there is a category of projects where the competition is good. The EQC is well laid out where we may not have won the jobs, but we may have been an L2 or L3. So, that's another class of history that we've had recently.

And third are certain projects where the tenders were expected to come out those are fairly complex or large size projects, but either they have not come out or if they came out then they have been rescheduled or retendered and that is where we see ourselves picking up a recent good file.

So, it's all the three categories, but the category that you've been asking the question on the fact is that yes see there are many players especially local players and if the local zonal railways is taking it out you will have some many many players in that city or in that zone to do civil work.

And you may see them doing the civil construction work and similar activities for railways as well when such tenders come out so they bid. The idea is to see if they'll be able to perform at that price.

Ayush Agarwal: So, when you when you say that because of these projects getting delayed because of elections and environmental reasons and stuff, so does that mean there will be a spurt in a particular year or does that mean it will be a long-term increase year over year for these new projects which were delayed?

Ragini Advani: So, what I'm trying to say is that as of now going forward for the next few months we expect there to be a lull and whatever projects we're already looking at we should be looking them coming after few months and then from there on onwards it should become a regular feature. So, this should be a short to midterm issue right now.

Ayush Agarwal: My last question is regarding your EPC and modernization projects like the Japanese rail project that you're working on. I wanted to know as a business how much R&D is a part of your business strategy or do you generally rely on other parties to create technology and then you implement it in your project?

Ragini Advani: So, the high speed project has been taken by Government of India based on JICA loan on Japanese technology only. So, there is no R&D or technology improvement that India is doing from their side. It's a well-established technology in Japan and which is being imported into India and that is how the h

igh speed is being set up. So, we are doing it on a project, technology as well as guidance from Japanese company and whosoever are associated in Japan for this project.

Ayush Agarwal: What I actually meant was how does this affect your technologies that you can offer in your bids for other project even in the conventional?

Ragini Advani: Technology in our kind of jobs it is owner driven. What we do is an EPC, EPC may R&D and technology is not so significant part wherever it is done it is taken with the help of this thing, but per se it is not a critical factor for our kind of business.

Moderator: Thank you. The next question is from the line of CA Akash Dhanuka an Individual Investor. Please go ahead.

Akash Dhanuka: With respect to the PAT again ma'am we were. 8.12 in this current quarter and 8 in the previous quarter. So, are we a little conservative on guiding on 7.5?

Ragini Advani: No, we are not. It really depends on the kind of where we are in the project cycle because when I'm talking of a PAT number we have a 7.61 for the 9 months and we have 7.49 for the previous year 9 months and we had for FY23, 7.12. So, I am talking the same range. I don't know where you're putting 8.16. So, that's on a quarter-to-quarter so quarter-to-quarter really kind of project that we have, it could really vary.

Akash Dhanuka: So, just correct me if I'm wrong on the conclusion part that we'll touch 11,500 crores on the operational revenue, 500 crores on the other income part which brings us to 12,000 crores and on that we'll be earning 7.5% which amounts to a PAT of 900 crores?

Ragini Advani: 7 to 7.5 and it could be the overall revenue could be in the range of 11,000 to 11,900.

Akash Dhanuka: So, I mean as of now we have achieved a PAT of 682 crores. So, can we assume another let's say about 275 crores?

Ragini Advani: Mathematics I'm sure you can do please. I'm confirming again and again the same.

Moderator: Thank you. The next question is from the line of Niket Jadhav from Purnartha Investment Advisors. Please go ahead.

Niket Jadhav: So, if I'm not wrong out of the 8 road projects that we have 2 are completed. So, could you provide us the breakdown of how much income goes from the HAM model to operating and how much goes to other income?

Ragini Advani: So, out of the 4 projects that are operational right now there are 2 are HAM projects. So, out of the 2 HAM projects that I have my interest income that I earned from them is roughly 130 odd crores, 140 crores.

Moderator: Thank you. The next question is from the line of Rupali, an Individual Investor. Please go ahead.

Rupali: Can you please give us a flavor of contribution of roads, highways and railway projects in your total order book for FY25?

Ragini Advani: I think roads and highways are about 15% to 20% so about 6,000 crore is highways out of 30,000 crores and about 2000 crores is others and balance about 21,000 is rail.

Rupali: One more thing does this order book includes the overseas project as well?

Ragini Advani: Yeah domestic as well as international.

Rupali: International means which countries you are…

Ragini Advani: So, we have Myanmar project. We are doing some works in Sri Lanka and Nepal, Bangladesh though some of them are under I mean they're at the fag-end of almost getting close and in Algeria.

Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Ma'am my question pertains to our standalone core EBITDA margins excluding other income. So, it seems to have being settling at say closer to 6.5 odd percent since the last

3, 4 quarters. So, assuming you know that we are expecting a 15% growth year over year, so can we expect that margins have stabilized here and once we heal up then economies

of scale can play out and this margins can actually go upwards of say 7.5?

Ragini Advani: No, it's not about the economies of scale it is about the competition and the fact that the jobs are going at very, very thin and competitive margins. So, the very fact that we'll be able to protect them by itself and also continue to get good size of order book is the balancing that we'll be doing and we hope to continue doing that from a small-to-mid term perspective. It is not expected to go up the margins it would be a few percentage decline.

Shreyans Mehta: So, at least, as a stabilized year I would say 6.5 the core EBITDA margins or there is a scope of further going down?

Ragini Advani: So, given our order book that we have right now and the margins therein we hope to be there, but having said that now we have to start securing more orders and the market is getting intense day-by-day. So, from a next 1 to 2-year perspective it should be there, but going forward I mean I'll only be able to tell as and when we pick up those orders.

Moderator: Thank you. The next question is from the line of Niket Jadhav from Purnartha Investment Advisors. Please go ahead.

Niket Jadhav: So, I had a question about our profit from associates and joint ventures. So, if we compare the 9 months of FY23 to the current 9 months of FY24. There's a jump from 18 crores to about 60 crores. So, could you tell me what is driving this increase in profit?

Ragini Advani: So, there are two things. One as I told you that my two HAM projects are now fully operational and therefore, they are giving me a significant contribution to my PBT. Second in one of my coal projects CERL phase 1, I had losses till about last quarter and the losses were significant while this quarter it has given me a profit. So, these are the two main reasons for this increase.

Moderator: Thank you. Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to the management for their closing comments. Over to you ma'am.

Ragini Advani: Thank you so much for moderating the call, Mr. Dorwin. I would also like to thank all our shareholders, business partners, analyst, investor friends and the overall stakeholder community who have shown continuous faith on us and supported us throughout the journey.

We assure you that we will continue to strive towards greater height and are doing all our efforts as management to carry on with this growth journey of ours. We would be happy to connect with you on one-to-one basis for any other further queries that you would have and take it forward. I conclude today's concall and thank you once again for your participation. Thank you, everyone and good evening.

Moderator: Thank you all for being a part of the conference call. If you need any further information or clarification, please e-mail at sachin.garg@ircon.org. Thank you everyone for joining this call. You may now disconnect your lines.

Call: May 2024

IRCON/SECY/STEX/124 Dated: 29th May, 2024
BSE Limited
Listing Dept./ Dept. of Corporate Services
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400001
[redacted]
[redacted] / [redacted]
[redacted]. [redacted]. [redacted],
[redacted],
[redacted]– 400001
Scrip code / ID: 541956 / IRCON National Stock Exchange of India Limited
Listing Department
Exchange Plaza, Plot no. C/I, G Block
Bandra –Kurla Complex,
Bandra (East) Mumbai – 400051
[redacted]
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[redacted]-[redacted],
[redacted] ([redacted]) [redacted]-400051
Scrip Code : IRCON

Sub: Transcript of the Conference Call for Q4FY2024 held on Wednesday, 22nd May, 2024/
[redacted], 22 [redacted], 2024 [redacted] Q4FY2 024 [redacted]
Dear Sir/ Madam, [redacted]/ [redacted],

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to our letter of even no. dated 16th May, 2024, please find enclosed the transcript of the Conference Call held on Wednesday, 22nd May, 2024 to discuss the financial results of the Company for the quarter and financial year ended on 31st March, 2024.

In accordance with Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the transcript of the Conference Call is also available on the Company’s website at the link
https://www.ircon.org/index.php?option=com_content&view=article&id=226&Itemid=643&lang=en
which can be accessed through below mentioned path:

www.ircon.org>> Investor Relations>> Presentation and Earning Calls>> Transcript of the Conference Call held on 22nd May, 2024 for financial results for the quarter and financial year ended on 31st March, 2024.

[redacted]
[redacted],
[redacted],

([redacted])/ (Ankit Jain)
[redacted] / Compliance Officer
[redacted]./ Membership No.: A35053

“Ircon International Limited
Q4 FY'24 Analyst Conference Call”
May 22, 202 4

Management
Ircon international limited

Mrs. Ragini Advani – Director Finance
Mr. Alin Roy Choudhury – CGM Finance

Ircon International Limited
May 22 , 2024

Moderator: Good afternoon, ladies and g entlemen. I am Steve, the moderator for this conference call. I thank everyone for joining us today for the Ircon International Limited Q4 and FY24 Analyst Conference Call. Please note that this conference call is being recorded. At this moment, all partic ipants are in the listen only mode. Later, we'll conduct a question -and-answer session. At that time, if you have a question, please press '*' and '1' on your telephone key pad. Today we have with us the senior ma nagement represented by S mt. Ragini Advani - Finance Director , Shri Al in Roy Choudhury - CGM Finance.
I would like to remind you that some of the statements that will be made in the in today's discussion may be forward -looking in nature. It is subject to several risks and uncertainties and the actu al result could material differ. I would now like to hand the conference over to S mt. Ragini Advani - Finance director for the opening remarks, after which we will have the form open for interactive Q&A session. Thank you and over to you ma'am.

Ragini A dvani: Thank you, Steve. Good afternoon, everyone. I am Ragini Advani, Director Finance , Ircon. On behalf of my team, I extend a warm welcome to all of you and thank you for your presence today in the earnings call for Q4 as well as year ended 31st March 2024. I have along with me , my team members, Mr. Al in Roy Cho udhury - CGM Finance and Mr. Sachin Garg - DGM Finance. As you would all have seen the results this year, FY24 has been an exceptional year for Ircon. The company has been upgraded to Navratna by D

PE and this is a prestigious status that's been
granted to us because of our strong financial performance, efficiency and credibility.

Additionally, Ircon has reported once again in FY23 -24 highest ever Turnover and PAT. This achievement underscores th e company's robust growth and the successful execution of the projects . We extend our heartfelt gratitude to all the stakeholders for their continuous and unwavering support. Financial results as well as the investor presentation has already been uploaded. I'm sure all of you have had the opportunity to review these documents.

Just to summarize our financial performance, the company has reported total revenue of rupees 12,871 crores in FY24, almost up by 20% as compared to rupees 10,750 crore for the same period last year. PAT has also increased by about 21.5% at a level of 930 crores as compared to rupees 765 crore in the last year . Earnings per share have correspondingly gone up to rupees 9.88 per equity share in FY24, these are the rupees 8.14 in FY23 and this is on a face value of rupees two per share.

The Board of Directors have recommended a final dividend of rupees 1.30 per equity share, thereby bringing the overall dividend for this year to

rupees 3.10 per equity share. This is of course, subject to approval of shareholders in the ensuing annual general meeting . Order book of the company currently stands as at 31st March 2024 at rupees 27,208 crores. The mix between competitive bidding and nomination and order is almost 50-50 and between Domestic a nd International is about 91 -9. Ircon has 11 subsidiaries , mainly SPV and this is in renewabl e power , roa ds. highways. Ircon has seven joint venture companies, mainly for coal connectivity .
Without taking much time I would. Like to open the floor for Q&A session.

Moderator: Thank you. The first question is from the line of Tushar Rangate from Kamakhya Wealth Management. Please go ahead.

Tushar Rangate: Thank you for the opportunity, ma'am. I just wanted to know the high-speed railway network is what percentage of our order book and how do you see that panning out in next two to three years? Because I could see we have our experience in the blast less track line segment. Just wanted to know your views and the order book position going forward.

Ragini Advani: So, it roughly is about 5200 crores. The order value of the bullet train project, so it would be about 19 to 20% of our order book. And in terms of going forward, our honorable Prime Minister has announced a particular stretch to be opened in 25 -26, then another one and 26 -27 and the full connectivity will be a year after that so we are accordingly working for those timelines.

Tushar Rangate: And what sort of order book you're for eseein g, ma'am, for FY25 overall ?

Ragini Advani: You know, I mea n in F Y23-24, we've had order book increase which was quite nominal close to about 1000 crores only from new projects and the balance from some increases that we had in our existing projects so taking this forward, while we will again target to get order b ooks increase to the extent of revenue that we do in this current year or maybe a little more. But a lot will depend on the number of bids which are coming out , the tenders which are coming out . First quarter there has been the slowdown becau se of the elec tion and I think we'll be in a better position to give you this answer in our results of June quarter.

Tushar Rangate: My last question, are we holding your earlier guidance of 15 to 20% CAGR growth for two to three -years?

Ragini Advani: No, no, no . So, what I had said was that we will try getting over a period of four to five years at double of our turnover and currently we've done quite well , from 10,000 we've moved on to 12,000 plus crores. In fact, almost close to

13,000. So, on a year-on-year basis, it may not be every year a growth of about 10 to 20% we do see next year depending on of

course it will depend also on the orders that we procure this year, but we kind of see a flattish growth going forward for the next financial year.

Tushar Rangate : OK, ma'am. Last question, ma'am, what are our initiat ives to increase our margin?

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Ragini Advani: So, we've always maintained that our margins are quite good vis-a-vis be the industry and we will continue to maintain the margins. Increased margins wi ll be difficult because competition is immens e and so also there is a lot of pressure on margins. We've had fabulous margins this year, which have been in fact on the higher side of the spectrum that

we've always stated to our investors. And going forward, we will maintain the margins. We may not be able to increase them, PAT margins would continue to be in the level of 7 to 7.5%.

Tushar Rangate: That was helpful. Thank you.

Moderator: Thank you. The next question is from the line of Shreyans Mehta f rom Equirus . Please go ahead.

Shreyans Mehta: Yeah. Thanks for the opportunity and congratulations on a good set of numbers . Ma'am, this quarter if you see the margins, we on a standalone basis, we are closer to say 7 o dd percent. So, can we replicate t he same going forward, or are there any one offs during the quarter?

Ragini Advani: So, in this quarter, we had a one-off income against an arbitration settlement or in fact a settlement in international court. This was in regards of our South Africa pro ject and that's been partially offsetted by certain provisions that we created this year . On the whole , that has given margins which are higher than the other 3 quarters in the 4th quarter but having said that, overall, as we've been maintaining, we should be able to maintain PAT margins in level of about 7 to 7 and a 1/2% going forward.

Shreyans Mehta: Got it, got it, got it. Sure. Secondly, ma'am, you know, in the previous calls, we were talking about order inflow, you know, large ticket size projects w hich were put on hold. So are we seeing, you know, there's some improvement out there and if you could, you know, name a few projects where we are expecting you know next year we could bag or you know we where we have bided for some projects.

Ragini Adva ni: Yeah. So, I may not be able to name them, but they are pretty much in the pipeline. It just so happens that domestic and you know some of the big projects that we were targeting in domestic market, the decisions are delayed because of the elections tha t come in and we hope t o be one of the players to get some part of it at least, but we will only know it later. And yes, our business development team along with the management is looking for all kind of bi ds that we can do both in domestic as well as

international markets. We put in a lot of efforts last year also and we'll continue to do those efforts. Unfortunately, last year we could not see the results but we are hopeful that after the June quarter , we should be able to see some good results and we'll be sharing it with you then .

Shreyans Mehta: Got it, got it, got it. Sure. secondly, ma'am, you know, I mean, if you see our orderbook , we have an order book closer to, say 40,000 odd crores and given the average execution, you know, we'll be able to do i t say closer to 14,000 odd crores. So, I mean just to the previous participant, you said you know probably will be ending flattish, so are there any? No moving projects or are we being very conservative on the execution front?

Ragini Advani: So, so you k now, the 27,000 crore order book of mine, these are construction projects. It includes a bullet train project th en it inclu

des a

tough terrain Myanmar project as well as a tough terrain Sivok project that we have. So, all these projects were never ever mea nt to be completed in two years. So, these were supposed to be a four-to-five-year horizon in which these were supposed to be created and therefore I have maintained that we will have a flattish number of turnover next year and this will continue for perio d beyond two yea rs.

Shreyans Mehta: Because, ma'am, you know, my point was, you know, that majority of the projects are at advance stage . It's not, you know, we've just started work.

So, if you take D FCC.

Ragini Advani: In, in our case, Myanmar and Bu llet train is still at a nascent stage or I would say the 1st 25% stage.

Shreyans Mehta: OK, OK. OK, got it.

Ragini Advani: Yeah. So those will spill over after next two years.

Shreyans Mehta: Sure. And then last two questions from my side. One, in t erms of investme nts, which we've done in our S PVs till date and how much needs to be invested and 2nd in terms of solar project, what's the status and how much have you invested?

Ragini Advani: Could you repeat your question please?

Shreyans Mehta: One you know till date how much investments we have done in our roads, mining SPVs? And second question is the status of the Solar Power project which you know we have in terms of EPC. So, where what's the construction status and how much equity we have inclu ded in that project?

Ragini Advani: Yeah. So first coming to the solar project, we have already infused equity of about 112 crore odd. And we will be infusing funds to the extent of another 89 crores in this current year.

Shreyans Mehta: Ma'am, this is totally our share , right?

Ragini Advani: Yeah, this is totally our share. OK. And in terms of the project itself, well, there is land acquisition which is happening and apart from that, we have already tied up all our contractors in terms of the procure ments that we have to do including for supply of solar mo dule. The tariff and the PP is already fixed and a part of the commissioning would happen in this year and the balance in next year.

Shreyans Mehta: Got it, got it. Got it. Sure, ma'am. And in term s of investments which we've done till date in all our SP V's and how much do we have to invest in next day one or two years ?

Ragini Advani: Cumulative investments in the range of 2000 to 2200 crores is what we've done right now in all our S PVs joint ventures as well as Subsidiaries and we have to do another 1000 crores in the next two years.

Shreyans Mehta: Next two years ?

Ragini Advani: 1000 to 1100 crores, yeah.

Shreyans Mehta: And majority would be towards the coal connectivity projects or you kno w that's largely done ?

Ragini Advani: No, no, no. So even in co al connectivity there is some amount that we have to done, but majority would be in the road projects. And we expect that the outflow in this year's FY24 -25 towards all these projects should be in the range of 500 crores.

Shreyans Mehta: 500 crores. Sure, sure. Ma'am, I have a couple of more questions. I'll join in the queue. Thank you.

Moderatot: Thank you. The next question is from the line of Joydeb Debnath from Microsec Wealth Manageme nt. Please go ahead.

Joydeb Debnath: Yeah. Good afternoon, ma'am. My one, my first question is in the recent quarter, we will notice on the loss of around 14 crores from the associate. So, could you please tell me from which associate this loss was book ed and may we expect this similar loss in the coming quarter or this is a one time?

Ragini Advani: Which loss are you menti oning about? Sorry, I couldn't hear you properly.

Joydeb Debnath: The share of profit of joint ventures of around 13.67 crore.

Ragini Advani: So, in our joint ventures, as I stated last year also, one of our coal connectivity projects, CERL , it is running into losses . Last year the losses were about 30 crores and this year the loss has been about 25 crores. And it will continue l osses for another year to two years. It is still actually a particular per line has to be still set up, which we are in the p rocess of doing. And also, the traffic from this line will pick up over a period of two years and i t's only after two years that th is will break even so another two years, we expect this loss to be taken, but on the overall the project is doing fine, the viability is there and therefore as promoters, we will have to continue incurring this loss for another two years. That's the only o ne, otherwise all other projects of ours are doing well.

Joydeb Debnath: OK. OK. Thank you.

Moderator: The next question is from the line of Shubham Shelar from IDBI Capital. Please go ahead.

Shubham Shelar: Thanks for the opportunity. Couple of q uestions. One, you mentioned there had been arbitration claim that has positively impacted our margin. Can you mention the quantum of this amount?

Ragini Advani: Overall, Quantum was 97 crores. The impact in my P &L is about 66 crores.

Shubham Shelar: And this 97, is it mean anything booked in other income also?

Ragini Advani: Yeah, partly . About 22 crores is booked in other income.

Shubham Shelar: OK, so 22 crores booked in other income and 97 - 22 which is roughly 75 odd crores , is part of your rev enue?

Ragini Advani: 66 - 22, the 97 versus 66 was already sitting as part of retention money and OCI. So, what has affected my P&L overall is 66 out of the 66 , 22 is in other income and 44 is in my project revenue versus expense. The overall margin, the operational margin.

Shubham Shelar: Got it. And this clarification, this high speed you mentioned amount is 5200 odd crore s and so which means nothing has started as of now, right?

Ragini Advani: No, no, no. So, we've had, we've done about, I think 100 0 crores till now.

Shubha m Shelar: OK. Yeah. Sure. And then coming to our own cash and the books will be how much?

Ragini Advani: Our own cash is in the range of 800 Crores to 825 crore s.

Shubham Shelar: And in terms of what tax rate, can we expect t hat 25% for 25 and 26 going ahead ?

Ragini Advani: Yes, yes, we can. In fact, this year also it's been 25. Last year it was low because of some taxation benefits that we got last year. Otherwise, it should be in the range of 25% only.

Shubham Shelar: OK. And then this revenue con tribution of flattish number, this is based on the current order that we have in terms of delivery schedule, anything that we get in terms of insurance. So that will positively .

Ragini Advani: Yes, yes, absolutely. For which we will be sharing numbers with you as soon as we also get to know.

Shubham Shelar: Right, right, right. And then you did mention like, BD team is working on getting orders and can you just maybe will this be possible to give some bit more color in terms of which sectors we are seeing opportunity again the same thing which we asked is any bit pipeline or opportunity that we have bided or? And that will help us to understand.

Ragini Advani: So, one, I mean, as you all are aware, we got a 600-crore job up to March in Railways itself and we've got another one of 1198 crores again in railway segment itself and apart from these two, we are expec ting some bids to be opened now both in roads and highways as well as in railways. Obviously, the target number that we bided is very high, whether in terms of quantum of bids or the value. But because the competition is immense, and also there's been some delay in some of these, you know, decisions. Ther

efore, I think it will be better if we are all patient and we go with the numbers that we actually win.

Shubham Shelar: OK. But just if one has to understand is it the awarding opportunity for the sectors that we cater, so that has been lower in F Y24 and that has also impacted our win that include or you are saying the co mpetition is higher, so which way one should ideally look at?

Ragini Advani: Both because you know in Ircon, as I mentioned that there is a particular size or scale of projects that we would like to do and also, we would like to do projects which have tun nels or some complexity involved because there are a lot of small -time players , one-time players who are coming and competing and they ar e under quoting in the market. And especially for small ticket jobs, we found that, you know, I'm talking of a range of 50 to 100 crores or below that. It is becoming extremely tough to even look at that segment. So, considering all of these, the opportunities that have come up in our segment or the target that we're looking at has been limited last year and also within th e segment, the competition has been

immense, but we are hopeful of getting some of the jobs and we should be able to share some positive news very soon.

Shubham Shelar: Sure, sure. Maybe one last question . In terms of high speed though, we have one order with us , in terms of opportunity because I know it's more of a media report that we keep on getting a number of projects being lined up, but any bids probably like, you know tenders that getting invited in advanced stage any color that you can share. Beca use lot of names keep on coming between 2 cities and all.

Ragini Advani: I also believe that after us, there is an opportunity that cam e and that's gone to AFCON. But in terms of focus, of course this Ahmedabad - Mumbai Bullet project once it is commission ed for which I think that should be the target now going forward because it is one of our prestigious projects from a count ry's point of view. So, once it starts giving us results in terms of actually doing it, executing it over a period of time, then we a re fairly confident because as of now the credentials lie with us and L&T. So, we are fairly confident that this should from a mid to long term perspective there should be more such projects coming up and given our credentials we should be able to get some sizeable business going forward.

Shubham Shelar: OK. And 5200 o dd crore in high s peed that is fully like 100% is our share?

Ragini Advani: Yes, yes, I'm talking only about our order book.

Shubham Shelar: Yeah. Thank you for answering the question.

Moderator: Thank you. The next question is from the line of Raj Shah from Wealth PMS. Please go ahead .

Raj Shah: Can you explain the margin difference between bidding project and nomination project ? For that, what is the margin difference and what is the ballpark margin in both ?

Ragini Advani: You know, I think we've discussed this earlier in earlier calls as well. The margin difference tends to be about half a percent here and there depending upon the complexity of the job, the size of the job betwee n the nomination versus bidding as a very ballpark number. And in terms of what our margins will be, I have been saying that we'll be continuin g to maintain our margins which will be in the range of 7 to 7 1/2 PAT margins and core margin EBITDA margins in the range of about 7 1/2 to 8 1/2 percent. So that is something which we are doing knowing very well that going forward, it will all be competition only.

Raj Shah: OK. OK, thank you and one more question was can you explain the cash conversion cycle of t he company, whenever the project is awarded or when you will bid for any nomi

nation, how much percent of the award is come to che que in the balance sheet , and how is this accounted?

Ragini Advani: So, the y ou know, in our case, because it's heavy constr uction job that we do, so whether it is nomination or whether it is competition, there are advances which tend to sit in our books. There's initially a mobilization advance, then there is an advance against material and typically we would say that as such, the working capital which is involved in completing the project has been very limited till now for I rcon. Going forward, we could have some increase in our working capital requirement because in nomination jo bs, the advance tends to be substantial. It is almost like a deposit work, but it would be a working capital which we should be able to manage. I don't see funding requirement towards working capital from banks f or the next few years.

Raj Shah: OK. Thank you.

Moderator: Thank you. The next quest ion is from the line of Hiren, an individual investor. Please go ahead.

Hiren: Yeah. Thanks for the opportunity. Just a small bookkeeping question. Is your tax rate seems to have jumped up, you know, during this quarter, if you compare it on a year on y ear basis, just wanted some clarification and what would be the tax rate going forward for the whole year?

Ragini Advani: So, going forward, the tax rates would be in the range of 2 5 percent and yes, there has been some shift in our tax rate during the quarter Q4 or for that matter, if one was to compare year on year from la st year. That's been because of some deferred tax and fees as well as a one-time tax refund that we had last year. And that's an adjustment entry that we've done. It's a non cash book entry also in defer tax, which we've done and going forward it will be around 25%.

Hiren: OK. Thank you.

Moderator: Thank you. The next question is from the line of Shreyans Mehta from Equirus . Please go ahead.

Shreyans Mehta: Yeah. Thanks f or the opportunity . Ma'am , first question is, you know that we are seeing a lot of deals as far as HAM projects are concerned at substantial premium. So, any thought process to monetize, I know we'll have to go through you know several rounds to reform, et c. But what we plan out there. Do we intend to hold those or, you know there is a structure where we will be able to monetize those ?

Ragini Advani: So, as I had stated earlier in my call s, we had taken baby steps towards asset monetization. We had hired a consultant who would tell us what would be the best way to take it forward, after which we've had a board meeting on it as well and in principle decision to monetize the assets which are already operational. And road and highway sector has been taken. Th is is an Ircon board, but as you rightly pointed out, after that it has to go through several rounds of approval at Government of India level. So currently that approval we have sought from our parent ministry, Ministry of Railways, the papers are with the m. We are hopeful of getting their approval very soon and then we will be moving it further on to DIPAM and Niti Aayo g depending upon how much time they take. We are quite focused to take this forward.

Shreyans Mehta: But if the intent is to sell it rat her than holding to it ?

Ragini Advani: Yes.

Shreyans Mehta: Sure. And similarly for the coal connectivity projects, can we monetize those as well or we'll have to hold on to those ?

Ragini Advani: So, coal connectivity projects, we haven't yet thought o n that direction because we happen to be a minority partner. The majority partner is a Coal India subsidiary, whichever it is, southeastern coalfields or central coalfields and if at all we do plan at some stage , it may not be into the market because I don 't think coal companies would like to mo

netize it, in
which case it could be a Inters ale, promoter sale or something that may happen, but this is not any charge immediately because as of now all my projects are either in fact, end of construction or just a bout commercial but with losses so there is no point looking at monetization at this stage. These made for coal projects to be stable.

Shreyans Mehta: Got it, got it, got it. Sure. Sure. And secondly ma'am, in terms of you know in the previous calls we'v e been indicating, you know, that a coup le of our c oal SPVs would be up and running in say in next one or two years. So how should one look at the JV share of profit?

Ragini Advani: So, as I mentioned, you know one of our coal JV's which is Chhattisgarh CERL. Unfortunately, they've been running into losses. There are couple of factors, one of course the major per line is still under construction. The losses will get reduced, but we will still have losses from them for next two years. Meanwhile, our other products, which is MCRL, CERL, CEWRL and one JC RL, those should start giving us profit, but again they are under construction, so the coal profit from coal JV should essentially be coming after two years.

Shreyans Mehta: OK. OK.

Ragini Advani: Yes, bec ause they take time to stabilize. Ultimately my revenue there is coming from the co al traffic so even when I construct it is not that from the very next day, I get full traffic. So that takes about two to three years to stabilize.

Shreyans Mehta: Got it, got it, got it. Sure. And ma ’am, one last question, our competitor is actually entering into the manufacturing field to be precise, Vande Bharat Manufacturing. So, are we looking at any sort of JV's or you know tie ups where we can, you know actually ente r that segment or any other segment you know which is the upcoming segment?

Ragini Advani: So, y ou know I rcon has had its fair share of diversification into roads, highways and now renewable, and we are fairly confident of the areas we have already diver sified and we are making good profits in our R oad projects , solar also we hope to do that, in terms of construction or activities, we are fairly confident , In terms of manufacturing, that's a completely new line for us. And as far as Vande Bharat is concer ned, that's an area which we've looked at. It's a very, very long liability that is associated with it which I don't think as Ircon we are ready to take it at this stage. So, we will continue to aspire to diversify into more areas. But it may not be manufa cturing of Vande Bharat trains.

Shreyans Mehta: Got it, got it. Got it, Shannon. Thank you, and., All the best.

Moderator: The next question is from the line of G aurika Nair from Aven dus Park. Please go ahead.

Gaurika Nair: Hi. First of all, if you could help me with the inflow of the order book for FY24?

Ragini Advani: Yeah. So, for FY24, I had an inflow close to 1000 cror e from new projects, this included 630 crores for a Aizwal tunnel project that we have and then there is about 120 crores for a signaling project that we've got in Imphal and the balance is somewhat in smaller projects. So that is what I've got for my new projects and I have an overall order book for 27,200 crores currently. So, there has been some increase in my existing project s also roughly to the tune of about 2000 odd crores.

Gaurika Nair: Okay , that is my first question . Next is if you could tell me a bit about the EBITDA for this yea r the future that you expect in FY25 -26?

Ragini Advani: So, EBITDA margin on a consolidat ed basis is about 11.73% and going forward, which will be in the range of 10 to 11%. Has been exceptional as I've already mentioned because of some of our yeah, one being, of course, the South Africa income that we got.

Gaurika Nair: Also, could you tell me the same things for your revenue growth and your revenue this year and the future?

Ragini Advani: Yeah. So, for the revenue for the next year, I said would maintain the at flattish l evel, which means it will be in the range which is similar to this year. And going forward, a lot will depend on the orders that I procured this year. I hope , it's a wishful thinking , we are working towards it, but in our industry, it is difficult to say till we get it. But if I get orders of another 10 to 15,000 crores, t hen a year after this we should be seeing about 10% growth in my turnover. But it is something which is dependent on the orders that I get this year. So as of now, it is flattish growth fo r the next one year.

Gaurika Nair: OK. Thank you so much.

Moder ator: The next question is from the line of Darshi l Javeri from Crown Capital. Please go ahead.

Darshil Javeri: Hello. Good evening, ma'am. Thank you so much for taking my question. Most of my questions have been answered. So just wanted to ask, will our other income run rate be on the similar levels or how much impact would it be? So, can we expect around 500 crores or other income coming in every year?

Ragini Advani: So, you know in 500 I mean it's been a little more than 500 this year, which had a portion as we mentioned of about 20 -30 crores. Can you hear me?

Darshil Javeri: Yeah , Yeah, yeah, yeah ma'am .

Ragini Advani: OK, sorry, I thought I had broken off . So out of this , about 20 -30 crores has come as one-off income from South Africa and an other 10 -15 crores has come from income tax refunds. So, if we, even if I was to leave that aside, we should be in the range of 500 crores going forward. At least for the next year. It will also depend how much of my surplus funds I'm investing or flowing back into new projects because essentially my other income includes a lot of my money that I earn on my FD's and mutual funds. So, if I start putting them into projects which I am expecting over the next two years. Then there would be a slight drop, but I don't see that for the next year at least.

Darshil Javeri: OK. Perfect, ma'am. And with regards to our interest cost, so it would also be in the similar range, ma'am, that what we are seeing right now run rate of 40 crores of quarter well maintained or how would we see going it ahead because projects like we are expecting a flattish revenue. So, any guidance on you know how our interest would work out ?

Ragini Advani: You're talking about our finance cost ?

Darshil Javeri: Yeah.

Ragini Advani: Yeah. So, per say, in Irc on, we don't have any active debt from a lending point of view. These are more of costs that you do because of the accounting entries. And also, a little bit that we pay as interest on advances. You know, so, this is something which will really depend on my size and the nature of projects that I take up. It is not the loans typically that we take up so finance cost in our case is very marginal and on a standalone basis. But if we were to look on a consolidated basis , all SPV's have financi al closures and they have taken long term lending. The lending is fixed for the entire loan period and it is linked to the MCLR rates of the respective bank. So, unless interest rates go up in the economy overall, which they are not expected to go up furth er. We should be pretty much at the same levels.

Darshil Jhaveri: Perfect. Well, thank you so much ma'am. All the best.

Moderator: The next question is from the line of Parimal Mithani from Credential investments. Please go ahead.

Parimal Mithani: Yeah. Thank you, ma'am for the opportunity. Ma'am, I just wanted to know recently, India and Iran have signed this Chabahar port agreement.
An

d in the past, you know, your colleagues in the past who are, you know, when you had run, they're quite bullish o n the prospects of our Chabahar in terms of, you know, work coming to us or international. Is there any further development or you think it's too early to comment on that?

Ragini Advani: Yeah, I mean, I would have, I'm afraid it'll be a little early. But yeah, well, as of now, there is nothing that we can say. We are definitely getting there.

Parimal Mithani: And in terms of ground work will be ahead in terms of other people in this safe to assume that?

Ragini Advani: Not for Chabahar.

Parimal Mith ani: OK. OK, ma'am. Thank you. Thanks.

Moderator: Thank you. The next question is from the line of Deep Mehta from Bank of India mutual funds. Please go ahead.

Deep Mehta: Hi, ma'am. Thank you for the opportunity and congratulations for very stable numbers. My question is regarding slightly top down in nature. So, in terms of various segments in which we are present, what kind of

opportunities in terms of bidding are we seeing for this year and what kind of market share are we planning to take in ter ms of Bid wins ?

Ragini Advani: So, you know, in our case, so we wouldn't talk about market share because market is huge in infrastructure. So, within railways, for example, there is a budget of 1,50,000 crores. But within that 1,50,000 crores roughly abo ut 70 to 80,000 crores is more to do with Vande Bharat and areas where probably Ircon is not present. And then when we talk of another 70 to 80,000 crores, a lot gets done by railway itself and there are also it depends a lot on you know what kind of proje ct siz es do they have. What are the projects that they're coming up with, whether they're coming up at a railway level or at a zonal level, which will mean smaller value? And also, on a lot of competition. So, on a top-down approach, the market is very att ractive. We are poised to get more jobs. We have the right credentials and whatever we have built in the past , we also carry a very high credibility. But having said all that, all this there it is ultimately an L1 regime and an L1 regime . as I've mentioned earlier, also the competition is also immense . It also depends on the complexity and the kind of technical qualifications that are put in a particular tender. Given all this, we should be able to get a good siz eable share, I'm saying as I mentioned in the range of 10 to 15,000 crores is what we will target getting this year. But having said that, it will really depend because our last year has not been good enough in terms of getting orders.

Deep Mehta: Sure, ma'am. Just one clarification, railway budge t is 2 .5 lakh crores, right?

Ragini Advani: Sorry. Yeah, it is about two 2.5 lakh I mentioned, I think. 1.5 instead.

Deep Mehta: Correct. So, our opportunity size should be slightly larger th en?

Ragini Advani: It is still 60 -70 thousand. I mean, if you were to reduce and take out all of those. It basically you know about 1,35,000 is include the rolling stock and many other areas. So ultimately, the areas which we do, which is new lines, gauge conversion and doubling some bridges, all that combined i s coming to about 60 -70 thousand.

Deep Mehta : OK. And metros, bullet train and all those will give us

Ragini Advani: Those are over and above anyway, because it is beyond the Indian Railways . Yeah, so those are new again opportunities that we have to bid and we will continue to b id.

Deep Mehta: Yeah, will it possible to quantify non railway opportunity for us or those are too difficult ?

Ragini Advani: No, no, it will be really tough because Metro is fairly segmented in terms of state s and it is a little difficult to quantify all of

them. But if you were to talk very broadly at India level, then obviously once looking at an opportunity of infrastructure spend of, I think almost more than 10,00,000 crores or something on a yearly basis.

Deep Meht a: Yes, ma'am. That was very helpful. That's all from me, Thank you.

Moderator: Thank you. The next question is from the line of Manoj Shah from lags cog investment. Please go ahead.

Manoj Shah: Hello. Yeah. Good afternoon. Ma'am. Thank you for the opportunity. Yeah, you were saying that you are targeting doubling of the revenue from 10,000 crores to 20,000 crores over four to five years from FY23 to FY28, is that correct?

Ragini Advani: Yeah, that is what I had mentioned last time.

Manoj Shah: OK, so you have achieved 12,000 crores round about in FY24. FY26 y ou are saying it will be flat or muted top line? And then next so next 2 -3 years, you need to grow at a because over a five years year, the CAGR should have been 14 to 15%. Then after 26 to 28, you need to grow at a much higher than 14 to 15%. So, and you were also saying for the bullet train and Myanmar these you will have revenue additional revenue to even post two years so right now, you are in the initial phase of that project . Is that s o you're saying revenue will flow from bullet Train and Myanmar project from FY26 onwards, is that cor rect?

Ragini Advani: No, no, that is not what I meant. What I meant is this project is yet to be completed, so the period in which it will get complete d is three to four years. So, the revenue will be spread over the three -to-four-year period and not over two-year period.

Manoj Shah: OK, OK. You said it was thousand crores you booked the revenue so out of those 5000 crores , so 4000 crores still to be executed.

Ragini Advani: Yes, and it would be over a three -year period.

Manoj Shah: OK. And you said the margins will remain in PAT margins will be in the range of 7 to 7 and a 1/2% and the work will be additional money will go into working capital FY25.

Ragini Advani: No, I didn't say additional money. We're working capital, I said additional money has to go into PPP projects mainly, but should there be a working capital requirement, we are poised to do it internally. We will not need lending for i t for next few years. I don’t see working capital as a challenge for us.

Manoj Shah: OK. You're saying you will manage it from internal. You don't need to borrow it.

Ragini Advani: Yeah. And I'm also saying that it is not so much of a concern right now. We are well within our numbers. So, but what in fact, I need the funds is for my PPP projects.

Manoj Shah: OK, OK. OK. Thank you. Thank you very much.

Moderator: Thank you. The next question is from the line of Hitesh Raja from HV Raja and Co. Please go ahead.

Hitesh Raja: Good evening, Madam. Thanks for answering me. Thanks for giving me the opportunity. This is a very small question. As you were just talking that there would be some more additional working capital requirements, especially as regards the PPP projects and as you already said that there you don't foresee any requirements to raise any funds for working capital . But on the flip side, whether there will be any impact on the other income or the revenue that we may be earning from the working capital because if we n eed more working capital , we don't need to borrow, but then it may impact our revenue in some sense ?

Ragini Advani: So, you know, this is someone who asked on not working capital. I said as of now we are on a very, very comfortable situation. If at all we need working capital , we will have internal resources . I am not needing working capital . Right now, m y cash that I get from client is good enough for me to manage the liability. I normally don't put my own fund

s other t han bits
here and t here, and that position is expected to continue on a short -term basis, but just in case we need to put, we are poised to keep it. As I again mentioned, my internal resources will essentially go in equity investments of PPP project and no t towards working capital immediately.

Hitesh Raja: So, Madam, as I understand, on a broad basis, as of now, the working capital , the current assets, or the short -term investments are not yielding that much of our sizable income in our part of component of the other incom e part.

Ragini Advani: Yeah. So other income will decrease once I invest my surplus cash into PPP projects, which is spread over two years. But having said that, I'll also be earning in the next few months. So, it will be a recurring cycle. And therefore, I do not see a other income dipping from a 500 crore level, it may not be at a level of 540 or 580, but it will be in the range of 500 for the next year. Obviously, if I get more PPP opportunities then the number will come down, but f or next one year I' m confirming it should be in that range.

Hitesh Raja: OK. Thank you, Madam.

Moderator: Thank you. The next question is from the line of Raj Shah from Wealth PMS. Please go ahead.

Raj Shah: Hi, thank you very much for giving th is opportunity. I just want to ask one question. I want to take the product you want to understand what is the risk of your sub-contractors b iddin g is gone for the projects that we are currently handling ? Because I understand we are currently sub-contracti ng a lot of projects that we get, r ight? So, what is t he risk that going forward is there any project where more than 50% or 60% of work is being done by one single subcontractor in any of our projects and j ust want to understand what is the risk that thes e subcontractors may outbid Ircon going forward in the bidding project? Thank you.

Ragini Advani: Couple of things. The first thing is that Ircon does a lot of work departmentally as in what we do within Ircon in our company by different sections and th e essential work there involves the initial planning, the designing, the procurement which typically for a contractor, becomes tough because most contractors don't have financial resources and subsequently it's overseeing the overall quality of the project or the credibility. So, these ar e three things that we typically bring to the table even when we are subcontracting. Now in terms of competition, obviously , hardcore pure civil work , they can compete with us and they are. But where it is an overall packag e which involves a procurement at designing and a lot of planning, meticulous planning in some of these projects, if you see the kind of projects I rcon has done, we've done the USBRL project and we are currently doing this Sivok project, all these involve a lot of tunneling project expert s and you have a lot of design and planning details that need to go into it. So there the competition will be lesser from any of these subcontractors. In fact, it will be nil and that's the reason we are trying to build a n iche for ourselves in which we hope to continue getting more projects . Like it goes straight away for bullet train project also. The technology is Japanese. There's a lot of JV arrangements that we have with many of the Japanese vendors and that is how thi s project is coming. So pure subcontractor will not be able to take it forward.

Raj Shah: OK. OK. Thank you. Thank you so much. And the second question was what do you see a technicality in Q4? In the topline, why is there a technicality in Q4 f or reven ue recognition?

Ragini Advani: Technicality. What technicality?

Raj Shah: Yes, usually the Q4 numbers are higher than the 1st Q1Q2Q3. So, is there any particular reason why Q4 numbers are higher?

Ragini Advani: Why Q4 numbers are higher?

Raj Sha h: Yeah.

Ragini Advani: Yeah, but I think typically in our kind of industry, Q4 always tends to be higher.

Raj Shah: Ohh. OK, thank you.

Moderator: Thank you. As there are no further questions, I would like to hand over the call to the manageme nt for their closing comments. Thank you all for being a part of the conference call. If you need any further information or clarification, please mail at sachin. garg@ircon.org.

Ladies and gentlemen, this concludes your conference for today, thank you. A s there are no further questions from the participants, I now hand the conference over to the management for their closing comments.

Ragini Advani: Thank you. Thank you, Steve for moderating the call. I would also like to thank all our shareholders, sta keholders, business partners, analyst, investor friends who have continued to show faith in us and have supported in this journey. We assure you we will not disappoint you. We would be happy going forward to connect with you on one-to-one basis if it is re quired for any further queries and clarifications. With this I conclude today's concall and thank you all for your active participatio n. Thanks once again, thank you.

Moderator: Thank you everyone for joining this call. You may now disconnect your lines. Thank you.

Call: Aug 2024

IRCON/SECY/STEX/124 13th August, 2024

Sub: Transcript of the Q1FY2025 Analyst Conference Call held on Friday, 9th August, 2024

Dear Sir/ Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 and in continuation to our letter of even no. dated 2nd August, 2024, please find enclosed the transcript of the post result Analyst Conference Call held on Friday, 9th August, 2024 to discuss the financial results of the Company for the first quarter ended on 30th June, 2024.

In accordance with Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015, the Transcript of the Analyst Conference Call is also available on the Company's website at the link
https://www.ircon.org/index.php?option=com_content&view=article&id=226&Itemid=643&lang=en
which can also be accessed through below mentioned path:

www.ircon.org >> Investor Relations>> Presentation and Earning Calls>> Transcript of the Analyst Conference Call held on 9th August, 2024 for financial results for the first quarter ended on 30th June, 2024.

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"Ircon International Limited
Q1 FY'25 Post Results Conference Call"
August 09, 2024

MANAGEMENT: MR. HARI MOHAN GUPTA – CHAIRMAN AND MANAGING DIRECTOR – IRCON INTERNATIONAL LIMITED
M S. RAGINI ADVANI – DIRECTOR FINANCE – IRCON INTERNATIONAL LIMITED
M R. B. MUGUNTHAN – EXECUTIVE DIRECTOR, FINANCE – IRCON INTERNATIONAL LIMITED
M R. ALIN ROY CHOUDHURY – CHIEF GENERAL MANAGER, FINANCE – IRCON INTERNATIONAL LIMITED
M R. SACHIN GARG – DEPUTY GENERAL MANAGER, FINANCE AND INVESTOR RELATIONS – IRCON INTERNATIONAL LIMITED

MODERATOR: MR. VISHAL PERIWAL
ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Post Result Earnings Call of Ircon Limited Conference Call hosted by Antique Stock Broking. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
And I hand the conference over to Mr. Vishal Periwal from Antique Stock Broking Limited. Thank you. and over to you, Mr. Periwal.
Vishal Periwal: Thanks Neha. Good afternoon, everyone and welcome to the quarter 1 FY '25 Post Results Earnings Call of Ircon Limited. From the management side that we have with us: Mr. Hari Mohan Gupta, Chairman and Managing Director; Ms. Ragini Advani, Director Finance, Mr. B. Mugunthan; ED Finance; Mr. Alin Roy Choudhury, CGM Finance; and Mr. Sachin Garg, DGM Finance and Investor Relations. As usual, will have a brief from the management on the gone-by result, and we'll open the line for Q&A. Yes, sir, CMD sir, over to you.
Hari Mohan Gupta: Good afternoon, I'm Hari Mohan Gupta basically India Railway Officer of '89 exam batch and a civil engineer from IIT, Roorkee. Now I will request my Director Finance to please present the finance data for this quarter, please.
Ragini Advani: Thank you, sir. Thank you, Vishal. Good afternoon, everyone. I'm Ragini Advani, Director Finance, Ircon. On behalf of my team, I extend a warm welcome to all of you and thank you for your presence today at Ircon's earnings call for Q1 FY '25.
I'm also happy to introduce our newly appointed full-time regular Chairman and Managing Director; as well as CEO, Mr. Hari Mohan Gupta. Welcome, sir. He has joined the company recently and has extremely rich experience in railways and infrastructure sector. He has previously worked as Director Infrastructure of Dedicated Freight Corridor and also as ED Works and Ministry of Railways.
Financial results as well as presentation for Q1 FY'25 have already been uploaded on the stock exchanges. And I'm sure that all of you have had the opportunity to review these documents. Just a snapshot of our performance; Q1, as we are all aware, in infrastructure sector, especially like ours tends to be little weak, the company has reported a total revenue of INR 2,385 crores in Q1 FY '25. A PAT of about INR 224 crores, this is an increase of 20% as compared to the corresponding quarter of the previous last year.
Core EBITDA has increased marginally to INR 259 crores, vis-à-vis is INR 251 crores in Q1 last year.
Earnings per share has gone up to INR 2.38 per share in Q1 FY'25 as against INR 1.99 in Q1 FY'24 and this is on a face value of INR 2 per share. The order book of the company as at 30 June 2024 stood at about INR 26,000 crores, wherein about 51% orders are on competitive basis and balance on nomination. In terms of the domestic international split, it is about 91:9. We are all aware that Ircon has 11 subsidiaries and 7 JV companies.

Without taking any further time, I would like to open the floor for the Q&A session.

Moderator: The first question is from the line of Abhishek Maheshwari from SkyRidge Wealth Management. Please go ahead.
Abhishek Maheshwari: Hi, thank you for the opportunity. Welcome to Mr. Hari Mohan also and to the team. So firstly, year-on-year basis, we saw a decline in revenue we have not been seeing any major traction in order tendering. So just a brief outlook on what kind of revenue growth, if any, are we envisaging in FY '25?
Ragini Advani: So two things. The first thing is that, yes, we have had an order operating revenue decline in Q1 FY'25. There have been a couple of reasons for

it. The first reason is that some of our privileged large projects are almost nearing completion or have completed. One of them being USBRL project, rather being Dedicated Freight Corridor project. And that is the reason we have witnessed a decline in the turnover of quarter 1.
Also, there were some geographical factors which were beyond us. For example, there have been too much of a rainfall even in the period of April to June in some of our hilly terrain projects, and we had to divert our resources for national cause.
Third, there have been certain decline in the international revenue as well and that is mainly because of the problems that we've seen in countries like Bangladesh. So given all these factors, we have had a decline in Q1. Also, we do expect Q2 to be mild because of the monsoon and extraneous factors. But on an overall year basis -- FY '25 basis, we are fairly hopeful and comfortable that we should be able to do a similar level as FY '24 on an annual basis. Hope that answers your question?
Abhishek Maheshwari: Part of the question, ma'am. What about order tendering after the election?
Ragini Advani: So yes, now that elections are over, we do expect a lot of tenders and bids to come out, both in railways as well as in highway sector. We are actively bidding and we do hope to have turnaround and some of the orders in this year. And yes, all going well we should be able to get about INR 4,000 crores to INR 5,000 crores in the near future immediately. Thanks.
Abhishek Maheshwari: One last question. Ma'am you've been, you've been maintaining your core EBITDA margin is very stable and good level. So because of the intensity of competition, and we are seeing that the company has not been able to secure orders the way competition has able to. So this we have to compromise on our EBITDA margins going forward because I mean, last two years, we've been reaping for new orders to come in, but it's really not happening and the order book went from INR 45,000 crores, INR 50,000 crores to now INR 25,000 crores. So just like to know your views on that?
Ragini Advani: So we have been maintaining that, we will have a PAT margin in the range of 7% to 7.5% on a short-to-midterm perspective. So that is something which we continue to maintain. So they would not -- I think that is something where Ircon has committed the margins on a short-term perspective and we hope to maintain them.
But having said that, yes, the competition is increasing on a mid to long term perspective. And in order to get orders, we may have to go for some aggressive bidding. We immediately don't see the need for it. But as and when it'll happen, we will keep our investor community informed.

As far as orders are concerned, definitely, for any company like ours, it tends to be cyclical. So to that extent, we are well aware that there has been a dip from INR 44,000 crores to INR 26,000 crores. But that INR 44,000 crores was at a peak, typically for a company like ours, if you were to keep 2 to 2.5x the number, the range of INR 30,000 crores to INR 35,000 crores is also good.
And that does not mean that we will not be working for orders. We are continuously following it up and we should be able to do it soon. In the last quarter, we have had orders of about INR 1,000 crores.
And as I said, we should be getting in the range of INR 4,000 crores to INR 5,000 crores soon enough.
Abhishek Maheshwari: Ma'am it is not a determination in our way to maintain margin at 7%, 7.5% PAT level that we are closing out on orders, right because it would be nice to have some predictability like other companies have in terms of revenue?
Ragini Advani: That is no true, Abhishek. I think it is not as simple a story as probably being seen as. It is not a question of getting order versus taking headcount margin. It's a lot more than that. A company has to deliver. It

has to execute a project and clearly, there is no point taking a project at losses. So it's not a question of taking slight dip in the margins.
Every tender, every opportunity has to be examined in detail. We are very clear that we want to do projects at margins. As I'm saying, from a mid to long-term perspective, we may have to take a dip.

Immediately, we don't see it. And we are well aware of the fact that at the end of its turnover and profit
both needs to be seen. And rest assured, management is looking at it in full details.
Moderator: The next question is from the line of Shreyans Mehta from Equirus Capital.
Shreyans Mehta: So ma'am my first question is in terms of order inflows, what the order inflow for 1Q? And what's the guidance for the full year?
Ragini Advani: So order inflow that we've had in Q1 is about INR 1,000 crores. We hope to get another INR 4,000 crores to INR 5,000 crores by Q2. And overall as we have been maintaining, we should be getting
order book in the range of INR 10,000 crores to INR 12,000 crores for the full year.
Shreyans Mehta: INR 10,000 crores to INR 12,000 crores.
Ragini Advani: Yes.
Shreyans Mehta: Secondly, ma'am, in terms of the other income this quarter on a stand-alone basis looks to be on a very high side. So is it primarily because of dividends received from our JVs.
Ragini Advani: No. In fact, it is because of my increase in FD income and mutual fund income. So the treasury products that I do, that is where I've had some interest increase over the previous quarter.
Shreyans Mehta: So the core other income which has increased. Nothing to do with the...
Ragini Advani: Core other incomes have increased, absolutely.

Shreyans Mehta: And ma'am we've highlighting that we are looking to grow by say over 2x in four or five years. And here at the same time for FY '25, we are guiding for a flattish growth. So I'm just trying to reconcile
where are we on this?
Ragini Advani: So you're absolutely right, as I was stating earlier also that it is a business for a company like ours at times, tends to be cyclical. We are hoping to have a slightly flattish growth in FY '25. This is
considering the fact that we know our Q1 and Q2 is going to be taking a hit for factors which will be
beyond our control. And also it will depend a lot on the orders that have secured going forward. From
a long-term target, we definitely want to double our turnover in another five to six years. And that's
something which we'll continue to strive.
Shreyans Mehta: So is it fair to now probably whatever we lost in FY '25 in terms of execution for whatever reason, will be compensated in FY'26 and, FY'26 will have at least, say, 10%-plus growth? Is that a fairer
assumption?
Ragini Advani: I think I would be in a better position to say that after we have -- we are in the Q2 or the Q3 results and also, there are several orders that we are hopeful of getting. But ultimately, until the time I do not
get it, even I may not have that kind of a visibility. We will be definitely answering this probably in
the next or next to next investor call.
Moderator: The next question is from the line of Pratyush from Desvelado.
Pratyush: So in previous conference calls, you mentioned the large ticket projects that have been hold. So I
wanted to know that have you seen any significant movement on these projects? And could you please
specify these projects are now back on the track or expected to be awarded soon and how does it line
with your order into your guidance for the FY '25 now?
Ragini Advani: So yes, as we mentioned that after elections, some of the projects have been announced, both in railways as well as in road and highway, NHAI has already announced some of its projects and the
project that we said were on hold is where I'm saying that we should be able to get about INR 4,000
crores to INR 5,000 crores soon enough.

So yes, there have been movements in those opportunities,
and that's why we feel it should be coming up soon enough in our favour.
Pratyush: So next to that, as you mentioned, the INR 26,000 crores order book. So with the large orders on the competitive bidding that is 51% that you mentioned. So can you please explain on how the bids and
strategy is designed to protect the margins, especially in this high competitive environment and what
are the trade-offs that have been made between the market share and profitability?
Ragini Advani: So there are different types of orders that one is targeting at. There are certain projects where the competition is very high. And in those products, yes, one may have to take a margin hit. But at the end
of it, it will only be to the extent that it should not be a loss-making project. But there are certain
projects where there are niche areas such as tunnels, bridges and some complexities. Where we feel
the competition is going to be less, especially if the size of those opportunities are large.
And there, we should be able to maintain our margins. We are also trying to do some kind of tie-up
wherever required, so as to protect our margins going forward even when the bidding for projects. So
given all of these perspectives, it will really depend on every bit to bit. We are aware of it. But to say

it as a general strategy, yes, we would be picking up some projects where we may have to take a little

hit on our margins because of the competition.
But we may be trying to offset it by getting higher margins in some of our projects because of the complexity niche that we believe that we will be able to deliver. So industry average typically right now is in the range of about 5%. And let us see how we are able to secure around it.
Pratyush: Last one from my side of would be only 9.3% of your order book from the international market and the slower execution in this season. Could you please share your vision and the strategy for expanding your global footprint?
Ragini Advani: So as far as the global footprint is concerned, there have been a couple of drawbacks that have happened in the last one year. The first one being that, as we mentioned that there has been some political turmoil in two of our projects, it is Myanmar as well as Bangladesh and similar of, one done here geographically certain issues that are happening. Also second the Government of India funding, which was being given on to the projects by MEA, either in the form of grant or in the form of LoC that is right now under wait and watch.
So it's been given very slowly by the government. We are also awaiting further details from them.
Many of the projects that we do internationally also require funding from India. So that will depend on how MEA is planning to take it forward. But having said that, because Ircon has had an excellent credibility in footprint internationally. There are certain countries and certain projects where we see ourselves trying to pitch in without both these issues.
And we should be able to increase our international domain but as of now, one cannot say whether it'll come immediately or not. It's -- those kind of projects require some efforts to build it in, some efforts to get it eventually. And therefore, international projects will be on a low side for some time, but we are hopeful of getting some of them by the year-end.
Moderator: The next question is from the line of Ketan Jain from Avendus Spark.
Ketan Jain: So my first question is which type of orders are you targeting to bid any specific segment? Or what's your strategy on that?
Ragini Advani: So essentially, there are three things. One, we are going to obviously bid our bread and butter, which is EPC projects of railways. Two, we are also looking at some EPC in roads and highways. Three, we are looking at some PPP products as well.
Ke

tan Jain: PPP in roads ma'am?
Ragini Advani: Yes.
Ketan Jain: Next question, what is the status on nomination-based orders. Are you still receiving them or is it closed?
Ragini Advani: Sorry, I did not get your question.

Ketan Jain: Status of nomination-based orders from Indian Railways, are we going to receive some of them, going forward?
Ragini Advani: No. I mean as a matter of principle, government has stopped giving any business on nomination in railway sector. And that's been stopped for quite a while now. So unless suppose there is some extreme exigency per se, the condition remains competition only.
Ketan Jain: So we can assume nomination-based orders in our order book to go to zero in long term?
Ragini Advani: Yes.
Ketan Jain: And also on the bidding-based orders, how are we executing them? Are we subcontracting them 100% or how are we executing them?
Ragini Advani: It's again a mix. Most of the jobs, we tend to do some part in-house. We have a very strong designing team. And we also tend to keep procurement with us wherever we feel it's important. And then subcontract and that could also be not one, but depending upon the level of subcontracting that is required. Certain jobs, yes, we have been fully subcontracting where we see that our role is limited or it's more of run-of-the-mill job. So it's been a mixture depending upon how we feel we can execute the project well and maintain our margins.
Ketan Jain: So can I argue that design and procurement is in-house and construction sub-contracts or majority of the projects?
Ragini Advani: Certain projects don't kind of design or they may not have too much of a procurement component. Then, for example, our Bullet train project, we're keeping the procurement with us. So it is really dependant on that.
Ketan Jain: But if I just have to take an answer like majorly it is sub-contracted?
Ragini Advani: Yes, absolutely. Meaning certain components of a project, we continue to keep with us certain we do in-house and certain we sub-contract, yes.
Moderator: The next question is from the line of Shreyans Mehta from Equirus Capital.
Shreyans Mehta: Ma’am just to delve more on order inflows. So for INR 4,000 crores, INR 5,000 odd crores which you have indicated, are these mainly the road sector projects which you are indicating?
Ragini Advani: That's right.

Shreyans Mehta: What we're hearing is that could go under renegotiations and many players have indicated that the authorities are approved well. Are we on the same lines that probably the renegotiations are on?
Ragini Advani: I don't think we'll be in a position to disclose beyond that considering the sensitive information. I think you're asking very specific granted bid that is under consideration. So we'll be happy to discuss this after we get.

Shreyans Mehta: And in terms of bid pipeline, what's the current bid pipeline? And how do you see the INR 10,000-odd crores coming through, if you could give any number that x percentage would be from railways, x percentage from roads. Any broader sense on that?
Ragini Advani: At this stage, we may not be able to say how much percentage from railways or roads but we are going aggressive in both these sectors in terms of what we are targeting to build. For example, in Q1 itself, just to give you an idea, we are planning -- I mean, we have bid to the extent of about INR 20,000 crores to INR 25,000 crores.
And wherein the indicative bids that have been opened until now, approximately out of that INR 25,000 crores is around INR 15,000 crores to INR 18,000 crores. And also that INR 15,000 crores to INR 18,000 crores some of them are under technical evaluation and some of them have also had their financials. And that is where I'm saying out of that INR 15,000 crores we are looking and hopefully

,
should be in the range of INR 4,000 crores to INR 5,000 crores is what we should get in our pie.
Shreyans Mehta: And now in case if you could...
Ragini Advani: Both railway and road. Broadly, I mean, one can say, at least on this number of INR 25,000 crores that we've bid right now, one can say is almost 50-50 mix. But going forward, it will really depend which sector comes with what kind of bids and what is it that we really go ahead.
Shreyans Mehta: And secondly, ma'am, in terms of the solar and hydro now government is focusing a lot on renewable. We are largely in the solar. So any plans or can you do something on the hydro front or any other related segment?
Ragini Advani: We are open to it. But since we are taking up the first renewable project, Solar PV project, we wanted to play safe and make sure that we are in a position to deliver what we are delivering and get returns out of it. So this is pretty much on track. I will hand over to my CFO, to explain our existing project that will give you a sense of how we are proceeding there. And we will be looking at these segments once we have completed the existing projects that we've taken on then. Over to Mr. Mugunthan.
B. Mugunthan: Yes. Good afternoon. Regarding our -- the progress of the solar project, we are on track. About 80% of the land acquisition has taken place. We have placed -- all the contracts are in place, and we are seeing a steady progress. In fact, just about a week back, we had commissioned about 50 megawatts of capacity. We hope to complete this entire 500-megawatt capacity by September 2025. I think once we are confident, we may use the credentials to take part in EPC tenders in the solar sector.
Shreyans Mehta: Sir, these are largely back-to-back PPA contract, right?
Ragini Advani: Yes, yes. The PPA has been signed by with railways.
B. Mugunthan: Yes, it is. The PPA signed with railways.
Shreyans Mehta: What's the per unit which we are going to receive?
B. Mugunthan: So right now, we have signed the PPA at INR 2.45. This tariff was as per the big conditions that is prescribed by the MNRE. And there is a tariff revision, which has been subsequently advised by

MNRE INR 2.57 because of the change in the GST regime, we have approached railway for changing the tariff rate in the PPA agreement which we have signed. And it is under consideration.
Shreyans Mehta: One last question, if you could help us in terms of cash on bank balance and investments in our different SPVs.
Ragini Advani: So we have typically a cash on bank balance of INR 4,000 crores, out of which our own funds are about INR 800-plus crores about INR 820 crores. The rest is, of course, relating to projects and as far as our investments go, we have a commitment of about INR 1,100 crores, which we still need to give in the form of equity loans, loans capacity to our SPVs. Out of that, I think 50% should be this year and the balance next year.
Shreyans Mehta: And what I mean -- what have we already done till date?
Ragini Advani: So in this quarter, we have done about INR 80 crores. And overall, we have done in the range of about INR 2,200 crores to INR 2,300 crores.
Shreyans Mehta: Sorry, can you repeat ma'am. INR 2,100 crores to going INR 2,300 crores?
Ragini Advani: Yes, that's it.
Shreyans Mehta: Okay, ma'am, that's it from my side. Thank you and all the best.

Ragini Advani: Thank you.
Moderator: Thank you. The next follow-up question is from the line of Abhishek Maheshwari from SkyRidge Wealth Management.
Abhishek Maheshwari: So ma'am, regarding high-speed rail, we are working on Mumbai-Ahmedabad corridor right now. Any expectations if any new corridor also opens up for work, I mean government was focused on Delhi-Varanasi and Delhi-Ahmedabad also. And also, if you could give your views on why there is so much delay in executing our projects versus how they're executing

it this year, where things happen much faster. Is it primarily because of land acquisition or what is it?
Ragini Advani: So two, three questions that you've asked. The first thing is regarding Q2 project or bullet train projects. As far as bullet train project is concerned, it is definitely the first project, which has come into India on Japanese technology. It is supposed to be completed in FY'28, and it is running pretty much on track. I think some first 50 kilometers should come up next year.
And as far as the rest of the projects that you mentioned, which is Delhi-Varanasi corridors and then by Mumbai-Delhi corridor. The government is right now looking at those projects at DPR state. That is what we believe. So the project detailed project review reports are being made. We will be happy to participate as and when those opportunities come.
Now as far as the second question that you mentioned about the delay in execution of projects are concerned. This can be again split into two parts. As the part is, yes, these are infrastructure projects. And typically, the land acquisition becomes one of the most critical factors. We also have a lot of land

split into private land, State Government Land, Central Government Land. And at times, there are land, which even authorities may not have the records of.
So at times, that tends to take us some time. And also, there are certain environmental clearances which are required. So there is a lot of green cover that we have all over India. And that may also take time. But those are things which I may not fall in the scope of Ircon. So as far as Ircon is concerned, once these things are taken care of we typically are by and large executing projects on time with few delays here and there.
Certain projects, again, depending upon the geography or the terrain do tend to delay, for example, our J&K project or the USBRL project as we call it. But otherwise, we are right now doing projects, especially road and highway projects on time. In fact, whatever is the time that's been laid down by NHAI, we have pretty much completed most of them within time. And again, there are certain issues in some of our core connectivity projects, but that's also because primarily because of land.
Moderator: The next question is from the line of Vishal Periwal from Antique Stock Broking Limited. Please go ahead.
Vishal Periwal: I think you did briefly mention the investment of roughly INR 1,100 crores this year and next year combined. Is it possible to share the breakup of it, maybe broad segments or anything that you can provide on this?
Ragini Advani: Because these are already committed. So this is about INR 500 crores in road projects. INR 400 crores in coal project, about INR 70 crores in renewable and about another INR 100 crores, which could switch between road and coal depending upon the final cost.
Vishal Periwal: And then on this solar project, I think the project is on the verge of commissioning. So what is this expected project cost and what is the equity invested in this?
Ragini Advani: Yes, absolutely. I think as far as the renewable committed amount is about INR 120 crores of equity and that is where we still have to do another -- in fact, it's INR 200 crores, and we have done about INR 130-odd crores. INR 60 more crores is what we need to invest and the overall project cost and other details, I will ask my CFO to explain, please.
B. Mugunthan: So overall project cost is about INR 2,760 crores. This is for the entire 500 megawatts. Out of this, about INR 224 crores is coming as VGF. So minus that we have a total equity commitment along with our JV partner of about INR 416 crores. The rest we have arranged debt from Union Bank of India.
Vishal Periwal: So, what is our stake in this?
Ragini Advani: Our equity stake is 76%.
Vishal Periwal: And the remaining is it with railways

?
Ragini Advani: It is with a private player called Ayana.
B. Mugunthan: This is Ayana Renewable, which is a subsidiary of NIIF.

Vishal Periwal: NIIF okay. And then in solar, again, are there any further plans that we are bidding for it or anything that you'd like to share after this 500-megawatt?
B. Mugunthan: So given the competitiveness of the industry, we may not participate in the bids which is being called by state governments, etc. But whenever a CPSE scheme, which is specifically -- if it is another tranche is launched, we will definitely would like to participate in it. Apart from that we are also open to participating as an EPC player in the various tenders, which are called by entities like NTPC or NHPC. So that is something that would be interested, but this is all only after we complete and get our credentials for this project.
Vishal Periwal: Got it. And in terms of -- I think, though, historically, you have been saying -- but anything on the asset monetization where we have invested roughly INR 2,200-odd crores any progress which is happening at clearances, which we are seeking or it is still at the same stage or probably we are not looking as us now for that side?
Ragini Advani: So this is pretty much on our radar. As we mentioned last time also, four of our road projects are operational. And for them, we have taken our own board approval, which is in-principal approval to go ahead for strategic sale or monetization of these assets. And for which, of course, we being a government company have to take some other approvals from the government itself.
We've written to Ministry of Railways. In fact, Ministry of Railways has also had some rounds of discussions with us on it. And it should be moving soon to the next level, which would be DIPAM. So we actually this needs to go through a full process and government approval that alternate mechanism may be required for this to happen.
Once we get that approval, which we are hopeful of getting since we have already crossed railways and right now, it is sitting with DIPAM, it may take time, but eventually, as and when it comes, then we will be happy to go ahead with the monetization.
Vishal Periwal: Maybe one last question and then I'll come back in the queue. Two, I think you did mention clarified in terms of our orders that we are targeting. So given -- I mean like competition is there or other things that you mentioned, are we also trying for -- get to get orders, some joint ventures? Are we looking in that front so that like we are opening business new sectors?
Ragini Advani: Yes, we are open to all kinds of joint ventures. Obviously, I mean, at the end of it, there has to be something which is a sustainable business and something which we feel we bring value to the table. So what we call as a fit to the overall natural business sense that we have. In fact, some of our bits that we have given are as a part prebid tie ups to get -- make sure that the best of both worlds available by we are bidding for a project. And going forward, we would be open to more joint ventures.
Moderator: The next follow-up question is from Shreyans Mehta from Equirus Capital. Please go ahead.
Shreyans Mehta: So just one clarification on the previous participant's question on monetization. So how does it work? First, we go -- move the plans to railways and move to DIPAM or we work parallelly even just players who want to look at our assets and both work in sync.

Ragini Advani: No. So it clearly works after we get an in-principle approval from the highest authority in the government. That is when we will open the assets or the due diligence thereon for any discussions with parties only after that. And also that would be open process.
Shreyans Mehta: And then one for example, once we are throug

h this process and once you receive some valuation for that, again, will be required approval from the government authority or we can go ahead out with whatever values on were comfortable with?
Ragini Advani: So our understanding is that it should be that the Board or at the most with Ministry of Railways, but once those approvals come from the highest authority, that is when we will need to know or get to know that are any caveats put by them. Basically, it should not go again to that level.
Shreyans Mehta: No, because, ma'am, I am just trying to understand, we are going to DIPAM, without any valuations based on that we want to sell. And once we get the numbers post that, I don't know, I mean, how do we work?
Ragini Advani: We are running an open process, and we are going to run it as per the Government of India guidelines.
Shreyans Mehta: Secondly, in terms of the railway land, I mean, we had some land barter in BKC. Any clarity out there?
Ragini Advani: As we mentioned last time only that we have given it back to railways. It is out of our books completely.
Shreyans Mehta: Got it. So any payment we received against that we were supposed to receiving some payment from railways?
Ragini Advani: So we had structured the entire development of that Bandra project in such a way that we were getting three instalments initially for doing the work that we were doing initially and subsequently, it would be dependent upon the almost like fixed fee with success fee kind of a model. And -- but it didn't turn out that way.
So we have received the first instalment of that fee, and that is what we've accounted. Everything else has gone lock stock and barrel back to railway. We booked out of it is the receipt that we booked out of it is about INR 25 crores.

Shreyans Mehta: INR 25 crores. And how much addition will have to book?
Ragini Advani: Sorry?
Shreyans Mehta: So INR 25 crores is what we've booked till date right?
Ragini Advani: INR 25 crores is what we have been booked as our fee in this, Yes.
Shreyans Mehta: And how much more needs to be booked the other 2 instalments?
Ragini Advani: Asset.
Shreyans Mehta: Asset. Okay.
Ragini Advani: It's a full and final settlement.

Shreyans Mehta: And lastly ma'am, in terms of EBITDA. How should one look at the core EBITDA at standalone level. Should it stabilize here given the current order book? And the, in case you have the competition increases, how confident are you of maintaining or probably since you are indicating that competition could increase. So can it go or how comfortable are we at a 6% EBITDA margin? How should one look at the EBITDA margins for this year and next year? The core EBITDA margins.
Ragini Advani: So as far as core EBITDA margin, I'm talking about the full year FY'23 and'24 level. That is the level which we've maintained, we should be able to maintain for FY'25 also. I'm not talking for Q1, Q1 has an exceptionally good EBITDA margin, okay? So those are the numbers which we'll continue to maintain for FY'25 we may take a hit of about a few basis points in FY'26.
And as far as going forward is concerned, as you rightly mentioned, there may be a stretch between, competitions versus orders that we have to procure. We then keep our investor community informed as and when we feel that these are expected to drop. But for this particular year and most of the next year, we should be within the range of 6.5% to 7%, 7.5%.
Shreyans Mehta: Okay, ma'am. That's it from my side.
Moderator: Thank you. Ladies and gentlemen, we'll take this as a last question. I would now like to hand the conference over to the Ircon management for closing comments.
Ragini Advani: Thank you so much. As there are no further questions, I would like to hand over the call. Thank you for -- I'm sorry, I think I thought that Vishal would be there. But thank you, Neha, and Vishal for mode

rating the call. And I would like to thank all our Stakeholders, Shareholders, Business Partners, Analysts, Investor Friends, as well as, officers from our ministry who have continued to support us, show faith in us and being a part of our growth journey.
We would be happy to connect with any and all of you on one-to-one basis as and when required. I conclude today's con call, and thank you once again for your active participation. Thanks.
Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2025

IRCON/SECY/STEX/124 17th February, 2025

Sub: Transcript of the Q3FY2025 Analyst Conference Call held on Wednesday, 12th February, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to our letter of even no. dated 7th February, 2025, please find enclosed the transcript of the post result Analyst Conference Call held on Wednesday, 12th February, 2025 to discuss the financial results of the Company for the quarter and nine months ended on 31st December, 2024.

In accordance with Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Transcript of the Conference Call is also available on the Company's website at the link https://www.ircon.org/index.php?option=com_content&view=article&id=226&Itemid=643&lang=en which can also be accessed through below mentioned path:

www.ircon.org>> Investor Relations>> Presentation and Earning Calls>> Transcript of the Conference Call held on 12th February, 2025 for financial results for the quarter and nine months ended on 31st December, 2024.

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"Ircon International Limited
Q3 FY'25 Analyst Conference Call"
February 12, 2025

Management
Ircon international limited

Mrs. Ragini Advani : Director Finance
Mr. Alin Roy Choudhury : CGM Finance
Mr. Ram Kumar Goyal : GM Finance
Mr. Sachin Garg : DGM/ Finance/ Investor Relations

Moderator: Hello everyone and welcome to Q3 FY'25 Post Result Earnings Call of IRCON International Limited. I am Mike, the moderator for this conference call.
From the management side we have with us Ms. Ragini Advani – Director Finance; Mr. Alin Roy Choudhury – CGM Finance; and Mr. Ram Kumar Goyal – GM (Finance).
Please note that this conference call is being recorded. At this moment all participants are in listen-only mode, later we will conduct a question-answer session. At that time, if you have a question, please press "*" and "1" on your telephone keypad.
I would like to remind you that some of the statements that will be made in today's discussion may be forward-looking in nature. It is subject to several risks and uncertainties and the actual results could materially differ.
I would now like to hand the conference over to Ms. Ragini Advani, Director of Finance, for the opening remarks. After which, you will have the forum open for the interactive QA session. Thank you and over to you, ma'am.
Ragini Advani: Thank you. Thank you, Myron. Good afternoon, everyone. I am Ragini Advani, Director Finance, IRCON. On behalf of my team, I extend a warm welcome to all of you and thank you for your presence today. For the earnings call for Q3 FY'25, Financial Results as well as presentations have already been uploaded on the Stock Exchange, and I am sure that you have all had the opportunity to review them. A very brief introduction on the financial performance of the company, Q3 results were subdued for the company, primarily due to the completion of some major costless jobs and also we had to make a provision for one of our projects in which we are expecting losses and in our consolidated results, we also have one subsidiary company of ours where a major maintenance provision had to be created, and which was also a one-off item. The company has reported total revenue of Rs. 2613 crores in Q3 FY'25, a part number of Rs. 86 crores which stood parallel to the same period of last year. Core EBITDA has declined to Rs.139 crores vis-à-vis Rs.296 crores in Q3 last year. Earnings per share stand at Rs. 0.92 per equity share in this quarter on a face value of Rs. 2 per share. Order book of the company as at 31st December 2024 stands at about Rs. 22,000 crores of which 53% is on competitive basis and about 47% on nomination basis. In terms of our domestic international split, 90% of our order book is domestic and 10% international. IRCON has 11 subsidiaries and 7 joint venture companies. Now without taking much time, I would like to open the floor for Q&A session. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. Participants who wish

to ask a question may press "*" and "1" on your touchtone telephone. If you wish to
remove yourself from the question queue, you may press "*" and "2". Participants are
requested to use handsets while asking a question. Ladies and gentlemen, we will wait
for a moment while the question queue assembles. We have the first question from the
line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Ma'am, is it possible to quantify the one-off in the stand-alone which we have taken during the quarter, the provisioning number?

Ragini Advani: Yes. So, we have taken a Rs. 38 crore loss in one of our projects and we have taken a major maintenance and consolidated one-off maintenance provision of Rs. 45 crore.

Shreyans Mehta: Rs.45 crore. Sure, and even if I adjust for this Rs.38 odd crores, the margins are much below what we used to be having at, say, closer to 6% plus. So, how should one look at the margins going forward?

Ragini Advani: So, if you talk on a stand-alone basis, what h

as happened is that apart from the Chennai Metro project where we had to book a loss of Rs.38 crores, we have also had an overall impact on our numbers because one of our major cost-plus jobs, USBRL, which was the Udhampur-Srinagar line, now that line has almost completed and therefore, my revenue and the profit margin from that line has dropped. There has been a strain on my order book. I have not had new orders and since the overall mix of jobs that I won on competition is contributing to revenue now, there has been a decline in my margins and going forward, I do expect those declines to continue for some time. My March results will be decent. But overall, my margins will decline by about 1.5% to 2% from a short-to-mid-term perspective the moment more competitive jobs come in and I start booking revenue out of that and on a consolidated basis, the dip is extraordinary because, as I mentioned, apart from this project loss, we have also taken a maintenance loss provision of Rs.45 crores. It is not a loss, it is a maintenance provision and one of our joint venture companies, Chhattisgarh, their Phase 1, there has been an OPEX loss, which is also significant. If you were to compare the 9-month to 9-month period, it has an adverse impact of Rs.37 crores on my consolidated results.

Shreyans Mehta: Coming to the second question, how should one look at the FY'25 in terms of the top line and the core EBITDA margins? Secondly on FY'26 What the guidance in terms of revenues and even in order inflows, you know we have been guiding that order inflows will be picking up. But at least till 9 months, we have not seen that.

Ragini Advani: So, first, coming to the fact of your guidance for FY'25. FY'25, we should be in the range of Rs.10000 to Rs.11000 crores in turnover.

Shreyans Mehta: And in terms of standalone or...?

Ragini Advani: I am talking about stand-alone. Another Rs.400-500 crores is what you add for consolidated.

Shreyans Mehta: Okay.

Ragini Advani: Yes. In terms of my margins, I see my PAT margin was about 7.12% or a little more, 7.2% last year. I see about half a percent dip there.

Shreyans Mehta: Okay.

Ragini Advani: And going forward, FY'26, currently, my order book is on a strain. I will come back to the question on order book later. But having said that, my revenue numbers again should be in the range of Rs.10,000 crores as of now based on the orders that I see right now or which I am expected or I am very confident that I will get. However, my PAT margins will go down further because as I mentioned, right now, my scenarios become very, very different. The market is going on an extremely competitive basis. So, one, the projects that are coming out are of a small size. Two, I see that there are bidders as many as 20 to 25 and three, they are all quoting below the estimate in many of the jobs. So, given all this, my margins, when I get volumes or when I try to get an order, definitely, I will not get them on losses. But yes, I will have to take a hit on my margins. That's why I am saying that going forward, we will have about 1.5 to 2 percent dip from a midterm perspective on our PAT numbers.

Shreyans Mehta: Got it. Sure and then on order inflows?

Ragini Advani: Order inflows, see, right now in this financial year for nine months or till date, I think we have had an order inflow of about Rs.1700 crores and given the reality that I have just mentioned, I am hopeful of getting another Rs.1000 to Rs.1200 crores by the year end. But I do not see a very significant order book or I cannot commit at this stage that we will have some major order book before March end. But we are making all our efforts. We are trying to continue to get some orders in this kind of a difficult market scenario and let us see how it proceeds. But

yes, another Rs.1000 crores is what I would
like to say right now.

Shreyans Mehta: Got it. Got it. Ma'am, just one clarification. So as far as FY’25 is concerned, revenues we are guiding for Rs.10000 in a PAT margin of closer to 6 percent and FY’26, again, top line of Rs.10000 and another 100 business points which is closer to 5 percent PAT margin. Is the understanding right?

Ragini Advani: Yes, that's right.

Shreyans Mehta: Got it. I have a couple of more questions.

Ragini Advani: And about 5 to 5.5 next year.

Moderator: Thank you. Participants who wish to ask a question, may press “*” and “1” on your touchtone telephone. Participants who wish to ask a question, may press “*” and “1” on your touchtone telephone. We have the next question from the line of Devajit from RUP Investment. Please go ahead.

Devajit: Ma'am, I would like to understand if the scenario you are saying that will be hit as there are competition, high competition which is going on. So, are you planning to take more and more orders in volume while the margin will be low or how is it you are planning? Because if you see the condition. Right now, as you are saying, firstly, today if you have checked, the market capitalization of our company has gone down. It has eroded more than 50% of the market capitalization and if you are further saying that there will be a margin hit going forward, I do not understand where exactly will be the thing like. So, as an investor, as a shareholder point of view, what steps the company or the Board of Directors are taking to make the things better for the investors, shareholder, for the company and secondly, going forward, how the order inflow you are planning, ma'am, for the coming financial year? That is more and more orders as a volume part will be going ahead with less margin? And my second question will be any plan for any further bonus share issue or any split in the share to reward the shareholders or any high dividend payout?

Ragini Advani: I think I will start addressing your questions one by one. The first thing is, yes, the company has given excellent results till now and we are pretty much a company which is very hardworking, has the requisite experience, has the requisite credentials and a very, very professional management. So, there are no doubts of how the company is performing or what its management is looking at. We are definitely wanting to do our best, but there are certain circumstances which are beyond us. Right now, the market is such that even if we want, we cannot get the project at the kind of interest rates that we want or the kind of complexities and the value addition that we want to put into those projects. So, we have no option but to play with the market rules currently and

there, I do not think I will be deciding whether I am looking at a volume game or a margin game because that period has lapsed. In fact, last time, I thought we could play that game and we were saying we will not compromise on our margins. But now, that situation is also gone. So, I have no option but to take volumes to continue surviving and having some minimum profits in our company and in those volumes when I take, the margins will be hit because that is how the market is right now. So, that is where I am and obviously, given the situation of the company right now, it will not be possible for us to look at any kind of dividend increase. So, it is a long-term company. There are cycles which come. This is a cyclical area where we will need to survive. But growth may not be possible in this time.

Devajit: So, this kind of period you are saying will be for this part

icular year or going forward
for the next financial also?

Ragini Advani: I have already mentioned that it will continue for FY’26. Because see, whatever orders I take, it does not get converted in the same year. Many of those orders, by the time I am given a letter of award, then I start working on it and then I start booking turnover on it. So, typically the impact comes over a period of anywhere between 6 months minimum to a period of about 2.5-3 years. So, I see this going on for some time and therefore, I have lowered my projections even for FY’26.

Devajit: As you said, in this particular quarter, there were certain provisions which have taken place. So, any kind of scenario where you are, any kind of assumptions, or any kind of scenario that we are going forward in the next quarter also, this kind of provision will take place?

Ragini Advani: No, because whatever we were aware of, we have already taken them back.
Moderator: Thank you. We have the next question from the line of Parimal Mithani from
Credential Investments. Please go ahead. The participant has dropped off from the call.
We move on to the next question on the line of Shreyans Mehta from Equirus. Please
go ahead.
Shreyans Mehta: So, ma'am, if I just calculate your guidance in terms of PAT margins, if you are
assuming 5% at PAT level, so are we trying to indicate that the core EBITDA level
will be closer to, say, 2-3%, because largely other income forms are closer to 3-4%.
Ragini Advani: No, I think my core EBITDA was in the region of about, if I am not wrong, FY'24, it
was in the region of 9.2%.

Shreyans Mehta: Are you talking about standalone or...?
Ragini Advani: Consolidated.
Shreyans Mehta: No, I am referring to the standalone margins. We are assuming the guidance which you
have given on a standalone 6% PAT margin, and if I remove other income which is
closer to 2.5-3%.
Ragini Advani: So, yes, so 6.39% is what I had last year, my core EBITDA.
Shreyans Mehta: Right.
Ragini Advani: It should take a dip of about 1-1.5% going forward. 1.5%, you can say, yes.
Shreyans Mehta: Got it and at the same time, the other income too would be on an increasing side
because the coal SPVs would be starting generating some amount of revenues or
throwing some profits from there.
Ragini Advani: So, Shreyans what has happened is that we still have some investments which are
happening, construction, so the income would not come from there and as far as coal
JVs are concerned, my Chhattisgarh Phase 1 project is continuously giving me losses
and is expected to do so for another 2-3 years at least.
Shreyans Mehta: Okay.
Ragini Advani: So, to that extent, other income may not improve as you are thinking because some of
this money that I am sitting with, I would be putting in investment and the rest, as I
mentioned to you, some of my coal JV projects will be a problem for me for some time.
Shreyans Mehta: Got it. Sure, and ma'am, two bookkeeping questions. One, what is our own cash in
bank and what are the investments till date we have done and what is the amount
pending?
Ragini Advani: So, our cash and bank balance is about Rs. 820 crores, our own cash and bank balance.
Shreyans Mehta: Right.
Ragini Advani: And as far as investments are concerned, we have done an investment of Rs. 230 crores
right now in this financial year, 9-month period in our equity projects, PPP projects
and going forward, we will have another Rs. 900 crores to do, out of which you can

say about Rs. 200 crores in the balance period of this year and the rest would be spread
over next year and next to next year.
Shreyans Mehta: Got it

. So, basically, our investments would be, say, closer to 2300 plus 230 crores,
which is 2500 odd crores as on date.
Ragini Advani: That is right.
Shreyans Mehta: And 900 odd is what we have to incrementally infuse.
Ragini Advani: Yes. So, you can say another 700 odd plus 200. So, 2500 plus 700. Yeah. So, it should
go around in the range of 3000 plus.
Shreyans Mehta: Got it and ma'am, anything, on the BD or in terms of order inflows, which are the
segments we are targeting and where, we could potentially be getting some orders? If
you can throw some light on that.
Ragini Advani: So, our core segments remain railway and road. But in roads, what has happened is I
am focusing more on EPC projects right now and in railways, though, what I have done
is, one, I had decided earlier that I will not go below an order value of Rs. 500 crores.
But we have started pitching in for smaller bid values also. The reason being that that
is what is coming. So, we decided we will have to be a part of that game and within
that, earlier I used to take mostly jobs on consolidated basis, which means I would be
in charge for civil plus electrical plus S&T. Now, what I am doing is I am even getting
into where I feel it is a pure electrical job or a pure S&T job as well. So, I have started
pitching in for all those also. Because the expertise is there, the experience is there. So,

that is where we have decided to get into as well.
Shreyans Mehta: Got it and any guidance that you would like to give for FY'26 in terms of order inflows, what are we targeting?
Ragini Advani: Very difficult. Because there are certain orders which I thought should be coming this year, but they have not come and the market is so, so very competitive that it would be very difficult to even predict how many of those we will be able to become L1. So, we will guide you as and when we are more confident about it.
Moderator: Thank you. We have the next question on the line of Gaurav, an individual investor. Please go ahead.

Gaurav: My first question is with regards to the order book. What is the total order book and till what time period is it executable?
Ragini Advani: So, we have an order book right now of 22000 crores and out of that 22000 crores, I mean, if you were to do a simple mathematical thing, then it is for about little more than 2 years. But what happens is that the order book that we have, some of our projects will continue beyond 27, 28 also. So, to that extent, I will have to get more orders to get the revenue line of about 10000 crores every year.
Gaurav: Okay. And what would be the split, ma'am, between domestic and exports, international orders?
Ragini Advani: Domestic and international is 90, 10. 47, 55 is nomination and competition.
Gaurav: Okay. My second question was that why has the employee cost gone down both on a quarterly and 9 month basis? Gone down. Why have they gone down?
Ragini Advani: Okay, so they have gone down because there are certain things. One, there have been some retirements. We have not taken more people because at the end of it, it has to be a game of revenue versus cost. Two, we have also done some PF provisioning last year, which has now not been required to be done again. So, that is the reason my employee cost has gone down.
Gaurav: Okay. And what would be the total employee count?
Ragini Advani: Our employee count is about... Regular is about 800 and total is about 1000 plus.
Gaurav: Okay, thank you. If I may just squeeze in one more question, my last one. Why is the other income negative in the international segment?
Ragini Advani: That is because of some foreign exchange loss that we had to book. It is a book entry. It is not an actual loss because of the closing balances of some currency.
Moderator: Tha

nk you. We have the next question from the line of Periwal from Antique Stock Broking. Please go ahead.
Periwal: Regarding this such a name, pending order book that we have. You mentioned that Chennai Metro is at loss... What is the pending?

Ragini Advani: I know you're asking something about Chennai Metro, but I'm not able to understand the full question. Pending order book of Chennai Metro is about 200 plus crores. But we have taken the total hit right now.
Periwal: Okay and second, have we started executing...
Moderator: Sorry to interrupt, Mr. Periwal. Your audio is not clear. Please go off the speakerphone. Since there is no response, we can move on to the next question. We have the next question from Jaiprakash, an individual investor. Please go ahead.
Jaiprakash: Good evening, madam. Can you hear me? Yes, we can. In the recent budget allocation for the PSU, compared to FY'25 and FY'26, they have reduced 5000 crores, which is their... For the railways, the government, he said, for the PSU allocation, CAPEX, compared to FY'25 to FY'26, they have reduced 5127 crores.
Ragini Advani: Who has reduced 5%?
Jaiprakash: CAPEX. Government CAPEX allocation.
Ragini Advani: CAPEX allocation by Government of India?
Jaiprakash: Yes. So. how do you foresee that for the next 4 quarters, how you are going to get orders? The government itself, is not increasing the CAPEX allocation for the PSU? Which is your direct offline growth?
Ragini Advani: PSU does not get any project on nomination basis. We have to compete in the market and whatever is the CAPEX that is being planned by Government of India in infrastructure projects, railways or roadways, we are like any other private player. So, as and when they bring out the tenders, we plan to bid for them and go ahead and see

how many of them we can win.
Jaiprakash: Okay. The government is not willing to spend more on the CAPEX. How you are going to increase your top-line growth? If you don't get opportunities, more opportunities, how do you foresee that? How it is going to affect your margins?
Ragini Advani: The 5% decline is not making too much of a difference to my top-line because it is a huge number that government is spending. So, it is about 2.65 lakh crores is the budget for railways and I think almost a similar amount or more for roadways. So, there is a huge amount still of CAPEX that government plans to spend on projects. Not all projects is what I am interested in. I don't bid for rolling stock and those kind of

projects. But whatever are the projects relating to my area, there are enough opportunities that will come. That is not an issue. But the point is how many of them I am able to bid in this competitive environment.
Jaiprakash: So, you are optimistic about your next 4 quarters you are going to get more orders?
Ragini Advani: I haven't said that. I have only said that next 4 quarters we will continue to target getting more jobs. But I haven't quantified the number that we will be getting.
Jaiprakash: Okay, fine. My second question is have you completely exit the Chennai Metro or still you are interested with Chennai Metro? Because you said that you have booked loss in this quarter.
Ragini Advani: We are not investing in Chennai Metro. We are doing an EPC project for them. In that project I am going to have losses, which is what I have booked. Out of those projects that I am doing one of my projects is going into losses. And therefore, I have booked a loss on that project.
Jaiprakash: Okay, fine. My third question is in your investor presentation page number 32 that is in your order book you have said that yo

u have 89 crores of others, right?
Ragini Advani: 89 crores of others in the other, order book?
Jaiprakash: Yes. Primarily you are in railways and highways in that others you have you are willing to explore any other areas like airport construction that UDAAN Project Government is more interested about because...
Ragini Advani: In airport we have right now only one or two jobs which are PMC and other than that we are doing some civil building set up for MSME industry. These are technical centers that we are going to be setting up for them. So that is where 89 crores of the order book is coming.
Jaiprakash: Okay, fine. Thank you. I wish that next 4 quarters you must try to keep on growth trajectory.
Ragini Advani: Sure. We need wishes from you all. Thank you.
Moderator: Thank you. Participants who wish to ask a question may press “*” and “1” on your touchtone telephone. Participants who wish to ask a question may press “*” and “1” on your touchtone telephone. We have the next question from the line of Dheeraj Kripalani from Avendus Spark. Please go ahead.

Dheeraj Kripalani: I was just having one question. What does the current bid pipeline is looking like in the railways and the highways projects?
Ragini Advani: I mean if I was to talk about the bid pipeline it is very, very good. It is about 60,000 crores but then that by itself has no meaning when you have something like 25 to 30 people bidding for it and they are bidding less than estimate and also there is a reverse auction in it.
Dheeraj Kripalani: 60,000 crores overall including railways and highways both or in the highways only?
Ragini Advani: Both. In highways I am only looking at EPC.
Moderator: Thank you. We have the next question in the line of Parimal Mithani from Credential Investments. Please go ahead.
Parimal Mithani: Yes, ma'am. I just wanted to know you had monetization of certain road assets. Have they happened or they are not yet in the pipeline?
Ragini Advani: They are still in the process of approval within Government of India systems.
Parimal Mithani: It has almost been a long-time ma'am. What is the reason for that?
Ragini Advani: Well, the reason is that I mean it will not be but I presume there are multiple people from whom approvals are required within Government of India and because this is something that we are monetizing at our level and not at the level of Government of India so the file goes to and fro. There are questions that are asked. There are times

when they are asked to make the presentation, so it is taking its own time.
Parimal Mithani: Okay and ma'am in terms of margins that you have alluded that there will be some pressure for the next 2 years. How do you see in terms of the improving pos that. You see it has been a lot of pressure for 2 years. Regarding the margin pressure that you mentioned ma'am in terms of the competitive bidding also getting extensive so how do you plan to basically get orders and work to your margin profile basically ma'am?
Ragini Advani: We won't get it according to our margin profile which is what I have been saying that we will be taking it on a margin.
Moderator: Thank you. We have the next question from line of Jitesh Kothari from Elara Capital. Please go ahead.

Jitesh Kothari: Yeah, I only had one question regarding MSRDC project. We stood L1, almost a year back now. So how are you looking at like receiving the LOA from the government since elections are also over and can we expect the projects to be included soon to our order book?
Ragini Advani: We also wish as you wish that it comes to us as soon as possible but as of now we ha

ve
no news from there in terms of their expediting it or how or when are they planning to do it even when we have been asking them we have been told that they will take some more time and that is the last news that we have.
Jitesh Kothari: So ma'am is there any re-negotiation with respect to the pricing of the contracts or that has been the case?
Ragini Advani: No they have not called us for that.
Moderator: Thank you. Participants who wish to ask a question may press “*” and “1” on your touchtone telephone. Participants who wish to ask a question may press “*” and “1” on your touchtone telephone. We have the next question Prerit Bansal, an individual investor please go ahead.
Prerit Bansal: I joined this call a little late. I just have a couple of questions. Firstly relating to margins the revenue which we are booking is relating to an initial order book and this must have been planned to be 8-10% of margin then why we are getting margin as of now on this order book and not in the upcoming order books and what will be the order we are not getting any of the orders and within a couple of years we might lose the current order book completely.
Ragini Advani: So I think you joined late so I will explain again. We have had a problem in terms of getting more orders. I mentioned that the market scenario is such that there are small value packages which are being taken out or being bidded and there are some multiple competitors in the range of about 20-25 and many of these competitors are actually quoting much below the estimate and if we were to in all kind of bids there are all kind of players but if some of them we were to match we will never ever get margins out of those jobs. While we understand the market and we are continuing to put our efforts but at the end of it whatever orders we will get in future, one, there will be a lesser inflow of orders. Two, whatever orders we get in future we will have better margins there in. So I hope that answers your question.

Prem Bansal: Ma'am basically others must also be doing something to get the margins. They will not be executing those contract at losses. So what is that which we are not even doing so that we are not being able to execute those kinds of orders?
Ragini Advani: Actually that is a very very complex topic for discussion and all I can say or assure you from management’s perspective is that it is a mix and match. Not all C players are serious and a lot of them are doing as a market entry or a credential game. Having said that we know what our costs are. Your company this company is one of the efficient companies when it comes to our total fixed costs that we have other than the orders or the expense for the orders. So to that extent we are deep-diving into it. On a case-to-case basis. There are reasons but I think it will be a little difficult to explain all of it right now. I can assure you that we are doing what best we can do.
Prem Bansal: Ma'am our 53% of the order book is on bid basis. The remaining 47% is on nomination basis. So we are not even getting orders on the basis of nomination as well.
Ragini Advani: The nomination orders we are executing and in future there is no nomination bids that we are going to get.
Prem Bansal: And why so change in this scenario ma'am because currently we have around 10,000

crores of orders.
Ragini Advani: This has been a change for the last 3-4 years. Whatever orders you have seen in our order book right now is not coming out of nomination, it is 4 year old.
Prem Bansal: So ma'am to remain competitive in such a segment what is next which we should be doing so that we also stand and take some.
Ragini Advani: We will take you off the record because the questions that you are asking is more in terms of understanding how we a

re planning to do nitty gritties in each project and that
is something I will not be able to explain over this conference.
Prem Bansal: But ma'am that is what the investor is asking as of now because our share prices have declined 50%. We are not getting.
Ragini Advani: I will be happy to discuss with you off the line.
Moderator: Thank you. Participants who wish to ask a question press “*” and “1” on your touchtone telephone. As there are no further questions I would now like to hand over the conference to the management for closing comments.

Ragini Advani: Thank you so much. Thank you Myron for moderating the call. I would also like to thank our shareholders, business partners, analysts, and investor friends who have continued to show faith. See the company is fundamentally very strong and there are phases which come in every industry or every company when there are ups and downs. It is a part of our downward journey. We are trying to revive as much as we can. We are delivering good profits. That is where we are. However, having said that we are happy to connect on all the concerns on one-to-one basis if required and for addressing any further queries that you all have. And with this, I conclude today's call and thank you all for the active participation. Thank you so much.
Moderator: Thank you for joining this call. You may now disconnect your lines. Thank you.

Call: May 2025

IRCON/SECY/STEX/124 27th May, 2025

Sub: Transcript of the Q4 & FY'25 Analyst Conference Call held on Thursday, 22nd May, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to our letter of even no. dated 14th May, 2025, please find enclosed the transcript of the post result Analyst Conference Call held on Thursday, 22nd May, 2025 to discuss the financial results of the Company for the quarter and financial year ended on 31st March, 2025.

In accordance with Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Transcript of the Analyst Conference Call is also available on the Company's website at the link https://www.ircon.org/index.php?option=com_content&view=article&id=226&Itemid=643&lang=en which can also be accessed through below mentioned path:

www.ircon.org>> Investor Relations>> Presentation and Earning Calls>> Transcript of the Analyst Conference Call held on 22nd May, 2025 for financial results for the quarter and financial year ended on 31st March, 2025.

[redacted]

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([redacted])/ (Pratibha Aggarwal)
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Scrip Code: IRCON

Page 1 of 9 "Ircon International Limited
Q4 & FY'25 Analyst Conference Call"
May 22, 2025

Management
Ircon International Limited

Mr. Hari Mohan Gupta : Chairman & Managing Director
Mrs. Ragini Advani : Director Finance
Mr. Alin Roy Choudhury : CGM Finance
Mr. Ram Kumar Goyal : GM Finance
Mr. Sachin Garg : DGM/ Finance/ Investor Relations

Moderator: Good afternoo n everyone, and welcome to the Q4 and FY'25 Post Result Earnings Call of Ircon International Limited. I am Steve, the moderator for this Conference Call. From the management side we have with us M r. Hari Mohan Gupta – CMD ; Smt. Ragini Advani – Director Finance; Mr. Alin Roy Choudhury – CGM Finance and CFO ; and Mr. Ram Kumar Goyal – GM Finance and Mr. Sachin Garg – DGM Investor Relations .

Please note that this conference call is being recorded. At this moment all participant lines are in listen -only mode, later we will conduct a question -and-answer session. At that time, if you have a question, please press "*" and "1" on your telephone keypad.

I would like to remind you that some of the statements that will be made in today's discussion may be forward -looking in nature. It is subject to sever al risks and uncertainties and the actual results could materially differ. I would now like to hand the conference over to Ms. Hari Mohan Gupta , CMD , for the opening remarks. After which, we will have the forum open for interactive Q &A session. Thank you and over to you, sir.

Hari Mohan Gupta: Thank you, Mr. Steve . Good afternoon, everyone. I am Hari Mohan Gupta – Chairman and Managing Director of Ircon International Limited . On behalf of my team, I extend a warm welcome to you all, and thank you very much for your gracious present today at the Ircon's earnings call for Q4 and FY '25. Operationally this year has been a little bit challenging for the company due to increased competition in the sector. However, we are hopeful to be back on the track and improve the performance going forward. Now, I request my Director Finance to give brief about the financial performance of the company.

Ragini Advani: Thank you CMD, sir . Good afternoon, everyone. Financial results, as well as presentation has been uploaded on the Stock Exchanges, and I am sure that all of you have had the opportunity to review these documents .

Just a little brief of the financial performance of the company in Q4 and FY' 25. The operational performance is subdued, as we had also stated in our last investor call. This is because of completion of the major cost-plus jobs, reduced order book and someone off entries that we had to put in certain projects on account of provisions for losses.

On consolidated basis, the company has had a provisioning of major maintenance in one of the subsidiary company , again, a one off item . The company has reported total

revenue of Rs.11,131 crore in FY '25 the corresponding PAT stood at Rs.728 crore and core EBITDA at Rs.905 crore in FY '25. Earning per share is at Rs.7.73 per equity share in FY '25 on a face value of Rs.2 per share . The order book of the company as at

31st March, 2025 stood at Rs.20,347 crore. This comprises 58% on competitive bidding basis, and the rest of the orders on nomination basis.
In terms of domestic versus international split, almost 90% of our order book is from domestic business, and the balance from international . The Board of Directors, along with the accounts have also recommended a final dividend for R e.1 per equity share on a face value of Rs.2 per share. This is subject to shareholder approval in the ensuing AGM . This along with interim dividend of Rs.1.65 per equity share, would tantamount to a total dividend of Rs.2.65 per equity share for FY '25. Ircon has 11 subsidiaries and 7 joint ventures, including a renewable power company. Now, without taking much time, I would like to open the floor for Q &A sessions. Thank you.
Moderator: Thank you, ma'am. We will now begin the question -and-answer session. The first question is from the line of Shreyans Mehta from Equirus. P

lease go ahead.
Shreyans Mehta: Ma'am c ould you quantify the one off during the quarter which led to the lower margins?
Ragini Advani: Yes, two, three things. One in standalone, we have provision that we have made for LD, in case of our job on DFCC, that amounts to Rs.108 crores. And apart from that, I had mentioned in last quarter that we have taken certain losses on one or two of our jobs, one of them being Chennai metro, so that also is about Rs.40 crores. And on the consolidated side, we have had one issue in terms of one of our road SPVs, where we have had a major maintenance, that is what we have taken into account. And in one of our coal connectivity projects , this is Chhattisgarh, CERL . The project has been incurring operational losses. Some part of the project i s yet to be constructed. So once that is constructed, and we have the full traffic there, then we shall probably not have losses going forward, maybe another two years down the line. So, all these are one of items, because of which we have taken hit on a P &L.
Shreyans Mehta: Okay. S econd, from a medium -term perspective, how should one look at the growth from here on, right now we have an order book of say Rs.20,000 odd crores. So now should the focus move on building order inflows at lower margin, or will still wait for orders to come in at the margins we want , how should one look at that and secondly, how should one look at FY'26 standalone revenues and margins ?

Hari Mohan Gupta: Thank you very much for this nice question. Presently we have the order book of around Rs.20,500 crores. And you will be pleased to note that during 24 -25 around Rs.2600 crores order were received by the company, out of which around Rs.1650 crore which were based on the bids which were submitted during the financial year, and around Rs.950 crores order were received for which the bids were submitted earlier . And during 25 -26 also by now, by the 22 nd May, when we are talking Rs.1150 crores orders already received, and also we have entered into new ver ticals like Kavach , the train protection warning system, the iconic technology of the country. It's a, really a proud moment for the company that we have received the first Kavach order for South Western Railway. It's around Rs.253 crores and we have already bid ed in some other Kavach projects tenders as well. And we are very hopeful. Again, I would like to mention that you will all be pleased to note that the first Kavach tower tender we have won, it is around Rs.194 crores, and the work is under execution in Central Railway , there around so many towers are to be provided which will be used for the Kavach . That is the second tender, second contract for the Kavach . Similarly, we have entered into a new vertical of signaling diagnostic, which is the new field, and I am pretty sure that it will be replicated in the entire country in Indian Railways . And what it does is that whatever the signaling and telecommunication gears are available in the railway network. You can remotely monitor their health, that what is the condition, and you can predict their life just looking at the computer screen. So that is a new revolution which we have brought , we have already got an order from North western railway and the Ministry of Railways has appreciated this to a great extent, and it will also be replicated in a big way. And now other zonal railways are preparing their tenders for floating in near future. In addition to above, yes we have already bided in various tenders, which are already under evaluation. To give som e of the examples are, and we are very, very hopeful because they are under evaluation so, I cannot be very specific with them, but we have bided in three tenders in Metro in Mumbai. And we have also bided

one in electrical tender of UP. And we are already bidding around 10 bids of around Rs.2000 crores have already been submitted during current 25 -26 up to this period, around 18 bids of Rs.9200 crores are yet to be submitted very shortly and during 24 -25 we have submitted around 120 bids of Rs.60,000 crore s. So enough of scope is available to everybody , infrastructure is booming, and we are bidding for big ticket size projects, as well as middle size projects, and by joint venture, by pre bid, by bidding alone, depending upon the type of the project, the complexities involved, the competency available with each sector. And again, I forgot one more thing that one more vertical we have opened in this company, and that is the hydro power. We have received an order of around Rs.453 crores in Arunachal Pradesh. W e have also received an order of Secretariat building in North frontier railway in the joint venture with one company. And we have also bided in various tenders of building works in

North frontier railway, which are already under evaluation. And we also got one order of railway project of around Rs.900 crores in, I am forgetting the name of the zonal railway, but we have already received the order.

Ragini Advani: So from whatever CMD sir has given an update on the business development side, as well as the orders . So as to answer your overall perspective in FY '26-27 while we are trying to get as many orders as we can. But even after picking up orders, the execution and the conversion into revenue takes some time. So given our current order book position, we maintain that our turnover should be in similar range goin g forward in 25 - 26 at least. And the margins, as we had mentioned earlier also yes, ther e is a slightly strain on the margins because of the increased competition and many of the bids being taken up at a very, very competitive rate. So there would be an overall decline, as I had previously mentioned, it would be in the range of about 0.5% to 1% going forward.

Shreyans Mehta: Okay, got it. Secondly, in terms of the strategic assets, the railways per se, or even the road assets which we hold. So is there an intention to hold on to those assets, I can understand, we have DIPAM , who will be taking a final call. But from our perspective, what is the thought process , do we intend to hold those or once they mature, probably we are looking to monetize those and come out of those ?

Hari Mohan Gupta: Our objective would be to monetize as quickly as possible. Once the project is completed and we have already started process in that direction, and I hope two proposals are already .

Ragini Advani: So yes, you are absolutely right , Railway and DIPAM will ultimately give a go ahead. It is a longish process, but their intent is to monetize PPP projects which are operational .

Shreyans Mehta: Even the mining projects right?

Ragini Advani: We are a minority partner. So there that discussion will happen with coal companies, and they would be in a better position to take it. But wherever these are 100% subsidiaries, I have already gone ahead, and we have taken this decision to move ahead for monetizing them. There they have obviously coal mines as their ownership, so they may not like to monetize it eventually .

Shreyans Mehta: Got it. And lastly, in terms of coming back to the same point in terms of order inflows, assuming even if we get say closer to Rs.10,000 odd crores this year, as a shareholder what might happen is FY '27 again looks weak because even at Rs.10,000 odd will end up at say, Rs.30,000 and we will be doing, say, Rs.10,000 odd crore for next two years.

So, unless and until we scale up in that manner significantly, like Rs.20,000 crores plus. How do you intend , to take it from the de-growth phase to growth phase for 27- 28?

Shreyans Mehta: So currently, we would like to stick to our forecast, or what we assume to be a reasonable prediction for F Y'26, for FY '27 you are absolutely right for us to come back to make going into a growth phase, definitely we have to pick up more orders. But having said that, since the market has been tough and we have recently diversified into certain areas as CMD sir also mentioned, we will be in a better position to tell you maybe few months down the line. So we do not want to commit something wh ich is just theoretical right now, but yes efforts are fully on to make the order book grow at a faster pace.

Hari Mohan Gupta: To add further what my Director Finance madam has said, rest assured we are working very hard, bidding aggressively and with full focus what is to be bid. We will not be bidding under losses at all, and we will be attacking more and more verticals in which we feel very, very confident , we are already working and we would be bidding very, very shortly in some new verticals as well and I am pretty sure that we should be successful in those efforts. So future is bright , I do not see any nega tivity in the market because it's a huge market and only thing what I can say presently and you all will appreciate that around 24 bids are coming in the railway tenders per tender, 17, number of bidders are there in road projects tenders, and 19 number bidders are there in building b ids. So it's a tough competition, and really very tough competition. But the only answer lies in opening up the new verticals and entering into joint venture pre bid tie ups, bidding in those area independently, where the ticke t size is big, and we feel very confident we were like the railways, the highways. So it would be a combination of all these strategies, but we will be successful.

Moderator: Thank you so much. The next question is from the line of Rahul Thakur from NVS Brokerage. Please go ahead. We wil l move on to the next question it's in the line of Vishal Periwal from Antique Stock B roking. Please go ahead.

Vishal Periwal: Thanks for outlining a picture like how things could be for our company in time to come. So on this front, I have couple of question. One you did mention that new opportunities like signaling , diagnostic , Kavach . So will that be, will you have that data or anything ready how big is the opportunity in these segments and any color that can be produced?

Hari Mohan Gupta: Usually , I don’t have the numerical number for the country size, but I hope you will be satisfied with my reply. The entire country, more than a lakh kilometer of Indian Railways , is to be covered under Kavach, it's a train protection warning system so that two trains may not collide, and any driver inadvertently may not exceed the speed. It will be automatic brake application in the locomotives. So the entire country is to be covered in a huge, more than a lakh c rore business is available in this sector. What I have come to know, but I am not very sure about the numerical numbers at this stage. But the entire country is being covered through Kavach. Diagnostic , entire Indian Railways would get covered progressively, because it's the new thing which is coming up in the country. And it has started one more field, elephant passes wherever the elephants do cross the railway track. So Indian Railways is now coming up with fresh tenders for electronic systems in such a way so that these animals w hen they cross the track, it gets noticed in advance, and they may not get hit by the moving train . So which will be win -win situation bot

h for the railway as well as for the animal. So it's a huge business opportunity , I will only say this .

Vishal Periwal: Okay, sir. And in terms of for tenders which are open right now, may be say Kavach or maybe diagnostic what could be the size of it?

Hari Mohan Gupta: Every Kavach tender is of the order of Rs.250 crores to Rs.300 crores , every Kavach tender . Whatever we got it is Rs.253 crores we got the order for SW R, and we have already bided in three more tenders. They are under evaluation, and the next phase of tendering would be available, whatever is known to me by July or August. Next wave of tendering again for Kavach will come. So , it's an ongoing process, and whatever tenders are getting finalized, the execution is taking place. It's a government of India prime project, be cause they want this Kavach to be installed as quickly as possible to enhance the safety of the moving trains and the passengers.

Vishal Periwal: Okay, sure sir . Maybe one last question from my side , and then I will come back in the queue. Ma’am you mentioned, probably there will be a pressure on the margins in FY’26 also. So on a standalone we have done almost 4.7% sort of margin. So one is like, there is a continuing losses in certain projects. So this 4.7 % probably ball park project ed could be how much based on what are pending loss making orders ?

Ragini Advani: So if I was to exclude out of 4.7 the one of items, it should be in the region of about 5.7, 5.75 so, we are expecting these margins to be in the range of 5, core EBITDA to be in the range of 5 to 5.25 . Other than the one time losses, which is very difficult to predict, and hopefully we should not have more in the coming year, but that is

something as and when it comes we will keep you informed. The typical margins of core EBITDA should be in the range of 5 to 5.25 .

Moderator: Thank you. The next question is on the line of Shreyans Mehta from Equirus. Please go ahead.

Shreyans Mehta: Few data points, one in terms of inflow number for FY'25 and secondly, what are our investments if you could broadly split it into roads and the other ?
Ragini Advani: Sorry, what was your first question?
Shreyans Mehta: Inflows for this year FY'25?
Ragini Advani: Inflows , as in the order book ?
Shreyans Mehta: Order inflows .
Ragini Advani: Yes, so order inflow we mentioned to you that we have currently an order book of about Rs.20,000 crore, and in the month of April and May, we have add order wins closely to the extent of about Rs.1100 crores.
Hari Mohan Gupta: So for 24 -25 we got order of Rs.2600 crores. And in 25 -26 up to this month, we have got Rs.1150 crores .
Shreyans Mehta: Got it.
Ragini Advani: And in terms of the investment , we have made in road projects and investment of about Rs.1500 crores. We still have to invest another Rs.400, Rs.500 crores . In coal connectivity we have made investments of about Rs.1000 crores , we still have to invest another Rs.500 crores and in renewable we have mostly done all the investments. But yes, there is a close amount of about Rs.30 to Rs.50 crores that we still need to put in in this current year . So, overall you can say that we have invested about Rs.2300 crores in all our SPVs, and we have another Rs.1000 crores that we need to put out of which in this financial year we should be investing in the region of about Rs.500 crores
Shreyans Mehta: So, one clarification, so renewable we have invested closer to Rs.300 odd crores ?
Ragini Advani: Yes, that's right. So Rs.200 odd crores we have already done .
Shreyans Mehta: Rs.200 odd crores ?

Ragini Advani: Yes.

Shreyans Mehta: Sure. And ma'am just on dwelling more on margins, since we have entered new segments like Kavach , which I am presuming would be margin accretive compared to our current EPC. So still, why are we guiding for a lower margin for say probably FY'26?
Ragini Advani: That's because Kavach is going to play a role in our order book, but we will still continue to have dominance of EPC orders and EPC projects in both rails and road, as sir also mentioned, has many, many players and the margins and the competition is intense, there are margins will take a squeeze. So overall perspective would be the guidance that we have given please.
Hari Mohan Gupta: We are also trying to get more orders from overseas. Presently, we are working in Algeria , we are working in Myanmar. Recently, we have completed the project in Sri Lanka, Bangladesh, Nepal. Recently, also completed the doubling project of Indian Railways Kiul-Gaya 128 route kilometer , doubling project from Katni -Singrauli 261 kilometer, except the Sanjay Tiger Reserve portion, where the alignment is being bypassed and the USB RL project, which was a big, huge project completed and handed over to the Indian Railways , also around 190 kilometers. So these huge projects we have completed during these nine months. So we are working very hard to get the orders both from India as well as abroad.
Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for their closing comments.
Ragini Advani: Thank you, Steve for moderating the call and I would like to thank all our shareholders, business partners, analysts, investor friends, who have shown continued support and faith on us. We would be hap py to connect with you on a one -to-one basis as well as and when required, and for any further queries that you all may have . I conclude today's con-call and thank CMD sir for being here. Thank you all for the active participation. And thank you once again.
Hari Mohan Gupta: Thank you, my dear shareholders. Thank you very much.
Moderator: Thank you all for being part of this conference call. If you need any further information or clarification, you may contact to Mr. Sachin Garg or email at sachin.garg@ircon.org . Thank you for joining us.

Call: Nov 2025

IRCON/SECY/STEX/124 17th November, 2025

Sub: Transcript of the Q2 & H1 FY26 Analyst Conference Call held on Thursday, 13th November, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to our letter of even no. dated 6th November, 2025, please find enclosed the transcript of the post result Analyst Conference Call held on Thursday, 13th November, 2025 to discuss the financial results of the Company for the quarter and half year ended on 30th September, 2025.

In accordance with Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Transcript of the Analyst Conference Call is also available on the Company’s website at the link https://www.ircon.org/index.php?option=com_content&view=article&id=226&Itemid=643&lang=en which can also be accessed through below mentioned path:

www.ircon.org>> Investor Relations>> Presentation and Earning Calls>> Transcript of the Analyst Conference Call held on 13th November, 2025 for financial results for the quarter and half year ended on 30th September, 2025

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“Ircon International Limited
Q2 & H1 FY'2 6 Analyst Conference Call”
November 13, 2025

Management
Ircon International Limited

Mrs. Ragini Advani : Director Finance
Mr. Alin Roy Choudhury : CGM Finance
Mr. Ram Kumar Goyal : GM Finance
Mr. Sachin Garg : DGM/ Finance/ Investor Relations

Moderator: Good afternoon everyone and welcome to Q2 and H1 FY'26 Post Result Earnings Call of Ircon International Limited. I am Bhoomika, the moderator for this conference call. From the management side, we have with us Smt. Ragini Advani, Director Finance, Mr. Alin Roy Choudhury, CGM Finance and CFO, Mr. Ram Kumar Goyal, GM Finance, Mr. Sachin Garg, DGM and Investor Relations.
Please note that this conference call is being recorded. At this moment, all participants are in listen -only mode. Later, we will conduct a question and answer session. At that time, if you have a question, please press "*" and "1" on your telephone keypad. I would like to remind you that some of the statements that will be made in today's discussion may be forward -looking in nature. It is subject to several risks and uncertainties and the actual results could materially differ.
I would now like to hand the conference over to Smt. Ragini Advani, Director Finance, for the opening remarks, after which we will have the forum open for the interactive Q&A session. Thank you and over to you ma'am.
Ragini Advani: Thank you. Thank you so much Bhoomika. Good afternoon everyone. I am Ragini Advani – Director Finance, Ircon.
I apologize, earlier CMD sir was scheduled to join this call but a last minute visit has taken place in one of our projects for some senior level review by Ministry of Railways and therefore he also was required to personally attend the project site. On be half of my team, I extend a very warm welcome to all of you and thank you for your presence today at the Ircon's earning call for Q2 and H1 FY'26. Although this quarter has been challenging for the company, we have been striving hard to sustain and improve our performance. Financial results as well as presentation have already been uploaded on the stock exchanges. I am sure that all of you had the opportunity to review these documents.
Let me briefly give you a snapshot of our financial performance for Q2 FY'26. The company has reported a total revenue of Rs. 2112 crore, a PAT of Rs. 137 crore and a core EBITDA of Rs. 162 crore in Q2 FY'26. Earnings per share stands at Rs. 1.47 per equity share in Q2 FY'26 on half yearly basis and this is on a face value of Rs. 2 per share. Order book of the company stood at Rs. 23,865 crore as at 30th September 2025. About 63% was from competition and balance from nomination and about 91% of our order bo ok is relating to domestic projects and the balance international. Ircon has 11 subsidiaries and seven joint venture companies including a renewable power company.

Now, without taking much time, I would like to open the floor for a Q&A session.

Thank you.
Moderator: Thank you ma'am. We will now begin the question and answer session. The first question comes from the line of Gaurav Jagirdar, an investor. Please go ahead.
Gaurav Jagirdar: Good afternoon ma'am. Thank you for taking my question. I had two, three questions which I would like to get answered. One was the other income has come down. Any specific reason for this ma'am?
Ragini Advani: You are talking on other income on consolidated basis?
Gaurav Jagirdar: Yes, yes ma'am.
Ragini Advani: So, other income has actually gone up?
Gaurav Jagirdar: My apologies. On the standalone, I was talking about.
Ragini Advani : Even in standalone, it has gone up.
Gaurav Jagirdar : Okay. Other income, yes?
Ragini Advani : Yes.
Gaurav Jagirdar: Okay. My bad. Ma'am, share from the profit sharing from the JVs. Can you share some light on it? How will it be going forward?
Ragini Advani: So, in our joint venture companies, we have one of our high way projects. It is called Ircon -Soma Tollway Limited. T

hat has been giving us profits. And going forward, this should be ending. The concession period is ending next year. But this has been giving us good profits over the past few years and is expected to do so for the current financial year as well. We have some coal joint venture companies in which CERL1, which is one of the coal connectivity projects, that is only operational as of now. The balance are all under construction. So, in CERL phase 1, there have been losses and we expect it to break even by the year or two years later. So, righ t now, this project is undergoing losses. And the reason for that is that while our track is ready mainly, but the mines which had to come up around that area, some of them have come up, some of them have not come up. There is a spur line that we are going to be ready with by the end of this financial year, after which there should be traffic enhancement. But for it to break even, it will take another, let s say about 18 months to about 20 months period. So, that is about the coal JVs. And we also have anoth er joint venture company, which is

IRFDC, Indian Railway Station Development Corporation. That is under closure. So, we are at the final leg now, where we are in the process of appointing liquidator for that company. So, we shall be getting back our investment. Again, spread over a period of time, but maybe a significant amount should come back to us by about beginning of next year.
Gaurav Jagirdar: Okay. Thank you. Thank you so much. And my another question is, we are doing quite well on the international front . We will be maintaining the same margins or they are poised to go upwards from here ?
Ragini Advani: So, on international front, while we definitely have better margins, also the foreign exchange has played its own, it has given us a benefit, as we are all aware about the rupee depreciation that has been happening. And therefore, we have had good foreign exchange earnings in this year. One of our projects, which is in Bangladesh, Khulna Mongla, we have had roughly about Rs. 20 crores of realized foreign exchange earnings from there, because of the exchange rate differences.
Gaurav Jagirdar: Got it, ma'am. And what will be the split, ma'am, between domestic and international projects?
Ragini Advani: From a turnover perspective is as much as 96 % to 4% when it comes to turnover. And from an order book perspective, it i s about, we have international order book of about 10%.
Gaurav Jagirdar : Okay. Thank you. Thank you, ma'am. That’s it from my side.
Ragini Advani : Thank you so much.
Moderator: Thank you. The next questi on comes from the line of Shreyans Mehta from Equiru s. Please go ahead.
Shreyans Mehta: Yes. Thank you for the opportunity. My first question is on margin front. So, any specific reason why the margin is dent in this quarter and how one should look at the full year for FY ’26 and FY ’27?
Ragini Advani: So, yes, margins have taken a dent. We have had a series of reasons. One, of course, has been that, a s I mentioned, that in CERL, we ha ve been continuously having losses on a consolidated level, which has resulted in our reduction in income. Also, on a consolidated basis, we ha ve had some adverse impact in our subsidiaries, which are also under construction, but that should get negated or kind of offset by next financial year. And that itself has also contributed to our lower margins. Having said that, as I

had mentioned in my earlier calls also, we were expecting half to one percent reduction in our margins in terms of our normal projects that we had, and which has been the case. Th

e new projects that we ha ve been winning are on lower margins. And some of my pro jects, in fact, two of them, we ha ve had some losses, which we have booked partly in March. We had booked and some more came up, which is what we have affected in this half -yearly result. So, all these are the reasons for slightly lower EBITDA margins, as well as PBT and PAT. But having said that, we continue to say that our PAT margins going forward will be in t he range of 6% to 7% .

Shreyans Mehta: Okay, got it. And my second question is on order inflow side. So, how much we are targeting for the full year? And my third, the last question on the revenue front, it is on the lower side. So, how we are looking execution for second edge and for the full year next year FY '27?

Ragini Advani: Yes. So, the first, in terms of order book, we have got orders more than Rs. 4,000 crores in the first half of this financial year. And we expect something of a similar range going forward. In terms of turnover, yes, our six -month turnover has been s lightly on the downside, but it i s normally the latter half which picks up. So, we expect that on a console level, we should be having an operating revenue in the range of about Rs. 10,000 crores to Rs. 11,000 crores. And for going forward for the next year also, we maintain a similar level, which will be around Rs. 10,000 crores. Does tha t answer your question, Shreyans ? Hello.

Moderator : Mr. Shreyans , you are not audible.

Shreyans Mehta : Yes, ma'am. Got it. Thanks.

Ragini Advani : Yes. Thank you.

Moderator: Thank you. The next question comes fro m the line of Vishal from Antique Stock Broking. Please go ahead.

Vishal : Yes, ma'am. Thanks for the opportunity. Am I audible?

Ragini Advani : Yes, Vishal. Thank you. I can hear you.

Vishal: Okay. Fine ma'am. One thing which I a m noticing is, you mentioned order inflow is Rs. 4,000 odd crores in the first half , but I think it looks like there i s a change in the scope of existing work because on an implied basis, the order book has seen a good increas e on a quarter -to-quarter basis.

Ragini Advani : Yes, that is right. There has been some increase in our existing jobs as well.

Vishal: Okay. So, when you did like second half, we will do inflow. So, is it fair to understand the fresh inflow 4,000 similarly that we are targeting or probably some bit of scope change or anything we are further expecting in the second half?

Ragini Advani : No, no. Fresh inflow itself, we are targeting in that range.

Vishal: Okay. Got it, ma'am. And then in terms of our segmental performance, at an international side, though it is a smaller piece, but EBIT level margins are more than 100%. So, I think you briefly touched there is a FOREX gain. Is it the same thing which is coming in the segmental leading to a better margin?

Ragini Advani: That is right. I n international projects, anyway, we tend to have higher margins than domestic. And over and above that, we ha ve had foreign exchange gain, the significant one being in our Khulna -Mongla -Bangladesh project, which has contributed to the significant increase in EBITDA margins of foreign projects.

Vishal: Okay. And sorry, I think you did mention on the number, what is this one -off number of FOREX , ma'am?

Ragini Advani: So, the overall number, I think, is about Rs. 30 crores, and out of it, a significant amount, about Rs. 20 crores is Khulna -Mongla.

Vishal: Okay. But then, if we take that number off from our reported margins, then it looks like for a domestic project, which we are executing, the margins are very weak.

Ragini Advani : Dropping.

Vishal : Yes, it is dropping.

Ragini Advani: So, as I mentioned that we have about on a normal course, we have been taking jobs now

at much stiffer margins, and because of which going forward, there would be a drop of about 1% in my normal execution of projects, which is what you would have seen that our project cost has g one up. Over and above that, we ha ve also had certain losses that we had to book on two of our projects. So, that should be hopefully one -off items.

Vishal: Okay. But at a yearly basis, probably, the margin compression will be to the extent of maybe 1% points.

Ragini Advani : Yes.
Vishal: Okay. And then, can you give some color in terms of inflow? I think the order win, which was there in last year, to be 25, fr om that side, I think first half numbers are very good. So, any changes that we are seeing as the competition has gone down, or are there new segments that we are adding up, which is leading to this inflow? Any colors that can be provided will be helpful.
Ragini Advani: Yes. So, while we continue to focus on railways and EPC projects and roads, which has also been our main forte even now, as we mentioned earlier also, we have moved into Kavach as one of the segments. And in that, we have been taking certain jobs. Also, we have tried diversifying into certain other areas while picking up the jobs. We have recently taken one particular project in a hydro power project. But these are things which we are trying to diversify, to understand the nuances of that ind ustry, and see if we can get more projects there. Because the market per se has been very tough for us. There has been a lot of competition. Many of the jobs are being quoted below estimates, which means that even if you were to win a job, the margins get very stiff. So, initially, till about a year before, we were trying to continue getting margins intact. And therefore, we were trying to make sure that we do not compromise o n the margins. But recently, we ha ve had this change in our attitude, wherei n we h ave, just a second. Yes, sorry. Are you there, Vishal?
Vishal : Yes, ma'am.
Ragini Advani: Yes, I a m so sorry. There was actually an announcement which was hap pening in our company. So, that i s why I had to put you on mute. Yes, so I was saying that we ha ve had some change in our course, wherein now we are also going with aggressive margins and trying to get orders. And that i s why you would see that our first half in this year, we ha ve managed to get orders more than what we had got last ye ar. But it does mean that there ha s been some impa ct on our margins, because that i s how the industry is being right now.
Vishal: Okay. And then, in terms of the margins and competition, which you mentioned, last year again, I think, in your earnings call commentary , you have mentioned competition is there. But is there any concern at even the regulators or maybe like, you know, the agencies who are calling these bills, though, and then like, you know, they are avoiding the project cost, there co uld be a chance like, these projects may not see light of the day. So, any thought that you ar e seeing, even in terms of roads or may be any sect or, or probably like ministry or maybe any agency, they are not

Ragini Advani: Yes. So, at least in roads, we ha ve been hearing and seeing it in our newspaper s as well. There has been a lot of focus on the quality. And there have been repeated messages from NHAI as well as from the MoRTH Ministry saying that quality matters, and they ar e going to go stiffer in terms of the contractors who are not performing or whose quality is not up to the mark. And they are actually working on that side and taking some actions, except that we will get to know th at ov

er a period of tim e. And I am sure something similar would also be taken up in railways. But it may take some time. So, we are also waiting for that to happen.
Vishal : Okay, got it. I think that i s all from my side. And thank you for the detailed explanation.
Ragini Advani : Thank you.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for the closing comments.
Ragini Advani: Thank you. Thank you, Ms. Bhoo mika for moderating the call. I would like to thank all our stakeholders, shareholders, business partners, analysts, investor friends who have shown continued support and faith on us. We would also be happy to connect with you on one -to-one basis as and when required, and for any further queries that you may have. Thank you all, please, for your participation.
Moderator: Thank you all for being part of this conference call. If you need any further information or clarification, you may contact Mr. Sachin Garg or email at sachin.garg @ircon.org .
Thank you for joining us. And you may now disconnect your lines.

Call: May 2026

IRCON/SECY/STEX/124 26th May, 2026

Sub: Transcript of the Q4 & FY26 Analyst Conference Call held on Monday, 25th May, 2026

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in continuation to our letter of even no. dated 19th May, 2026, please find enclosed the transcript of the post result Analyst Conference Call held on Monday, 25th May, 2026 to discuss the financial results of the Company for the quarter and financial year ended on 31st March, 2026.

In accordance with Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Transcript of the Analyst Conference Call is also available on the Company's website at the link https://www.ircon.org/Investor-Relations/presentation-and-earning-calls which can also be accessed through below mentioned path:

www.ircon.org>> Investor Relations>> Presentation and Earning Calls>> Transcript of the Analyst Conference Call held on 25th May, 2026 to discuss the financial results for the quarter and financial year ended on 31st March, 2026.

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BSE Limited
Listing Dept./ Dept. of Corporate Services
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"Ircon International Limited
Q4 & FY'2 6 Analyst Conference Call"
May 25, 202 6

Management
Ircon International Limited

Mr. Hari Mohan Gupta : Chairman & Managing Director
Mrs. Ragini Advani : Director Finance
Mr. Alin Roy Choudhury : CFO & CGM Finance
Mr. Ram Kumar Goyal : GM Finance
Mr. Sachin Garg : DGM/ Finance/ Investor Relations

Moderator: Good afternoon, ladies and gentlemen, the moderator for this conference call. I thank everyone for joining us today for Ircon International Limited Q4 and FY26 and this conference call.
Please note that this conference call is being recorded. At this moment, all participants are in a listen -only mode. Later, we will conduct the question -and-answer session. At that time, if you have a question, please press “*”and “1” on the telephone keyp ad.
Today, we have with us the senior management represented by Mr. Hari Mohan Gupta – Chairman and Managing Director, Mrs. Ragini Advani – Director (Finance), Mr. Alin Roy Choudhury – CGM (Finance) and CFO, Mr. Ram Kumar Goyal – GM (Finance), Mr. Sachin Garg – DGM (Finance), Investor Relations.
I would like to remind you that some of the statements that will be made in today's discussion may be forward -looking in nature. It is subject to several risks and uncertainties and the actual results could materially differ.
I would now like to hand the conference over to Mr. Hari Mohan Gupta – Chairman and Managing Director, for the opening remarks, after which we will have the floor open for the interactive Q&A session.
Thank you and over to you, sir.
Hari Mohan Gupta: Thank you, ma'am. Good afternoon, ladies and gentlemen. I am Hari Mohan Gupta, Chairman and Managing Director of Ircon.
On behalf of the entire Ircon team, I extend a warm welcome to each of you and sincerely thank you for joining us today for our earnings call for Q4 and Financial Year Ended 31st March 2026.
Now, I request my Director of Finance to give brief about the Financial Performance of the Company. Over to Mrs. Ragini Advani, Director Finance.
Ragini Advani: Thank you, sir. Good afternoon, everyone. I am Ragini Advani – Director (Finance), Ircon.
On behalf of my team, I extend a warm welcome to all of you and thank you for your presence today at Ircon's Earnings Call for Q4 and year ended 31st March 2026.

Let me first introduce my team:
I have with me Mr. Alin Roy Choudhury – our CFO & CGM (Finance), Mr. Ram Kumar Goyal – GM (Finance), in charge of Compilation and Accounts, and Mr. Sachin Goyal – DGM (Finance), taking care of Investor Relations. The company is facing a challenging environ ment marked by significant sectoral headwinds and intensifying competitive pressures. While these factors weigh on our margins as well as order book, we did manage to maintain the order book at about 2X of the annual revenue. We remain optimistic about the outlook and are implementing measures to strengthen our position.

Financial results as well as presentations have already been uploaded on the stock exchanges. I am sure that all of you have had the opportunity to review these documents. Now let me take you through a glimpse of our financial performance for FY26.

The company has reported total revenue of Rs. 9,502 crores in FY26 against Rs.11,131 crores previous year. PAT of the company stood at Rs.592 crores against Rs.724 crores previous year. EBITDA margins remained in similar range, about Rs.1,279 crores in FY26 as against Rs.1,276 crores in FY25.

Core EBITDA margins in percentage terms have increased to 9.35% in FY26, an improvement of about 94 bps over the last year. Earnings per share stands at Rs.6.33 per equity share in FY26 as against Rs.7.73 per equity share in FY25. Our face value of the sha res is Rs.2 per share.

Board of Directors have also recommended a final dividend of Rs.70 paisa per equity share on the face value of Rs.2 per share, subject to the approval of the shareholders in the ensuing Annual General Meeting.

This is in addition to the interim dividend which we have already declared of Rs.1.20 per equity share a

nd has also been paid in FY26. Order book of the company as at 31 March 2016 stood at Rs.24,984 crores, wherein 54% orders were on competitive bidding b asis and the balance 46% were on nomination basis. If we were to split domestic vs international, 92% of our order book is domestic and 8% international.

Ircon has 11 subsidiaries and 7 joint ventures.

As you all are aware, the subsidiaries comprise of SPVs for roads, highways and renewable power companies. The JVs mainly comprise of coal -related PPP projects.

Without taking much time, I would now like to open the floor for Q&A sessions.

Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We will take our first question from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Madam, on the new dedicated f reight corridor side, Dhank uni-Surat and 100 PM Gati Shakthi Cargo Terminals are announced. Whether we have bid any of this? And what is the typical order size of the terminal?

Hari Mohan Gupta: Thank you, gentlemen. As far as dedicated freight corridor new project is concerned, it has just been announced and since this is a mega project spanning from the eastern part of the country to the western side, the initial processing for calling the tenders takes some time and the process is on in Dedicated Freight Corridor Corporation of India Limited. Once they are in the tendering mode, they will float the tenders and then the situation will come for bidding. So, entire industry is wai ting for that moment. We have already executed one project of dedicated freight corridor in western sector. Certainly, our company has the credentials and capabilities. So, as soon as that situation arises, we will rise to the occasion. Thank you.

Balasubramanian: Sir, if I am right, it is around 50,000 crore opportunity, right sir?

Hari Mohan Gupta: Exact cost of the corridor will be determined once the final alignment and the cost of the land acquisition according to the finalized alignment is known, then only it would be known that what is the total cost of the project. So, the initial time taken in preparation of the plan and profile and the costing will still yet to be frizzed by the project authority. So, whatever data you are saying may be an approximate value which you might have heard, but we are not aware about the exact valu e which will be known only after some time.

Balasubramanian: Sir, on that consolidated non -current financial liabilities increased from 4,750 crores.

Hari Mohan Gupta: Yes.

Balasubramanian: So, is this banking working capital for new projects?

Ragini Advani: You are saying on a console level?

Hari Mohan Gupta: Yes.

Ragini Advani: Yes, just a second.

Hari Mohan Gupta: Yes, in 589 crores you are talking about?

Balasubramanian: No, sir. It has increased from 4,750 to 6,300.

Ragini Advani: Which one are you saying?

Hari Mohan Gupta: Can you repeat your question, please, once again?

Balasubramanian: No, sir. Actually, that non -current financial liabilities increased nearly 33%. So, is this because of the working capital or new projects?
Ragini Advani: Non-current financial liabilities. Other financial liabilities have increased from Rs.584 crores to Rs.821 crores. I am sorry, I have not got your question yet.
Moderator: Yes, I repeat your question.
Balasubramanian: Yes. I am sorry, you are sounding muffled. Fine, ma'am. I will come back to you.
Moderator: Okay, ma'am. Thank you. Next question is from the line of Vishal

Periwal from PL
Capital. Please go ahead.
Vishal Periwal: Yes, thanks for the opportunity Okay, thank you, ma'am. Ma'am, in terms of new opportunities, there was a couple of months back, there was a PIB release which talks about like, you know, in FY26, we have seen almost like 100% increase in the railway projec ts which are sanctioned by government. So, I mean, can you give some color like, you know, will this lead to a better ordering for the sector and how exactly to look about it?
Hari Mohan Gupta: As per budget ‘26, around Rs.2.93 lakh crore funds have been sanctioned by government of India and huge and bigger projects in railways are in the pipeline. They are being floated. During ‘25 -26, we could secure orders of the order of around Rs.5,000 crores and we bided for 107. We submitted 107 bids for around Rs.48,000 crores. And many of them are still under evaluation. The results would be known in time to come. We are aware about the new projects working hard in that direction. So, it's a dynamic process. Since our domain expertise is mainly in railways, highways, bridges of any kind, so we are certainly looking to get some opportunity in that pie for ourselves.

Vishal Periwal: Okay. Sir, can you give some color like in FY26, what were the total projects that were awarded by Indian Railways and how much we could have secured?
Hari Mohan Gupta: No, how much were awarded by Indian Railways, that figure would not be available with us in the company because that would be the domain of Indian Railways. They offloaded the tenders for civil, for electrical, for signaling, some complex, some mechanical, some integrated. So, that figure I don't have right now available with me. But we secured for around Rs.5 ,000 crores in total for that financial year. And now I told you that 107 bids have been submitted for around Rs.48,000 crores, which are mainly under still evaluation at different stages. So, we are hopeful that we should be successful in some.
Ragini Advani: Just to add on to this, basically, the railways when they take out their tenders, there are multiplicity of the nature of transactions. So, one is of course, they have coaches, sleepers, wagons, Vande Bharat, those kinds of train sets. So, that itself is a significant amount for which they have been taking out tenders. Then there are station development tenders. And then there are certain CAPEX which are rolled over or there are increase in already sanctioned projects, which are taken also as a part of this limit, which Sir was mentioning that in current year, the overall budget is about 2.39 lakh crores from government. And then there are new projects which could include doubling new lines, expansion, electrification, some works of signaling and telecom, et c. So, by and large, railways by itself have so many different domains and so many different kinds of tenders or orders that they are taking out, p er-se that data in detail would be available with them. But yes, whatever tenders we feel we are fit to bid, we do keep a track of them and we do bid them as and when those opportunities come.
Vishal Periwal: Okay. Okay. And then maybe just a little bit on this, when CMD Sir said like, you know, the new opportunities of almost more than Rs.40,000 odd crores yet to be opened. So, in terms of the projects that we are bidding, is there any change in that thing? I mean, like, you know, earlier we were doing electrification, railway chain, the gate chain which is happening or probably new line which is coming. Are we going into manufacturing side also? Any color that can be provided?
Hari Mohan Gupta: Presently, we are into electrification, signaling, telecommunication, Kavach, civil engineering, tunnelling, bridges. No manufacturing right now other than othe

r than we
are executing one project of installation of Kavach towers in central railway.
Otherwi se, there is no manufacturing type of work we are executing at the moment.
Vishal Periwal: Okay. Maybe some of the bookkeeping question if I can ask, Sir. So, order book, I think nomination will have largely a price variation clause. In competitive bid order

that we have, is there a price variation clause given like, you know, spurt in the commodities in general that we have seen?
Ragini Advani: Yes, there is a formula which is given for the commodity. It is a standardized formula which is given in all bids because these are long duration gestation projects. So, that is there. But having said that, if one was to look at some extraordinary situatio ns like we have currently seen, the impact on petrol and diesel as well as related products, those are things which probably do not get completely covered by those formulas. But then this is something which at a nation level, everyone is bea ring with it and to some extent, government are taking out circulars here and there. Like recently, NHAI has taken out some circular on bitumen. So, otherwise, yes, the formulas are there in the contracts, irrespective of whether they are on nomination or on competitive bidding.
Vishal Periwal: Okay. So, there is no like fixed price contract that we have even in a competitive bidding?
Ragini Advani: No. There will always be a formula for certain changes in the procurement side. Okay.
Vishal Periwal: And in nomination also, the order book breakup that we provide, we have seen overall the change in the order book size. So, will it be fair to say that this is largely a scope change, not a new order that we are receiving under this?
Ragini Advani: That's right. It is mainly a scope change and an increase in cost over a period of years, which is on the cost -plus project.
Vishal Periwal: Got it.
Ragini Advani: But the Ministry of Railways is not giving any assignment on nomination basis.
Vishal Periwal: Okay, ma'am. And in terms of cash balance, I mean, we have reported a decent cash of almost like Rs.4,200 crores. What will be our own cash excluding advances in this?
Ragini Advani: Our own cash is about Rs.950 crores. The rest, as we mentioned, are either pertaining to specific projects or those are advances given from clients. Our own number is again to the tune of about Rs.950 crores.
Vishal Periwal: Okay. Got it, ma'am. And in terms of CAPEX and investments that we plan to do in FY27, any color that can be provided?
Hari Mohan Gupta: Around Rs.400 crores, we will be investing in FY26 -27 on our SPV projects, mainly to road projects, then coal connectivity railway projects.

Ragini Advani: So, we basically have our money blocked towards equity investments or quasi equity investments that we do in our SPVs. The total requirement we anticipate is about Rs.700 to Rs.800 crores. The bulk of it will be spent in this year. As CMD mentioned, we are expecting about Rs.400 to Rs.500 crores to be spent in our PPP projects. Then we also expect some amount of CAPEX within the company. Those would be our routine CAPEX as well as some purchase of machineries. This we expect to be in the nature of about Rs. 50 to Rs. 60 crores. So, that is where our plan for using our cash is.
Vishal Periwal: Okay. Maybe last two questions from me, ma'am. I think after a couple of years of weak order book, I think in FY26 we have seen an increase in order book vis -à-vis FY25. And given this as a background, how do you see our revenue going to be for FY27? Any b allpark thing that you foresee? Because last two years

we have seen a bit weaker revenue. How do you see in FY27 for us?
Ragini Advani: So, FY27, we plan to kind of maintain the numbers that we have in FY26 on revenue because the order book that we have right now is almost about 2X of the revenue. And some of these orders may be spreading over next two to three years and not be ending in this year itself, which is FY26 -27. So, of course, if we get some good major orders in the beginning of this financial year, then we may have some changes. But as of now, the guidance would be similar levels as FY26.
Vishal Periwal: Okay. And similarly, for…
Moderator: Sir, I request you to join back the queue, please, as we have participants waiting for me, sir. Thank you. Next question is from the line of Gaurav Jagirdar, an Individual Investor.
Gaurav Jagirdar: Thank you for the opportunity, sir. Sir, my questions are a bit on the order book side. What is the current order book and the execution timeline?
Hari Mohan Gupta: Current order book is of the order of 25,000 crores. And some of the projects would be lasting for around two and a half years and some may be maximum three years.
Gaurav Jagirdar: Yes. Second question was, you know, on the international order book side, we haven't won any big order in one or two quarters lately. How does that scenario look like?
Hari Mohan Gupta: Yes, yes. As far as the international projects are concerned, we are presently executing project in Algeria and Myanmar and Bangladesh also. And we are executing two projects in Nepal. Presently, some land is yet to be given by the government, but

otherwis e project is on. Yes, we are trying our best to get new orders abroad, but due to the present turmoil going on in the entire world, especially the Gulf War, the

sentiments are quite challenging and they are having adverse impact everywhere because of the energy crisis and the increasing prices of the energy. But we are trying our best to get some orders in African continent in the domain in which we have the exper tise. And we are very hopeful that something should come out.

Gaurav Jagirdar: Great. Thank you. Thank you so much. The third question would be on the margins front. Our margins have been, you know, in the range of 4.2 to 4.57 percent. We expect it to remain the same or do we expect it to, you know, go higher from there?

Ragini Advani: You are asking about the core EBITDA margins? Core EBITDA margins, yes. On standalone basis?

Gaurav Jagirdar: Yes.

Ragini Advani: Okay. So, yes, our core EBITDA margins on standalone basis are expected to be in similar range because as we have mentioned earlier also that in EPC construction work, there are many competitors and the margins are getting stiffer by the day. In fact, some of the bids are going much below the estimate. So, at core EBITDA levels, we expect it to be in the range of about 4. 0 to 4.2 percent. But this is at standalone level. If we were to look at console level, our core EBITDA levels are much bet ter, the margins. And on an overall perspective, I think the guidance would be more of PAT. And I think we would be able to maintain PAT at console level in the range of about 6.1 to 6.3 percent.

Gaurav Jagirdar: Okay.

Gaurav Jagirdar: Thank you so much. All the best. Thank you.

Moderator: Thank you. Next question is from the line of Sandeep Agarwal from Naredi Investments. Please go ahead.

Sandeep Agarwal: Thank you. Thank you for the opportunity. Since Q2 Concall, we have given the guidance approx. 10,000 to 11,000 crore for the current year. So, what is the reason behind the lower number?

Hari Mohan Gupta: It depends. You know, for any construction organization, the revenue is directly related to the order book. Presently, order book is of the order of 25,000 crores. And i

n the
present challenging situation, very tough competition, geopolitical situation, de spite our best efforts, we are doing the order book increasing is a little bit challenge, but we are very hopeful because we have already submitted our bid for around 48,000 crores in India, 107 in numbers, mostly under evaluation. So, th e revenue and the profit, they

are all related to the order book. So, depending on the existing order book, we are anticipating the numbers which madam has told.

Ragini Advani: Also, you know, there are certain things in a construction company which is beyond us. For example, when we envisage that we have taken up a project, we assume that the land and all the clearances would be in place or they would come in due course. There a re certain times or certain things which get unusually delayed even in the existing order book. So, we have also faced certain issues on some of our projects where the speed at which they should have got executed, they kind of reduced becaus e of certain factors which are beyond the control of the company. So, both these factors combined, yes, we had given a guidance of 10,000 to 11,000 crore revenue, but we are presently sitting in the range of about 9,000 crores. So, yes, there has been a di p slightly.

Sandeep Agarwal: And for the next year, the number is similar, approximately 9,000 crores.

Management: That's right. That is what I have mentioned, yes.

Sandeep Agarwal: Okay. And just for another one, as per your mention, we bid approximately 41,000 crore orders. And what is the success ratio as per the best estimates we can?

Hari Mohan Gupta: Gentlemen, it is really very difficult in today's highly competitive market that what would be the success ratio. But just to give you an idea that in 2023 -2024, we could get around 5.7% of what we bided in terms of value. In 2024 -2025, we could get around 6% what we bided. And in 2025 -2026, we got around 10% of what we bided. So, just an idea that, yes, but it is a hugely competitive market.

Sandeep Agarwal: So, just last one. So, our debt is approximately 5,700 crores, what is the color regarding this? What is our plan to reduce it or maintain the same level?

Ragini Advani: You are talking about the debt, right?

Sandeep Agarwal: Yes.

Ragini Advani: At console level, actually, as we mentioned, we have 18 subsidiaries and JVs, out of which, I think 15 or 16 are PPP projects. So, PPP projects, we do a project financing, wherein typically the debt equity ratio could be anywhere between 70 -30 to 80 -20. So , all these debts are for PPP projects, not for Ircon standalone. And these will be repaid over the concession period of these projects. Now, these PPP projects are mostly in roads and highway sectors. And some of them are rail, coal connect ivity rail projects. So, wherever those debts are there, that is what is appearing in our books of accounts.

And these will obviously get reduced over a period of time. This is at console level. If you see, this number doesn't appear at a standalone level.
Sandeep Agarwal: Okay, thank you.
Moderator: All right. Thank you. Next question is from the line of Rahul Sahu, an individual investor. Please go ahead.
Rahul Sahu: My first question is, we have taken a working capital loan of Rs.103 crores this year. So, what would be the tentative amount for next year? And can you throw some light on how operating subsidiaries are performing?
Ragini Advani: Yes, okay. So, we have taken a working capital demand loan this time of Rs. 103 crores as at 31st March 20 26. Now, these are very specific loans that we have taken for specific working c

apital requirement of the project, which is mainly because of delay in some receivables. Once those receivables come, these WCDL loans get paid back. So, in fact, I think almost 50% of that loan has already been repaid back and the balance is expected to be done soon. So, this is a very case -specific thing. It is not that we planned that these are the kind of working capital loan we will take. If you would have noticed, we had good amount of receivables or debtors sitting in our books of accounts. Some of them were awaiting some client clearances, especially in Cost Plus projects. And that is the reason we had to avail this WCDL. So, per se, I mean, it will really depend on a quarter to quarter and the way our clients pay up. But I don't expect it to be a very significantly high number even for FY 26 -27. That's your first part of the question, right? Hello. I hope I have answered your first part of the question.
Rahul Sahu: How much amount is invested in subsidiaries and JVs in FY 26 -27? What is the investment plan for next financial year?
Ragini Advani: We have invested about Rs.3,000 crores already in our subsidiaries and JVs. And we expect to have another Rs.700 -800 crores, as I mentioned, out of which about Rs.500 - 600 crores we should be doing in the current year.
Rahul Sahu: Okay, ma'am. Noted. Thank you very much.
Moderator: All right. Thank you. Next question is from the line of Nikhil Thakur, an individual investor. Please go ahead.
Nikhil Thakur: Congratulations, team, for the good set of numbers. So, my first question is, our operating revenue from international projects has increased substantially. So, what has

impacted, comparatively from the Q4s, what has impacted our operating revenue? What factors have made it increase?
Ragini Advani: So, our operating revenue in international, as our CMD sir mentioned, we are currently operating in Algeria and Myanmar, and we have just finished a project in Bangladesh, and we are doing a little bit of work in Sri Lanka, Nepal, and Malaysia. So, some of our – because we completed the Bangladesh project, so some of our profits come from there because, you know, these are long gestation projects. It's only towards the closure that we get to know what it is. And the second is that, yes, in all our internati onal projects, these are mainly denominated in foreign currencies, and therefore, we have also had an advantage in the foreign exchange earnings that we have had. The third is that, typically, international projects tend to give us more profit margins, and some of them, over the period of time, have improved in their profitability, especially Algeria. So, all these have contributed to a better profit number on the international side.
Hari Mohan Gupta: And the efficiency of the people working on those projects, that is the culture of the company. That also is very, very important to save on unnecessary expenditure.
Nikhil Thakur: Okay, sir. So, my second question is, our profit from JVs has increased compared to in FY26. So, can you give us any guidance for how it will be for the next years?
Ragini Advani: Yes. So, in our JVs, if you remember, we had mentioned earlier also that one of our joint venture companies, which is Rail Connectivity Project, CERL, the phase one of that project was giving us massive losses. Now, those, I won't say it's turned into prof it, but the losses have declined substantially. And they're expected to further go down

over a period of time. We expect it to break even in the next two years. So, that has contributed to the overall JV profitability. Also, one of our other JVs, which you are aware, which is Ircon Soma Tollway, that has been giving us good profits for the last few years. Though, of course, the concession period is ending this year, and this is something which will probably go from our balance sheet now. We d o expect some of our other projects, JCRL, MCRL, and CERL to start giving us lesser losses or at least start getting into the break -even position. So, overall, the share of JV profit going forward, because we will not have ISTPL also next year, should be i n similar ranges, about 70 to 80 crores. Does that answer your question?

Nikhil Thakur: Yes. Yes, ma'am. Thank you for taking my question.

Moderator: Thank you. Next question is from the line of CA Akash Dhanuka, an individual investor. Please go ahead.

CA Akash Dhanuka: Good afternoon, sir and ma'am. There is a small question with respect to the West Asia crisis that is going on. There is a skepticism within the investor community that because of this war, the balance sheet of the government of India is under stress. And this might well take the infrastructure projects on a backseat. So, do we run a risk of this 9000 -crore revenue getting breached this year?

Hari Mohan Gupta: As far as India is concerned, India is very strong and the Honorable Prime Minister of India is very, very focused. The entire government is very focused that come what may, the infrastructure of the country has to improve substantially. And everything is being done by government to ensure that the pace of execution of projects does not get affected. They are trying their best like NHAI has also issued one clarification and help to the road construction agencies in the form of giving extra amount of money based on the increased rates of bitumen because of the Gulf crisis. But yes, energy crisis has been created due to this Gulf war. And government is trying their best to minimize the impact of this crisis. I do not personally see any major negative impact on the infrastructure growth or the sector as such because I feel it is a temporary phenomenon and the country, the people of the country, the system of the country, the culture of the country is so robust that we will win over this situati on and this crisis.

Ragini Advani: To add to this, see, whatever turnover we are expecting next year, most of it would come from our existing order books. You know, I mean, when you take an order, typically by the time you take an order and you start working on it, the kind of turnover it will give you is probably almost in the range of 5% to 7% initially of the new order secured. And we will wait and watch. But having said that, whatever government has already announced as projects and the schemes that they are doing, also th ere are a lot of projects which would be coming in PPP. From a short to mid -term perspective, we do not see that impacting us. But like as you said, you know, I mean, it will depend on how long this crisis will continue. And we will accordingly be judging our change in, if any, in the turnover as well as revenue guidance. But as of now, we are confident that it should not impact us immediately.

CA Akash Dhanuka: Okay. Okay. Thank you, ma'am. All right. Thank you.

Moderator: Thank you. Next question is from the line of Gaurav Jagirdar, an individual investor. Please go ahead.

Gaurav Jagirdar: Thank you once again for taking my questions. I just have one question. There has been, you know, news in the media. I don't know how true it is. But can we see any merger between Ircon and RVNL going forward?

Hari Mohan Gupta: Gentlemen, we as the company do not have any official information about the merger of these two companies. Whatever information you have seen in the media or the press, that information is with us. But no official commu nication from the government to us at all.

Gaurav Jagirdar: Okay. Thank you so much. That's it.

Moderator: Thank you. Ladies and gentlemen, to ask a question, please press star and one on your phone now. We have a question from the line of Sandeep Agarwal from Naredi Investment. Please go ahead.

Sandeep Agarwal : Yes. My question is, as for the current crude prices and other price inflation, how much particular infrastructure cost increase from year to year, on year to year basis or on a six month basis?

Hari Mohan Gupta: Can you please repeat the question? Your voice was not very clear, so we could not understood the question fully.
Sandeep Agarwal : Yes. So, I want to know the impact of the price increase in various commodities. So, can we calculate, quantify how much the cost increase on a year -to-year basis or from the last six -month basis?
Hari Mohan Gupta: I will put it this way that all the infra -projects which we are executing and the mega -projects or the bigger projects, they do come with a price variation formula and depending on the indices being published by Government of India for various commodities. So, price increase gets compensated through this PVC formula to a reasonable extent, except the situations like war, which is presently going on. Government is doing their best whatever they can do and it is a challenging situation. Yes, there are some items or some situation may come when the actual increase in the cost may not get compensated fully with the price variation formula and keeping that in mind, Government of India, the Road Ministry has already issued a clarification and a help to the contractors that the abnormal increase in the price of the bitumen is being compensated by the Ministry.
Ragini Advani: So, as of now, for our projects, we do not foresee this to have a significantly adverse impact going forward.
Sandeep Agarwal : No, I understand that we have price escalation clause and not fully impact us. I want to understand what the project cost increase due to this current situation.

Hari Mohan Gupta: But that would be known only because the impact would be known after some time. Price variation formula, the publishing of indices, it is a dynamic process. Every month, the Government of India publishes the indices. So, clear -cut answer would not be comin g right now. It will take some time.
Moderator: Next question is from the line of Vishal Periwal from PL Capital. Please go ahead.
Vishal Periwal: Yes, thanks for the follow -up. Though I think it is clarified in terms of EBITDA margin trajectory for FY27, but I think historically, we have been getting like 6% and maybe upward of 7%. So, based on the new work that we are winning, is it fair to say pro bably the margins will be in the range of 4%, 4.5% or probably there are certain orders which are low margin and once they get conclude, things could be better in FY28. Any color that can be provided?
Ragini Advani: Vishal, as I mentioned, on a standalone Ircon balance sheet, as you rightly said, we are quoting at very, very competitive prices. There has been shrink in margins overall in the industry, which we had explained over the past two years as well. And therefo re, to be realistic, we would say that it would stay in the level of 4% -4.5% at core EBITDA level on standalone basis. But at a consolidated level, because we have invested in PPP projects and we are getting decent margins there, that is whe re we are drawing up or I would say equalizing this negative to some extent and coming at the levels of 9% at core EBITDA level. And overall, at a PAT level, therefore, we continue to be still at 6.1% to 6.3%. So, therefore, yes, at a standalone project le vel basis, our core EBITDAs are expected to take a dip. But at a company l

evel basis, at PAT level, the dips are not expected to be that much.
Vishal Periwal: Okay, sure, ma'am. I think this is helpful. Thank you so much.
Ragini Advani: All right. Thank you.
Moderator: Thank you. Ladies and gentlemen, to ask a question, please press star and one on your phone now. As there are no further questions, I would now like to hand the call to the management for closing comments. Over to you.
Ragini Advani: Thank you. Thank you, ma'am, for moderating the call. I would also like to thank our shareholders, business partners, analysts and investor friends who have shown continued faith on us and supported us throughout this journey. We would also be happy to con nect with any and every one of you on one -to-one basis as and when required for any queries, clarifications and take it forward. I conclude today's call and thank you for the active participation. Thank you once again.

Hari Mohan Gupta: Thank you. Thank you.
Moderator: Thank you, members of the management team. Thank you all for being part of this conference call. If you need any further information or clarification, you may contact Mr. Sachin Garg or email at sachin.garg@ircon.org . Thank you for joining us.